



CA INTER MAY/SEP 26/JAN 27

INCOME TAX

PGBP

PRACTICE SESSION



Chapter 3C: PGBP

Illustration 01 [PYQ Nov 2013]

Mr. Abhimanyu is engaged in the business of generation and distribution of electric power. He always opts to claim depreciation on written down value for income-tax purposes. From the following details, compute the depreciation allowable as per the provisions of the Income-tax Act, 1961 for the assessment year 2026-27:
(₹ in lacs)

(i)	Opening WDV of block (15% rate)	42
(ii)	New machinery purchased on 12-10-2025	10
(iii)	Machinery imported from Colombo on 12-4-2025. This machine had been used only in Colombo earlier and the assessee is the first user in India.	9
(iv)	New computer installed in generation wing of the unit on 15-7-2025	2

Solution

Computation of depreciation under section 32 for A.Y.2026-27

Particulars	₹	₹
Normal Depreciation		
Depreciation® 15% on ₹ 51,00,000, being machinery (put to use for more than 180 days) [Opening WDV of ₹ 42,00,000 + Purchase cost of imported machinery of ₹ 9,00,000]	7,65,000	
Depreciation @7.5% on ₹ 10,00,000, being new machinery put to use for less than 180 days	75,000	-
	8,40,000	
Depreciation @40% on computers purchased ₹ 2,00,000	80,000	9,20,000
Additional Depreciation (Refer Note below)		
Additional Depreciation @10% of ₹ 10,00,000 [being actual cost of new machinery purchased on 12-10-2025]	1,00,000	
Additional Depreciation @20% on new computer installed in generation wing of the unit [20% of ₹ 2,00,000]	40,000	1,40,000
Depreciation on Plant and Machinery		10,60,000

Note: The benefit of additional depreciation to new plant and machinery acquired and installed in power sector undertakings is available. Accordingly, additional depreciation is allowable in the case of any new machinery or plant acquired and installed by an assessee engaged, inter alia, in the business of generation or generation and distribution of power, at the rate of 20% of the actual cost of such machinery or plant. Therefore, new computer installed in generation wing of the unit is eligible for additional depreciation @20%.



Since the new machinery was purchased only on 12.10.2025, it was put to use for less than 180 days during the previous year, and hence, only 10% (i.e., 50% of 20%) is allowable as additional depreciation.

However, additional depreciation shall not be allowed in respect of, inter alia, any machinery or plant which, before its installation by the assessee, was used either within or outside India by any other person. Therefore, additional depreciation is not allowable in respect of imported machinery, since it was used in Colombo, before its installation by the assessee.

Illustration 02 [PYQ May 2014]

JK Ltd., a manufacturing company purchased the following Plant and Machinery.

Date of Acquisition and Installation	Actual Cost (in ₹ Crores)
25-05-2025	90.00
31-08-2025	20.00
15-04-2026	120.00

From the above information compute the amount of depreciation available u/s 32(1), additional depreciation, if any and deduction u/s 32 AC for the Assessment Year 2026-27 and 2027-28.

Solution

Computation of normal, additional depreciation and deduction u/s 32AC available to JK Ltd. For AY 2026-27

Date of acquisition & Installation of P&M	Actual Cost (₹ crores)	Normal Depreciation (₹ crores)	Additional Depreciation (₹ crores)
25/05/2025	90	13.5	18
31/08/2025	20	3	4
		16.5	22

Note: Both normal and additional depreciation are available for full year as the P&M was put to use for more than 180 days.

**Deduction u/s 32AC is not allowed as the installation is not before 31.03.2025
For AY 2027-28**

	₹
Op WDV of P&M installed in PY 2026-27	71.5 crores
New P&M Installed on 15 - 4 - 2026	120.0 crores
Total	191.5 crores
Normal Depreciation (15% x 191.5 crores)	28.725 crores
Additional Depreciation on new P&M (20% x 120 crores)	24 crores

Illustration 03 [PYQ Nov 2014]

Mr. Gopi carrying on business as proprietor converted the same into a limited company by name Gopi Pipes (P) Ltd. from 01-07- 2025. The details of the assets are given below:

₹



Block - I WDV of plant & machinery (rate of depreciation @ 15%)	12,00,000
Block - II WDV of building (rate of depreciation @ 10%)	25,00,000

The company Gopi Pipes (P) Ltd. acquired plant and machinery in December 2024 for ₹ 10,00,000. It has been doing the business from 01-07-2025. Compute the quantum of depreciation to be claimed by Mr. Gopi and successor Gopi Pipes (P) Ltd. for the assessment year 2026-27.

Note: Ignore additional depreciation.

Solution

Computation of depreciation allowable to Mr. Gopi for A.Y. 2026-27

Particulars	₹	₹
Block 1 Plant and Machinery (15% rate)		
WDV as on 1.4.2025	12,00,000	
Depreciation @ 15%		1,80,000
Block 2 Building (10% rate)		
WDV as on 1.4.2025		
Depreciation @ 10%	25,00,000	2,50,000
Total depreciation for the year		4,30,000
Proportionate depreciation allowable to Mr. Gopi for 91 days (i.e., from 1.4.2025 to 30.6.2025) [i.e., $91/365 \times ₹ 4,30,000$]		1,07,205

Computation of depreciation allowable to Gopi Pipes (P) Ltd. for A.Y. 2026-27

Particulars	₹
1. Depreciation on building and plant and machinery Proportionately for 273 days (i.e. from 1.7.2025 to 31.3.2026) ($273/365 \times 4,30,000$)	3,21,616
2. Depreciation @ 50% of 15% on ₹ 10 lakh, being the value of plant and machinery purchased after conversion, which was put to use for less than 180 days during the P.Y. 2025-26	75,000
Depreciation allowable to Gopi Pipes (P) Ltd.	3,96,616

Note:

As per the fifth proviso to Section 32(1), in the case of conversion of sole proprietary concern into a company as per Section 47(xiv), the depreciation should be first calculated for the whole year as if no succession had taken place. Thereafter, the depreciation should be apportioned between the sole proprietary concern and the company in the ratio of the number of days for which the assets were used by them. It is assumed that in this case, the conditions specified in Section 47(xiv) are satisfied.

Illustration 04 [PYQ Nov 2015]

State with reasons, the allowability of the following expenses incurred by MN Limited, a wholesale dealer of commodities, under the Income Tax Act, 1961 while computing Profit & Gains from business or profession for the Assessment Year 2026-27.



- (i) Construction of school building in compliance with CSR activities amounting to ₹ 5,60,000.
- (ii) Purchase of building for setting up a warehousing facility for storage of food grains amounting to ₹ 4,50,000.
- (iii) Interest on loan paid to Mr. X (a resident) ₹ 50,000 on which tax has not been deducted.
- (iv) Commodity transaction tax paid ₹ 20,000 on sale of bullion.

Solution

Allowability of the expenses incurred by MN Ltd., a wholesale dealer in commodities, while computing profits and gains from business or profession:

- (i) Construction of school building in compliance with CSR activities: Under section 37(1), only expenditure not being in the nature of capital expenditure or personal expense and not covered under Sections 30 to 36, and incurred wholly and exclusively for the purposes of the business is allowed as a deduction while computing business income. However, any expenditure incurred by an assessee on the activities relating to corporate social responsibility referred to in Section 135 of the Companies Act, 2013 shall not be deemed to have been incurred for the purpose of business and hence, shall not be allowed as deduction under Section 37. Accordingly, the amount of ₹ 5,60,000 incurred by MN Ltd. towards construction of school building in compliance with CSR activities shall not be allowed as deduction under Section 37.

Note: The Explanatory Memorandum to the Finance (No.2) Bill, 2014, however, clarifies that CSR expenditure, which is of the nature described in Sections 30 to 36, shall be allowed as deduction under these sections subject to fulfilment of conditions, if any, specified therein.

Under Section 35AC, 100% deduction is allowable in respect of the expenditure incurred on eligible projects/schemes specified under Rule 11K, which includes, inter alia, any project or scheme for construction of school buildings primarily for children belonging to the economically weaker sections of the society, as the Central Government may, by notification in the Official Gazette, specify in this behalf on the recommendation of the National Committee, being a committee constituted by the Central Government, from amongst persons of eminence in public life.

Therefore, if the expenditure of ₹ 5,60,000 on construction of school building is incurred for children belonging to the economically weaker sections of the society and the other conditions mentioned under Section 35AC are fulfilled by MN Ltd., it can claim deduction of such expenditure under Section 35AC.

- (ii) Purchase of building for setting up a warehousing facility for storage of food grains: MN Ltd. would be eligible for investment-linked tax deduction under Section 35AD @ 100% in respect of amount of ₹ 4,50,000 invested in purchase of building for setting up a warehousing facility for storage of food grains. Therefore, the deduction under Section 35AD while computing business income would be ₹ 4,50,000.



- (iii) Interest on loan paid to Mr. X (a resident) ₹ 50,000 on which tax has not been deducted:
 ₹ 15,000, being 30% of ₹ 50,000, would be disallowed under section 40(a)(ia) while computing the business income of MN Ltd. for non-deduction of tax at source under Section 194A on interest of ₹ 50,000 paid by it to Mr. X.
 The balance ₹ 35,000 would be allowed as deduction under Section 36(1)(iii), assuming that the amount was borrowed for the purposes of business.
- (iv) Commodities transaction tax of ₹ 20,000 paid on sale of bullion:
 Commodities transaction tax paid in respect of taxable commodities transactions entered into in the course of business during the previous year is allowable as deduction, provided the income arising from such taxable commodities transactions is included in the income computed under the head “Profits and gains of business or profession”.
 Taking that income from this commodities transaction is included while computing the business income of MN Ltd., the commodity transaction tax of ₹ 20,000 paid is allowable as deduction under Section 36(1)(xvi).

Illustration 05 [PYQ May 2016]

Venus Ltd., engaged in manufacture of pesticides, furnishes the following particulars relating to its manufacturing unit at Chennai (for the year ending 31-3-2026):

	(₹ in lacs)
Opening WDV of Plant and Machinery	20
New machinery purchased on 1-9-2025	10
New car purchased on 1-12-2025	8
Computer purchased on 3-1-2026	4

Additional information:

- All assets were put to use immediately.
- Computer has been installed in the office.
- During the year ended 31-3-2025, a new machinery had been purchased on 31-10-2024, for ₹ 10 lacs. Additional depreciation, besides normal depreciation, had been claimed thereon.
- Depreciation rate for machinery may be taken as 15%.

Compute the depreciation available to the assessee as per the provisions of the Income-tax Act, 1961 and the WDV of different blocks of assets as on 31-3-2026.

Solution

Computation of written down value of block of assets of Venus Ltd. as on 31.03.2026:

Particulars	Plant & Machinery (₹ in lacs)	Computer (₹ in lacs)
Opening written down value (as on 01.04.2025)	20	Nil



Add:	Actual cost of new assets acquired during the year		
	New machinery purchased on 1.09.2025	10	-
	New car purchased on 01.12.2025	8	-
	Computer purchased on 03.01.2026	-	4
		38	4
Less:	Assets sold/discarded/destroyed during the year		
		Nil	Nil
	Closing Written Down Value (as on 31.3.2026)	38	4

Computation of Depreciation for A.Y. 2026-27

	Particulars	Plant & Machinery (₹ in lacs)	Computer (₹ in lacs)
(i)	Assets put to use for more than 180 days, eligible for 100% depreciation calculated applying the eligible rate of normal depreciation and additional depreciation.		
	Normal Depreciation:		
	• Opening WDV of plant machinery (₹ 20 lacs x 15%)	3.00	
	• New Machinery purchased on 1.9.2025 (₹ 10 lacs x 15%)	1.50	
	(A)	4.50	
	Additional Depreciation:		
	Machinery purchased on 31.10.2024	1.00	
	New Machinery purchased on 1.9.2025 (₹ 10 lacs x 20%) (B)	2.00	
(ii)	Assets put to use for less than 180 days, eligible for 50% depreciation calculated applying the eligible rate of normal depreciation and additional depreciation		
	Normal Depreciation:		
	New car purchased on 1.12.2025 [₹ 8 lacs x 7.5% (i.e., 50% of 15%)]	0.60	
	Computer purchased on 3.1.2026 [₹ 4 lacs x 20% (50% of 40%)]		0.80
	(C)	0.60	0.80
	Total Depreciation (A+B+C)	8.10	0.80

Notes:

As per Section 32(1)(iia), additional depreciation is allowable in the case of any new machinery or plant acquired and installed after 31.3.2005, by an assessee engaged, inter



alia, in the business of manufacture or production of any article or thing, at the rate of 20% of the actual cost of such machinery or plant.

However, additional depreciation shall not be allowed in respect of, inter alia,:

- (i) any office appliances or road transport vehicles;
- (ii) any machinery or plant installed in, inter alia, office premises.

In view of the above provisions, additional depreciation cannot be claimed in respect of:

- (i) Car purchased on 1.12.2025 and
- (ii) Computer purchased on 3.1.2026, installed in office.

In the absence of any specific restriction in law, that the balance additional depreciation relating to plant and machinery acquired during the previous year 2024-25 and put to use for less than 180 days during that year can be claimed in the next previous year i.e., P.Y. 2025-26, being the year in which this beneficial provision become effective.

Further, the Karnataka High Court has, in CIT v. Rittal India Pvt. Ltd., up held that the balance additional depreciation (not claimed in the year of acquisition) is allowable in the immediately succeeding previous year, since additional depreciation is a one-time benefit to encourage industrialisation and the relevant provisions have to be construed reasonably and purposively.

Based on this view, the total depreciation in respect of plant and machinery for A.Y. 2026-27 would be ₹ 8.10 lacs i.e., ₹ 7.10 lacs plus the balance additional depreciation of ₹ 1 lac, being 10% of 110 lacs [in respect of new machinery purchased on 31.10.2024] allowed as deduction in the previous year 2025-26.

Illustration 06 [PYQ Nov 2018]

Mr. Rangamannar resides in Delhi. As per new rule in the city, private cars can be plied in the city only on alternate days.

He has purchased a car on 21-09-2025, for the purpose of his business as per following details:

Cost of car (excluding GST)	12,00,000
Add : Delhi GST at 14%	1,68,000
Add : Central GST at 14%	1,68,000
Total price of car	15,36,000

He estimates the usage of the car for personal purposes will be 25%. He is advised that since the car has run only on alternate days, half the depreciation, which is otherwise allowable, will be actually allowed. He has started using the car immediately after purchase. Determine the depreciation allowable on car for the AY 2025-26, if this is the only asset in the block.

Rate of depreciation may be taken at 15%

If this car were to be used in the subsequent Assessment Year 2026-27 on the same terms and conditions above, what will be the depreciation allowable? Assume that there is no change in the legal position under the Income -Tax Act, 1961.

Solution



Particulars	₹
Since the car was put to use for more than 180 days in the P. Y. 2024-25, full depreciation @ 15% is allowable on the actual cost of ₹ 15,36,000, Which is the total price (inclusive of GST). However, the depreciation actually allowed would be restricted to 75%, since 25% of usage is estimated for personal use, on which depreciation is not allowable.	
Depreciation for P.Y. 2024-25 = $15\% \times ₹ 15,36,000 \times 75\%$	1,72,800
Written Down Value as on 1.4.2025 = ₹ 15,36,000 - ₹ 1,72,800	13,63,200
Depreciation for P.Y. 2025-26 = $15\% \times ₹ 13,63,200 \times 75\% =$	1,53,360

Note: As per section 17(5) of the CGST Act, 2017/Delhi GST Act, 2017, input tax credit would not be available in respect of motor vehicles except if they are used for making taxable supply of such vehicles or for transportation of goods or passengers or for imparting training on driving, flying navigating such vehicles. In this case, the question mentions that the car is the only asset in the block. In the absence of any information in the question to the contrary, it is logical to assume that the car is not used for making the above taxable supplies. Accordingly, input tax credit would not be available and hence, GST would form part of actual cost of car. The above solution has been worked out accordingly. However, input tax credit would be available if it is assumed that the car is used in making the above taxable supplies or in transportation of goods, the answer would be as follows -

Alternative Answer

Particulars	₹
Since the car was put to use for more than 180 days in the P.Y. 2024-25, full depreciation® 15% is allowable on the actual cost of ₹ 12 lakh (exclusive of GST of ₹ 3,36,000), assuming that input tax credit is available in respect of GST. Further, the depreciation actually allowed would be restricted to 75%, since 25% of usage is estimated for personal use, on which depreciation is not allowable.	
Depreciation for P.Y. 2024-25 = $15\% \times ₹ 12,00,000 \times 75\% =$	1,35,000
Written Down Value as on 1.4.2025 = ₹ 12,00,000 - ₹ 1,35,000 = ₹ 10,65,000	
Depreciation for P.Y.2025-26 = $15\% \times ₹ 10,65,000 \times 75\%$	1,19,813

Illustration 07 [PYQ Nov 2019]

Mr. Prakash is in the business of operating goods vehicles. As on 1st April, 2025, he had the following vehicles:

Vehicle	Gross Vehicle Weight (in Kgs.)	Date of Purchase	Put to use during F.Y. 2024-25
A	8500	2-4-2024	Yes
B	13000	15-5-2024	Yes
C	12000	4-8-2024	No (as under repairs)



During P.Y. 2025-26, he purchased the following vehicles:			
Vehicle	Gross Vehicle Weight (in Kgs.)	Date of Purchase	Date on which put to use
D	11000	30-4-2025	10-5-2025
E	15000	15-5-2025	18-5-2025

Compute his income under Section 44 AE of the Income Tax Act, 1961 for A.Y. 2026-27

Solution

Computation of Income of Mr. Prakash u/s 44AE for the AY 2026-27

Since Mr. Prakash does not own more than 10 vehicles at any time during the previous year 2025-26, he is eligible to opt for presumptive taxation scheme under Section 44AE. ₹ 1,000 per ton of gross vehicle weight or unladen weight per month or part of the month for each heavy goods vehicle and ₹ 7,500 per month or part of month for each goods carriage other than heavy goods vehicle, owned by him would be deemed as his profits and gains from such goods carriage.

Heavy goods vehicle means any goods carriage, the gross vehicle weight of which exceeds 12,000 kg.

Number of Vehicles	Date of Purchase	No. of Months for which vehicle is owned in PV 2024-25	Ton (Gross Vehicle Weight/1000)	No. of Months (No. of Vehicles x 1000 per ton)
Heavy Goods Vehicles				
B i.e. one vehicle	15.05.2024	12	13(13000/1000)	12 x 13 x 1000 = 156000
E i.e. one vehicle	15.05.2025	11	15(15000/1000)	11 x 15 x 1000 = 165000
Total income of heavy goods vehicle				3,21,000/-
For goods vehicle other than heavy goods vehicle				
A i.e. one vehicle	02.04.2024	12	7500 per month per vehicle income (ignore part of month)	7500 x 12 = 90000/-
C i.e. one vehicle	04.08.2025	12	7500 per month per vehicle income (ignore part of month)	7500 x 12 = 90000/-
D i.e. one vehicle	30.04.2025	12	7500 per month per vehicle income (ignore part of month)	7500 x 12 = 90000/-
Total income of goods vehicle other than heavy goods vehicle				₹2,70,000/-

Total Income = 3,21,000 + 2,70,000 = 5,91,000/-



Illustration 08 [PYQ May 2022]

Mr. Kabra is engaged in the business of growing and curing (further processing) coffee in the state of Karnataka. The whole of coffee grown in his plantation is cured. Relevant information pertaining to the year ended 31.03.2026 are given hereunder:

Particulars	Amount ₹
Opening balance of the car as on 01.04.2025	3,00,000
Opening balance of machinery as on 01.04.2025	15,00,000
Expenses incurred in growing coffee	3,10,000
Expenses of curing coffee	3,00,000
Sale value of cured coffee	22,00,000

The car is used for the agricultural operations and the machine was used for coffee curing business operations. Compute the income arising from the above activities for the assessment year 2026-27 and the written down value as on 01.04.2026. (WDV as on 31.03.2026 - depreciation for the PY 2025-26).

Solution**Computation of Income from growing and curing coffee of Mr. Kabra for A.Y. 2026-27**

Particulars	Amount (₹)	Amount (₹)
Income from growing and curing coffee		
Sale value of cured coffee		22,00,000
Less: Expenses incurred in growing coffee	3,10,000	
Depreciation on Car (15% of ₹ 3,00,000)	45,000	3,55,000
		18,45,000
Less: Expenses of curing coffee	3,00,000	
Depreciation on machinery (15% of ₹ 15,00,000)	2,25,000	5,25,000
		13,20,000
Business Income [25% of ₹ 13,20,000]		3,30,000
Agricultural Income [75% of ₹ 13,20,000]		9,90,000
Computation of Written Down Value as on 1.4.2026		
Opening balance of Car as on 1.4.2025	3,00,000	
Less: Depreciation @ 15% on ₹ 3 lakh	45,000	
WDV of car as on 1.4.2026	2,55,000	
Opening balance of machinery as on 1.4.2025	15,00,000	
Less: Depreciation @15% on ₹ 15 lakh	2,25,000	
WDV of machinery as on 1.4.2026	12,75,000	

Illustration 09 [PYQ May 2024]

Mr. Rao furnished the following information regarding the payments made towards Scientific Research during the financial year 2025-26:



- (i) Revenue expenditure on Scientific Research incurred during the year ₹ 1,00,000.
- (ii) Capital Expenditure for Scientific Research ₹ 3,00,000.
- (iii) Contribution to Notified approved research association ₹ 1,50,000.
- (iv) Amount paid to H Limited an Indian company which has as its main object scientific research and approved by the prescribed authority ₹ 2,50,000.
- (v) Expenditure of ₹ 2,50,000 towards purchase of Land for scientific research.
- (vi) He also incurred revenue expenditure of ₹ 2,00,000 towards salary of research staff in the F.Y.2024-25 (before commencement of business) and certified by the prescribed authority.

Compute the deduction allowable u/s 35 for the assessment year 2026-27, assuming that he has not opted for default tax regime u/s 115BAC.

Solution

Computation of deduction allowable u/s 35 for the A.Y. 2026-27

	Particulars	₹
(i)	Revenue expenditure on scientific research allowable as deduction u/s 35(1)(i), assuming such expenditure is related to his business.	1,00,000
(ii)	Capital expenditure allowable as deduction u/s 35(1)(iv), assuming such expenditure is incurred for his business.	3,00,000
(iii)	Contribution to notified approved research association for scientific research – 100% of the amount paid is allowed as deduction u/s 35(1)(ii).	1,50,000
(iv)	Amount paid to H Ltd., an Indian company approved by the prescribed authority - 100% of the amount paid is allowed as deduction u/s 35(1)(iia)	2,50,000
(v)	Expenditure towards purchase of land – not allowed as deduction	Nil
(vi)	Revenue expenditure towards salary of research staff incurred in the F.Y. 2024-25 (before commencement of business) – allowed as deduction u/s 35(1)(i) in the P.Y. 2025-26 as it was expended within the 3 years immediately preceding the commencement of business (assuming business is commenced during the P.Y. 2025-26). <i>Note - Since the date of commencement of business is not given, an alternative view is possible that the business is commenced during the F.Y. 2024-25 itself. In that case, deduction for revenue expenditure incurred towards salary of research staff in F.Y. 2024-25 before commencement of business would have been allowed in the F.Y. 2024-25 and accordingly, no deduction would be available in F.Y. 2025-26.</i>	2,00,000
	Total Deduction allowable	10,00,000



Illustration 10 [RTP Nov 2023]

AB Light LLP consists of 2 working partners, Mr. Anand and Mr. Bheem with 60% and 40% share, respectively. As per the partnership deed, they are eligible for interest on capital @15% p.a. on their capital contribution of ₹ 15 lakhs each and remuneration of ₹ 50,000 p.m. to Anand and ₹ 40,000 p.m. to Bheem. The firm is engaged in manufacturing business. During the year ended 31.3.2026, the net profit as per profit and loss account was ₹ 25,86,000 before considering interest on capital and remuneration to partners as well as the following items

	Particulars	₹
(i)	Current year revenue expenditure on scientific research	2,40,000
(ii)	Unabsorbed capital expenditure on scientific research relating to P.Y. 2022-23	85,000
(iii)	Brought forward business loss of A.Y. 2017-18	40,000
(iv)	Unabsorbed depreciation of A.Y. 2014-15	52,000
(v)	Current year depreciation under section 32	4,70,000
(vi)	Brought forward business loss of A.Y. 2021-22	49,000
(vii)	Current year capital expenditure on scientific research	3,45,000

You are required to compute the total income of AB Light LLP for A.Y. 2026-27 after considering the above items. Also, determine the amount of remuneration taxable in the hands of Mr. Anand and Mr. Bheem.

Solution**Computation of total income of AB Light LLP for the A.Y. 2026-27**

Particulars		Amount (₹)
Net profit as per profit and loss account before interest on capital and remuneration to partners and other items		25,86,000
Less: Expenditure allowable from business income		
1. Interest @ 12% p.a. [being the maximum allowable as per section 40(b)] ($₹ 15,00,000 \times 12\% \times 2$)	3,60,000	
2. Current year revenue expenditure on scientific research under section 35(1)(i)	2,40,000	6,00,000
3. Current year depreciation under section 32(1)	4,70,000	19,86,000
4. Current year capital expenditure on scientific research under section 35(1)(iv)	3,45,000	
5. Unabsorbed depreciation of A.Y. 2014-15 u/s 32(2)	52,000	
6. Unabsorbed capital expenditure on scientific research relating to P.Y. 2022-23 under section 35(4)	85,000	9,52,000
Book Profit		10,34,000



Less: Partners' remuneration allowable under section 40(b)		
(i) As per limit prescribed in section 40(b)		
On first ₹ 6,00,000 90%	5,40,000	
On the balance ₹ 4,34,000 60%	2,60,400	
	8,00,400	
(ii) Remuneration actually paid or payable [₹ 50,000 x 12 + ₹ 40,000 x 12]	10,80,000	
(i) or (ii) whichever is less, is deductible		8,00,400
Profit from manufacturing business		2,33,600
Less: Brought forward business loss of A.Y. 2017-18 [Not allowed to set off since 8 years have been already expired]	-	
Less: Brought forward business loss of A.Y. 2021-22	49,000	49,000
Profits and gains of business or profession		1,84,600

Remuneration taxable in the hands of Mr. Anand as business income

$$= ₹ 8,00,400 \times 6,00,000 / 10,80,000 = ₹ 4,44,667$$

Remuneration taxable in the hands of Mr. Bheem as business income

$$= ₹ 8,00,400 \times 4,80,000 / 10,80,000 = ₹ 3,55,733$$

Illustration 11 [MTP Jan 2025]

Mr. Piyush runs a sole proprietorship firm and owns four machines which was put in use for business in March, 2024. The depreciation on these machines is charged @ 15%. The written down value of these machines as on 1st April, 2025 was ₹ 7,70,000. Two of the old machines were sold on 15th July, 2025 for ₹ 10,00,000. A second hand plant was bought for ₹ 6,10,000 on 30th December, 2025.

Further, Mr. Piyush has furnished the following particulars relating to payments made and expenditure incurred towards scientific research for the year ended 31.3.2026:

Sl. No.	Particulars	₹ (in lakhs)
(i)	Payment made to UV University, an approved University	15
(ii)	Payment made to Satywati College	17

Compute the following for Assessment Year 2026-27

- Claim of depreciation
- Capital gains liable to tax
- Deduction available under section 35 if he has shifted out of the default tax regime

Solution

(i) Computation of depreciation for A.Y.2026-27

Particulars	₹
W.D.V. of the block as on 1.4.2025	7,70,000
Add: Purchase of second hand plant during the year [in December, 2025]	6,10,000
	13,80,000



Less: Sale consideration of old machinery during the year [in July, 2025]	10,00,000
W.D.V of the block as on 31.03.2026	3,80,000
Depreciation @ 15% but restricted to 50% thereon. ₹ 3,80,000 X 7.5% [Since the value of the block as on 31.3.2026 represents part of actual cost of second hand plant purchased in December, 2025, which has been put to use for less than 180 days, depreciation is restricted to 50% of the prescribed percentage of 15% i.e. depreciation is restricted to 7½%. Therefore, the depreciation allowable for the year is ₹ 28,500 being 7½% of ₹ 3,80,000]	28,500

(ii) In the given case, no capital gains would arise, since the block of asset continues to exist, and some of the assets are sold for a price which is lesser than the written down value of the block as increased by the actual cost of asset purchased during the year

(iii) Computation of deduction allowable under section 35

Particulars	Amount (₹ in lakhs)	Section	% of weighted deduction	Amount of deduction (₹ in lakhs)
Payment for scientific research				
UV University, an approved University	15	35(1)(ii)	100%	15
Satyawati College [Since it is not mentioned as an approved University]	17	-	NIL	NIL

Illustration 12 [MTP Nov 2023]

M/s. Kumar Enterprises, a sole proprietorship own four machines, put in use for business in March, 2024. The depreciation on these machines is charged @ 15%. The written down value of these machines as on 1st April, 2025 was ₹ 7,70,000. Two of the old machines were sold on 15th July, 2025 for ₹ 10,00,000. A second hand plant was bought for ₹ 6,10,000 on 30th December, 2025. You are required to:

- Determine the claim of depreciation for Assessment Year 2026 -27.
- Compute the capital gains liable to tax for Assessment Year 2026-27.
- If Kumar Enterprises had sold the two machines in July, 2025 for ₹ 15,00,000, explain, will there be any difference in your above workings?

Solution

(i) Computation of depreciation for A.Y.2026-27

Particulars	₹
W.D.V. of the block as on 1.4.2025	7,70,000
Add: Purchase of second hand plant during the year [in December, 2025]	6,10,000



	13,80,000
Less: Sale consideration of old machinery during the year [in July, 2025]	10,00,000
W.D.V of the block as on 31.03.2026	3,80,000
Depreciation @ 15% but restricted to 50% thereon. ₹ 3,80,000 X 7.5% [Since the value of the block as on 31.3.2026 represents part of actual cost of second hand plant purchased in December, 2025, which has been put to use for less than 180 days, depreciation is restricted to 50% of the prescribed percentage of 15% i.e. depreciation is restricted to 7½%. Therefore, the depreciation allowable for the year is ₹ 28,500 being 7½% of ₹ 3,80,000]	28,500

- (ii) In the given case, no capital gains would arise, since the block of asset continues to exist, and some of the assets are sold for a price which is lesser than the written down value of the block as increased by the actual cost of asset purchased during the year.
- (iii) If the two machines are sold in July, 2025 for ₹ 15,00,000, then short term capital gains would arise, since the sale consideration is more than the aggregate of the written down value of the block at the beginning of the year and the additions made during the year.

Particulars	₹	₹
Sale consideration		15,00,000
Less: W.D.V. of the machines as on 1.4.2025	7,70,000	
Purchase of second plant during the year	6,10,000	
		13,80,000
Short term capital gains		1,20,000

Illustration 13 [PYQ Jan 2025]

Mr. Prem has following assets as on 01.04.2025:

- A machinery costing ₹ 4 lakh, which was used for scientific research related to business and deduction u/s 35 was allowed ₹ 40,000.
- A laptop received as a gift from his friend costing ₹ 60,000. It was purchased on 01.04.2024 by his friend.
- A temporary wooden structure costing ₹ 70,000 erected in Dec. 25 which was used for business purposes.

Compute the depreciation allowed on these assets for F.Y. 2025-26

Solution

Computation of Depreciation to Mr. Prem for P.Y. 2025-26

Particulars	Amount (₹)
Depreciation on machinery used for scientific research @15% on ₹ 3,60,000 [₹ 4,00,000, being actual cost – ₹ 40,000, being deduction allowed u/s 35]	54,000



Depreciation on laptop received as a gift @40% on ₹ 36,000 [₹ 60,000, being actual cost to previous owner – ₹ 24,000, being depreciation for P.Y. 2024-25 allowable to assessee if it was the only asset]	14,400
Depreciation on temporary wooden structure @40% x 50% on ₹ 70,000 [Since it is put to use for less than 180 days]	14,000
	82,400



Chapter 9: Computation of Total Income

Illustration 01 [PYQ Nov 2021]

The following is the Profit and Loss Account of Mr. Aditya, aged 58 years, a resident, for the year ended 31.03.2026:

Particulars	₹	Particulars	₹
Rent	60,000	Gross Profit	1,85,000
Repair of car	3,000	Gift of cash from a friend (received on 15.09.2023)	25,000
Personal expenses	5,000	Sale of car	17,000
Medical expenses	4,500	Interest on income-tax refund	
Salary	18,000		3,000
Depreciation on car	3,000		
Advance income-tax	1,500		
Net Profit	1,35,000		
	2,30,000		2,30,000

Other information:

- Aditya bought a car during the year for ₹ 20,000. He charged depreciation @ 15% on the value of the car. The above car was sold during the year for ₹ 17,000. The use of the car was $\frac{3}{4}^{\text{th}}$ for business and $\frac{1}{4}^{\text{th}}$ for personal use.
- Medical expenses were incurred for the treatment of Nikita, his wife.
- Salary had been paid on account of car driver.
- Rent includes arrears of rent from April, 21 to October 2024 @ ₹ 5,000 p.m., paid in cash on 1.11.2025.
- Mr. Aditya had also let out a house property at a monthly rent of ₹ 25,000. The annual letting value is considered to be ₹ 2,50,000. The municipal taxes are ₹ 6,000, out of which ₹ 3,000 are paid by the tenant and ₹ 3,000 are yet to be paid by Mr. Aditya. Interest on loan taken for the house property is ₹ 20,000.
- Mr. Aditya's minor daughter received ₹ 75,000 from stage acting. Interest on company deposits of Mr. Aditya's daughter (deposit was made out of income from stage acting) was ₹ 10,000.
- Aditya incurred an expense of ₹ 50,000 on the medical treatment of his dependant son, who has disability of more than 80%.
- Aditya had taken a loan during the year 2025-26 for the education of his son, who is pursuing B. Com in Delhi University. Interest paid on the same during the year was ₹ 10,000.

Compute the total income of Mr. Aditya for the assessment year 2026-27.

Solution

Computation of Total Income

Particulars	₹
1. Income from House Property (Refer Working Note 1)	1,90,000



2.	Profits and Gains of Business or Profession (Refer Working Note 2)		1,44,250
3.	Income from Other Sources (Refer Working Note 3)		11,500
			3,45,750
Less: Deductions under Chapter VI-A			
	U/s 80DD Expenses on Medical Treatment of Son (Severe Disability)	1,25,000	
	U/s 80E Interest on Education Loan	10,000	(1,35,000)
Total Income			2,10,750

Working Note 1:**Computation of Income from House Property (Let out Property)**

Particulars		₹
Gross Annual Value (25,000 x 12)		3,00,000
Less: Municipal Taxes paid (No deduction as actual payment not made by Assessee. Amount paid by Tenant is not allowable as deduction.)		Nil
Net Annual Value		3,00,000
Less: Deductions u/s 24		
30% of NAV (₹ 3,00,000 x 30%)	90,000	
Interest on Borrowed Capital	20,000	(1,10,000)
Income from House Property		1,90,000

Working Note 2:**Computation of Profits and Gains of Business or Profession**

Particulars	₹	₹
Net Profit as per Profit & Loss Account - given		1,35,000
Add:		
Arrears of Rent paid in Cash, disallowed u/s 40A(3) (Apr to Oct = 7 x 5,000 pm.)	35,000	
Repairs of Car - 1/4th not allowed being personal use = 1/4 th of 3,000	750	
Personal expenses not allowable u/s 40(a)(iia)	5,000	
Medical Expenses incurred for Spouse, being personal expenses disallowed	4,500	
Car Driver Salary - 1/4 of Car Driver Salary not allowed being used for personal use	4,500	
Depreciation on Car - considered separately	3,000	
Advance Income Tax, not allowable u/s 40(a)(ii)	1,500	54,250
Less:		
Gift from Friend - considered separately	25,000	
Sale of Car - considered separately	17,000	



Interest on Income Tax Refund - considered separately	3,000	45,000
Profits and Gains from Business or Profession		1,44,250

Working Note 3:**Computation of Income from Other Sources**

Particulars	₹	₹
1. Interest on Income Tax Refund		3,000
2. Cash Gift from Friend (not taxable since amount is less than ₹ 50,000)		Nil
3. Income earned by Minor Daughter from Stage Acting (i.e. by exercise of Skill, Talent, etc.), is assessable only in her hands, and not clubbed in the Parent's hands. However, Interest on Bank Deposit shall be included, i.e. clubbed in Parent's hands u/s 64(1 A)	10,000	
Less: Exemption u/s 10(32)	(1,500)	8,500
Total Income Other Sources		11,500

Illustration 02 [PYQ Jan 2021]

Mr. Krishna (aged 65 years), a furniture manufacturer, reported a profit of ₹ 5,64,44,700 for the previous year 2025-26 after debiting/crediting the following items:

Debits:

- ₹ 20,000 paid to a Gurudwara registered u/s 80G of the income-tax Act, in cash where no cheques are accepted.
- ₹ 48,000 contributed to a university approved and notified u/s 35(1)(ii) to be used for scientific research.
- Interest paid ₹ 1,67,000 on loan taken for purchase of E-vehicle on 15-05-2023 from a bank. The E-vehicle was purchased for the personal use of his wife.
- His firm has purchased timber under a forest lease of ₹ 20,00,000 for the purpose of business.

Credits:

- Income of ₹ 4,00,000 from royalty on patent registered under the Patent Act received from different resident clients. No TDS was needed to be deducted by any of the clients.
- He received ₹ 3,00,000 from a debtor which was written off as bad in the year 2018-19. Amount due from the debtor (which was written off as bad) was ₹ 5,00,000, out of which tax officer had only allowed ₹ 3,00,000 as deduction in computing the total income for assessment year 2020-21.
- He sold some furniture to his brother for ₹ 7,00,000. The fair market value of such furniture was ₹ 9,00,000.

Other information:

- Depreciation in books of accounts is computed by applying the rates prescribed under the Income tax laws.



2. Mr. Krishna purchased a new car of ₹ 12,00,000 on 1st September, 2025 and the same was put to use in the business on the same day. No depreciation for the same has been taken on car in the books of account.
 3. Mr. Krishna had sold a house on 30th March, 2023 and deposited the long term capital gains of ₹ 25,00,000 in capital gain account scheme by the due date of filing return of income for that year. On 1st March, 2026, he sold another house property in which he resided for ₹ 1 crore. He earned a long term capital gain of ₹ 50,00,000 on sale of this property. On 25th March, 2026, he withdrew money out of his capital gain account and invested ₹ 1 crore on construction of one house.
 4. Mr. Krishna also made the following payments during the previous year 2025-26
 - Lump-sum premium of ₹ 30,000 paid on 30th March, 2026 for the medical policy taken for self and spouse. The policy shall be effective for five years i.e. from 30th March, 2026 to 29th March, 2031.
 - ₹ 8,000 paid in cash for preventive health check-up of self and spouse.
- Compute the total income and tax payable by Mr. Krishna for AY 2026-27.

Solution

Computation of total income of Mr. Krishna for A.Y. 2026-27

	Particulars	₹	₹	₹
1	Income from business or profession			
	Net profit as per profit and loss account		5,64,44,700	
	Add: Items of expenditure debited but not allowable while computing business income			
	1. Donation to Gurudwara in cash [not allowable as deduction since it is not incurred wholly and exclusively for business purpose. Since the amount is already debited, the same has to be added back while computing business income]	20,000		
	2. Interest on loan taken for purchase of e-vehicle [Interest on loan for purchase of e- vehicle for personal purpose is not allowed as deduction from business income since the same is not incurred wholly and exclusively for business purpose. Since it is already debited, the same has to be added back while computing business income]	1,67,000		
	3. Sale of furniture to brother at less than FMV [The provisions of section 40A(2)]	—	1,87,000	



	are not applicable in case of sale transaction, even if the same is to a related party. Therefore, no adjustment is necessary in respect of difference of 7 2 lakh]			
			5,66,31,700	
	Less: Items of income credited but not taxable or taxable under any other head of income			
	4. Royalty on patent [Not taxable as business income since Mr, Krishna is engaged in manufacturing business, Since the amount is already credited to profit and loss account, the same has to be reduced while computing business income]	4,00,000		
	5. Bad debt recovered [Actual bad debt is 7 2 lakhs i.e., ₹ 5 lakhs less ₹ 3 lakh, being the amount of bad debt recovered, Bad debt written off is ₹ 3 lakhs, Bad debt recovered to the extent of ₹ 1 lakh being excess of bad debt recovered over actual bad debt would be deemed to be business income, Since the entire ₹ 3 lakhs is credited to the profit and loss account, ₹ 2 lakhs has to be reduced]	2,00,000	6,00,000	
			5,60,31,700	
	Less: Allowable expenditure			
	6. Depreciation on car [₹ 12 lakh x 30%, since car is purchased between 23.8.2025 and 31.3. 2026 and put to use for more than 180 days in the P.Y. 2025-26]		3,60,000	
				5,56,71,700
II	Capital Gain			
	Long term capital gain on sale of house property		50,00,000	
	Less: Exemption under section 54 [Since whole amount of long term capital gain is invested in construction of house within the stipulated time limit.]		50,00,000	—



	[Capital gain of ₹ 25 lakhs in capital gain account scheme is not taxable in P.Y. 2025-26, since the same is withdrawn and invested in construction of house within the stipulated time limit. The remaining amount of ₹ 75 lakhs invested in construction of house is eligible for exemption u/s 54, subject to a maximum of ₹ 50 lakhs being long-term capital gain on sale of house property during the P.Y.2025-26]			
III	Income from Other Sources			
	Royalty on patent [Taxable as “income from other sources”, since he is engaged in business of manufacturing furniture]			4,00,000
	Gross Total Income			5,60,71,700
	Less: Deduction under Chapter VI-A			
	Deduction under section 80D			
	— Mediciam premium for self and spouse [In case of lump sum premium for medical policy, deduction is allowed for equally for each relevant previous years.			
	[₹ 30,000/6 years, being relevant previous years in which the insurance is in force]	5,000		
	— Preventive health check up of self and spouse [Preventive health check up paid in cash allowed to the extent of ₹ 5,000]	5,000	10,000	
	Deduction under section 80EEB		1,50,000	
	[Since the loan is sanctioned by Bank during the P.Y. 2023-24, interest on loan taken for purchase of e-vehicle is allowed to the extent of ₹ 1,50,000]			
	Deduction under section 80G		—	
	[Donation of ₹ 20,000 to Gurudwara not allowable as deduction since amount exceeding ₹ 2,000 paid in cash]			
	Deduction under section 80RRB		3,00,000	4,60,000



	[Deduction in respect of royalty on patent registered under the Patent Act subject to a maximum of ₹ 3 lakh]			
	Total income			5,56,11,700

Computation of tax liability of Mr. Krishna for A.Y. 2026-27

Particulars	₹	₹
Tax on total income of ₹ 5,56,11,700		
Upto ₹ 3,00,000	Nil	
₹ 3,00,001 - ₹ 5,00,000 [@5% of ₹ 2 lakh]	10,000	
₹ 5,00,001 - ₹ 10,00,000 [@20% of ₹ 5,00,000]	1,00,000	
₹ 10,00,001- ₹ 5,56,11,700 [@30% of ₹ 5,46,11,700]	1,63,83,510	1,64,93,510
Add: Surcharge @ 37%, since total income exceeds ₹ 5,00,00,000		61,02,598.7
		2,25,96,108.7
Add: Health and education cess @4%		9,03,844.348
Total tax liability		2,34,99,953.048
Less: TCS u/s 206C(1) @ 2% on ₹ 20 lakh i.e., timber	40,000	
TCS u/s 206C(1F)@1% of ₹ 12 lakh i.e., sale of motor car where consideration exceeds ₹ 10 lakh	12,000	
TDS u/s 194-IA@1% of ₹ 1 crore i.e., sale of immovable property where consideration is ₹ 50 lakh or more	1,00,000	1,52,000
Tax payable		2,33,47,953.048
Tax payable (rounded off)		2,33,47,950

Illustration 03 [PYQ July 2021]

Mr. Ashish, a resident individual, aged 43 years, provides professional services in the field of interior decoration. His Income & Expenditure A/c for the year ended 31st March, 2026 is as under:

Expenditure	₹	Income	₹
To Employees' Remuneration & Benefits	13,66,000	By Consultancy Charges	58,80,000
To Office & Administrative Exp.	3,14,000	By Interest on Public Provident Fund (PPF) Account	60,000
To General Expenses	75,000	By Interest on Savings Bank Account	20,000
To Electricity Expenses	65,000		
To Medical Expenses	80,000	By Interest on National	



To Purchase of Furniture	48,000	Savings Certificates	
To Depreciation	90,000	VIII Issue (for 3 rd	
		year)	21,000
To Excess of income over			
exp.	39,43,000		
	59,81,000		59,81,000

The following other information relates to financial year 2025-26:

- (i) The expenses on Employees' Remuneration & Benefits includes :
 - (a) Family Planning expenditure of ₹20,000 incurred for the employees which was revenue in nature. The same was paid through account payee cheque.
 - (b) Payment of salary of ₹25,000 per month to sister-in-law of Mr. Ashish, who was in-charge of the Accounts & Receivables department. However, in comparison to similar work profile, the reasonable salary at market rates is ₹20,000 per month.
- (ii) Amount received by Mr. Ashish as Employees' Contribution to EPF for the month of February, 2026 - ₹10,000 was also deposited after the due date under the relevant Act relating to EPF.
- (iii) Medical Expenses of ₹80,000 as appearing in the Income & Expenditure A/c was expensed for the treatment of father of Mr. Ashish. His father was 72 years old and was not covered by any health insurance policy. The said payment of ₹80,000 was made through account payee cheque.
- (iv) General expenses as appearing in the Income & Expenditure A/c, includes a sum of ₹25,000 paid to Ms. Anjaleen on 5th January, 2026 as commission for securing work from new clients. This payment was made to her without deduction of tax at source.
- (v) Written down value of the depreciable assets as on 1st April, 2025 were as follows:
 Professional Books ₹90,000
 Computers ₹35,000
- (vi) The new Furniture as appearing in the Income & Expenditure A/c. was purchased on 31st August, 2025 and was put to use on the same day. The payment was made as under:
 - ₹ 18,000 paid in cash at the time of purchase of new furniture on 31/08/2023.
 - ₹ 19,000 paid by account payee cheque on 05/09/2025 as balance cost of new furniture and
 - ₹ 11,000 paid in cash on 31/08/2025 to the transporter as freight charges for the new furniture.
- (vii) Mr. Ashish purchased a car on 02/04/2024 for ₹3,35,000 for personal use. However, on 30/04/2025 he brought the said car for use in his profession. The fair market value of the car as on 30/04/2025 was ₹2,50,000.
- (viii) Mr. Ashish made a contribution of ₹ 1,00,000 in his PPF A/c on 31/01/2026.
- (ix) The Gross Professional Receipts of Mr. Ashish for P.Y. 2024-25 was ₹ 52,00,000.

Compute the total income and tax liability of Mr. Ashish for A.Y. 2026-27, assuming that he has not opted for payment of tax under section 115BAC. Ignore provisions relating to AMT



and under section 14A relating to disallowance of expenditure incurred in relation to income not includible in total income.

Solution

Computation of total Income of Mr. Ashish for A.Y. 2026-27

	Particulars	₹	₹	₹
I	Income from business or profession			
	Excess of income over expenditure		39,43,000	
	Add: Items debited but not allowable while computing business income			
1.	Family planning expenditure incurred for employees [not allowable as deduction since expenditure on family planning for employees is allowed only to a company assessee/not allowed in case of individuals. Since the amount is debited to Income and Expenditure Account, the same has to be added back for computing business income]	20,000		
2.	Salary payment to sister-in-law in excess of market rate [Any expenditure incurred for which payment is made to a relative, to the extent it is considered unreasonable is disallowed. However, sister-in-law is not included in the definition of “relative” for the purpose of section 40A(2).	Nil		
3.	Therefore, no adjustment is required for excess salary paid to Mr. Ashish’s sister-in law]			
4.	Employees’ Contribution to EPF [Sum received by the assessee from his employees as contribution to EPF is income of the employer. Deduction in respect of such sum is allowed only if such amount is credited to the employee’s account on or before due date under the relevant Act. Since, the employees contribution to EPF for February 2026 is deposited after the due date under the	10,000		



		relevant Act, deduction would not be available]			
	5.	Medical expenses for the treatment of father [Not allowed as deduction since it is a personal expenditure / not an expenditure incurred for the purpose of business of Mr. Ashish. Since the amount is debited to Income and Expenditure Account, the same has to be added back for computing business income]	80,000		
	6.	Commission to Ms. Anjaleen without deduction of tax at source -[Mr. Ashish would be liable to deduct tax at source on commission since his gross receipts from profession exceeded ₹50 lakhs during F.Y. 2024 -25.Since commission has been paid with out deduction of tax at source, hence 30% of ₹25,000, being commission paid without deducting tax at source, would be disallowed under section40(a)(ia) while computing the business income of A.Y.2026-27]	7,500		
	7.	Depreciation as per books of account	90,000		
		Purchase of Furniture [not allowable, since it is a capital expenditure]	48,000	2,55,500	
				41,98,500	
		Less: Depreciation as per Income • tax Rules			
	1.	On Professional Books [₹ 90,000 x 40%]	36,000		
	2.	On Computers [₹ 35,000 x 40%]	14,000		
		On Furniture [₹19,000 x 10%, since it has been put to use for more than 180 days during the year] [Any expenditure for acquisition of any asset in respect of which payment or aggregate of payment made to a person, otherwise than by an a/c payee cheque/ bank draft or use of ECS or through prescribed electronic mode, exceeds ₹ 10,000 in a day, such expenditure would not form part of actual cost of such asset. Hence, ₹ 18,000	1,900		



		and ₹ 11,000 paid on 31.8.2025 in cash would not be included in the actual cost of furniture]			
		On Car [3,35,000 x 15%] [Actual cost of car would be the purchase price of the car to Mr. Ashish, i.e., ₹ 3,35,000]	50,250	1,02,150	
				40,96,350	
		Less: Items of income credited but not taxable or taxable under any other head of income			
	3.	Interest on Public Provident Fund [Exempt]	60,000		
	4.	Interest on Saving bank account [Taxable under the head “Income from other sources”]	20,000		
	5.	Interest on National Savings Certificates VIII Issue (3rd Year) [Taxable under the head “Income from other sources”]	21,000		
				1,01,000	
					39,95,350
II		Income from Other sources			
		Interest on savings bank account		20,000	
		Interest on National Savings Certificates VIII Issue (3 rd Year)		21,000	
					41,000
					40,36,350
		Less: Deduction under Chapter VI-A			
		Deduction under section 80C			
		Gross Total Income			
		Contribution to PPF	1,00,000		
		Interest on NSC (3 rd Year) (Reinvested)	21,000	1,21,000	
		Deduction under section 80D			
		Medical expenses for the treatment of father [Since Mr. Ashish’s father is a senior citizen and not covered by any health insurance policy, payment for medical expenditure by a mode other than cash would be allowed as deduction to the extent of ₹ 50,000] Deduction under section 80TTA		50,000	
		Interest on savings bank account to the extent of ₹ 10,000		10,000	1,81,000
		Total income			38,55,350



Computation of tax liability of Mr. Ashish for A.Y. 2026-27

Particulars	₹	₹
Tax on total income of ₹ 38,55,350		
Upto ₹ 2,50,000	Nil	
₹ 2,50,001 - ₹ 5,00,000 [@5% of ₹ 2.50 lakh]	12,500	
₹ 5,00,001 - ₹ 10,00,000 [@20% of ₹ 5 lakh]	1,00,000	
₹ 10,00,001 - ₹ 38,55,350 [@30% of ₹ 28,55,350]	8,56,605	
Add: Health and education cess @ 4%		9,69,105
		38,764
Tax liability		10,07,869
Tax liability (rounded off)		10,07,870

Illustration 04 [PYQ Dec 2021]

Mr. Shivansh, a resident and ordinarily resident aged 61 years, is engaged in the business of manufacturing of motor parts. He is subject to tax audit under section 44AB of Income Tax Act, 1961. He has provided following information:

Profit & Loss Account for the year ended 31st March, 2026

Particulars	(₹)	Particulars	(₹)
To Administrative expenses	4,30,000	By Gross Profit	58,30,000
To Salaries & wages	20,00,000	By Profit on sale of asset of scientific research	2,00,000
To Interest on loans	7,50,000		
To Depreciation	6,17,000		
To Professional fees	2,70,000	By Winning from lottery (Net of TDS @30%)	31,500
To Rent, rates & taxes	2,80,000		
To Travelling & conveyance	1,40,000		
To Net Profit	15,74,500		
Total	60,61,500	Total	60,61,500

Explanatory information:

- Opening and closing stock of finished goods were undervalued by 10%. Opening stock of ₹ 4,50,000 and Closing stock of ₹ 5,58,000 was shown.
- Salaries & wages include following items :
 - Contributed 20% of basic salary in National Pension Scheme referred to section 80CCD regarding salary paid to an employee Mr. Ganesh who has withdrawn basic salary of ₹ 3,00,000, and Dearness allowance is 40% of basic salary. 50% of Dearness allowance forms part of the salary.
 - Some of the employees opted for retirement under the voluntary retirement scheme; a sum of ₹ 2,40,000 was paid to them on 1st January, 2026.



3. Interest on loan includes interest paid @ 15% per annum on loan of ₹ 12,00,000 which was taken from State Bank of India on 01.05.2023 for purchase of new electric car of ₹ 15,00,000. The car is used for personal purpose.
4. Depreciation allowable as per Income Tax Rules, 1962 is ₹ 4,50,000 but during the calculation of such depreciation following addition was not considered:
Motor car purchased for ₹ 3,00,000 for supply of finished goods to dealers on 25-08-2025.
5. An asset was purchased for ₹ 6,00,000 on 17-11-2024 for conducting scientific research and the deduction was claimed under section 35 of the Income-tax Act, 1961. This asset was sold on 05-09-2025 for a consideration of ₹ 8,00,000.

Other information:

A plot of Industrial land which was used by Mr. Shivansh for business purpose for last 10 years was compulsorily acquired by Central Government on 07.05.2025. The compensation of ₹ 12,00,000 was received on 27.02.2026. Such property was purchased by him on 08.08.2005 for ₹ 2,00,000. He has purchased another plot of industrial land on 21.04.2026 for ₹ 10,00,000. Government has also paid ₹ 54,000 as interest on such compensation on 28.03.2026.

Compute the total income and tax liability of Mr. Shivansh for AY 2026-27 assuming that he has not opted provisions of section 115BAC. Ignore Provisions relating to AMT.

Solution

Computation of total income of Mr. Shivansh for A.Y. 2026-27

	Particulars	₹	₹	₹
I.	Income from business or profession			
	Net Profit		15,74,500	
	Add: Items debited but not allowable/item not credited but taxable while computing business income:			
	— Employer's contribution to NPS in excess of 10% of salary - Employer's contribution to the extent of 10% of salary i.e., basic salary plus dearness allowance forming part of salary would be allowed as deduction. Thus, excess contribution i.e., ₹ 24,000 [₹ 60,000, being 20% of ₹ 3,00,000 less ₹ 36,000 being 10% of ₹ 3,60,000 ₹ 3,00,000 + 20% of ₹ 3,00,000] has to be added back.	24,000		
	— VRS expenditure-1/5 th of expenditure on voluntary retirement scheme is allowable over a period of five years u/s 35DDA. Since whole amount of expenditure is debited to	1,92,000		



	Profit and Loss A/c, 4/5 th has to be added back [₹ 2,40,000 x 4/5].			
	— Interest on loan taken for purchase of electric car used for personal purpose not allowable as deduction while computing business income as being expense of personal nature. Thus, ₹ 1,65,000 [₹ 12,00,000 x 15% x 11/12] has to be added back, since the same forms part of interest on loan debited to profit and loss account.	1,65,000		
	— Sale proceeds of asset acquired for conducting scientific research taxable as business income under section 41 (3) in the year of sale to the extent of lower of ₹ 6,00,000 (being the deduction allowed u/s 35) and ₹ 8,00,000 being the excess of sale proceeds and deduction allowed u/s 35 i.e., (₹ 8,00,000 + ₹ 6,00,000) over the capital expenditure incurred of ₹ 6,00,000	6,00,000		
	— Undervaluation of stock [(₹ 5,58,000 - ₹ 4,50,000) x 10/90]	12,000		
	Note: Alternatively, undervaluation of closing stock i.e., ₹ 62,000 can be added back and under valuation of opening stock i.e., ₹ 50,000 can be reduced from net profits.			
	— Depreciation as per books of A/c	6,17,000		
			16,10,000	
			31,84,500	
	Less: Depreciation as per Income-tax Rules	4,50,000		
	Depreciation on Motor car purchased for supply of finished goods [₹ 3,00,000 x 15%]	45,000	4,95,000	
			26,89,500	
	Less: Items of income credited to profit and loss account but not taxable or taxable under any other head of income:			
	— Profit on sale of asset of scientific research [Taxable under the head “Capital Gains”]	2,00,000		



	— Winning from lottery [Taxable under the head “Income from other sources”]	31,500	2,31,500	
				24,58,000
II.	Capital Gain Short-term capital gains			
	Sale of asset acquired for conducting scientific research:			
	Sales consideration	8,00,000		
	Less: Cost of acquisition	6,00,000		
	Short- term capital gain Long-term capital gains		2,00,000	
	Compulsory acquisition of industrial plot by the Central Government taxable as per section 45(5):			
	Compensation received	12,00,000		
	Less: cost of acquisition	2,00,000		
	Long-term capital gain [since such plot is held for more than 24 months]	10,00,000		
	Less: Exemption u/s 54D			
	— Acquisition of industrial plot within 3 years	10,00,000	-	2,00,000
III.	Income from other sources			
	Winning from lottery [₹ 31,500 x 100/70]		45,000	
	Interest on enhanced compensation	54,000		
	Less: 50% of enhanced compensation	27,000	27,000	72,000
	Gross Total Income			27,30,000
	Less: Deduction under Chapter VI-A			
	Deduction under section 80EEB			
	Interest on loan taken for purchase of electric vehicle allowable as deduction to the extent of			1,50,000
	Total Income (rounded of)			25,80,000

Computation of tax liability of Mr. Shivansh for A.Y.2026-27

Particulars	₹	₹
Tax on winning from lottery @30% of ₹ 45,000		13,500
Tax on total income (excluding winning from lottery) of ₹ 25,35,000		
Upto ₹ 3,00,000 [since Mr. Shivansh, a senior citizen, he is eligible for higher exemption limit]	Nil	



₹ 3,00,001 - ₹ 5,00,000 [@5% of ₹ 2.00 lakh]	10,000	
₹ 5,00,001 - ₹ 10,00,000 [@20% of ₹ 5 lakh]	1,00,000	
₹ 10,00,001 - ₹ 25,35,000 [@30% of ₹ 15,35,000]	4,60,500	
		5,70,500
		5,83,500
Add: Health and education cess @4%		23,340
Tax liability		6,06,840
Tax liability (rounded off)		6,06,840

Illustration 05 [PYQ May 2022]

From the following particulars furnished by Mr. Suresh, aged 53 years, a resident Indian for the previous year ended March 31, 2026, you are requested to compute his total income and tax Payable for the Assessment Year 2026-27. (Assuming he do not opt for the Section 115BAC):

- (i) He sold his vacant land on 09.12.2025 for ₹ 15 lakhs. The Stamp Duty Value (SDV) of land at the time of transfer was ₹ 19 lakhs. The fair market value of the land as on 1st April, 2001 was ₹ 6 lakhs (SDV is ₹ 5,00,000). This land was acquired by him on 5.08.1996 for ₹ 3.40 lakhs. He had incurred registration expenses of ₹ 15,000 at that time.
- (ii) He owns an industrial undertaking established in a Special Economic Zone (SEZ) and which had commenced operation during the financial year 2019-20. Total turnover of the undertaking was ₹ 300 lakhs, which includes ₹ 120 lakhs from export turnover. This industrial undertaking fulfils all the conditions of Section 10AA of the Income-tax Act, 1961. Profit from this industrial undertaking is ₹ 30 lakhs.
- (iii) He has income of ₹ 10,000 from crossword puzzles and ₹ 15,000 gross interest from bank fixed deposit.
- (iv) Tuition fees of ₹ 36,000 for his three children to a school. The fees being ₹ 12,000 p.a. per child.

Solution

Computation of Total Income and Tax Payable by Mr. Suresh for A.Y. 2026-27

Particulars	Amount (₹)	Amount (₹)
Profits and gains from business or profession		
Profit from SEZ undertaking		30,00,000
Capital Gains		
Long term capital gain on sale of vacant land [since land held for a period of more than 24 months, it is long-term capital asset]		



As per section 50C, Full value of consideration would be stamp duty value since it exceeds 110% of actual sale consideration	19,00,000	
Less: cost of acquisition	5,00,000	
Cost of acquisition, being higher of		14,00,000
- Actual cost (₹ 3,40,000 + ₹ 15,000) ₹ 3,55,000		
- lower of FMV of ₹ 6,00,000 and ₹ 5,00,000		
stamp duty value of ₹ 5,00,000 as on 1.4.2001		
Income from other sources		
Income from crossword puzzles	10,000	
Interest on fixed deposit	15,000	
		25,000
Gross Total Income		44,25,000
Less: Deductions under Chapter VI-A		
Under section 80C - Tuition fees of two children		24,000
Less: Deduction under section 10AA		6,00,000
(₹ 30,00,000 x 120 lakhs/300 lakhs) x 50 %, being 7th year of operation		
Total Income		38,01,000
Computation of Tax payable on total income under the regular provisions of the Income-tax Act, 1961		
Tax on LTCG @ 12.5% of ₹ 14,00,000		1,75,000
Tax on income from crossword puzzles @30% of ₹ 10,000		3,000
Tax on remaining amount of ₹ 23,91,000 [₹ 4,17,300 (30% of ₹ 13,91,000) + ₹ 1,12,500]		5,29,800
		7,07,800
Add: Health and education cess @4%		28,312
Tax Payable under the regular provisions of the Act		7,36,112
Tax Payable under the regular provisions of the Act (rounded off)		7,36,110

Computation of Adjusted Total Income and Alternate Minimum Tax (AMT) payable

Particulars	Amount (₹)
Total Income computed under the regular provisions of the Act	32,01,000
Add: Deduction u/s 10AA	6,00,000
Adjusted Total Income	38,01,000
Alternate Minimum Tax@18.5%	7,03,185
Add: Health and Education cess @4%	28,127.4
AMT	7,31,312.4



AMT (rounded off)	7,31,310
Since the regular income-tax payable is more than the AMT payable. Therefore, his tax liability would be ₹ 7,36,110	

Illustration 06 [PYQ Nov 2022]

Dr. Rohan, 82 years old resident surgeon, having his Nursing Home in Mumbai, gives the following particulars for the year ended on 31.03.2026.

Receipts	₹	Payments	₹
Op. Balance b/d	1,25,000	Salary to Staff	3,50,000
Fees from visits to other hospitals (net)	5,85,000	Taxes & Insurance	26,000
Fees for March, 2025 received in April, 2025		Entertainment Expenses	1,10,000
IPD 40,000 OPD 45,000	85,000	Purchase of Television	48,000
Dividend from shares (net)	18,900	Gift to daughter-in-law	60,000
Fees received during the year	10,25,000	Interest on loan for repairs to property	65,000
Gifts received from relatives of patients	45,000	Personal medical expenses	70,000
Honorarium for painting services in Jai Hind Art School (net)	22,500	Deposits in PPF A/c.	55,000
Income Tax Refund (Including interest ₹ 1,500)	12,100	Nursing Home expenses	3,75,000
		Prof, fees paid for consulting services	1,20,000
		Purchase of furniture at home	1,35,000
		Personal Expenses	3,00,000
		Balance c/f	2,04,500
	19,18,500		19,18,500

Other Information :

- He keeps his books of accounts on cash basis and has not opted for the provisions of section 44ADA.
- Salary includes ₹ 60,000 paid to his sister who is a qualified nurse paid in cash.
- Entertainment expenses includes ₹ 25,000 for dinner to doctors in a five star hotel.
- Interest on loan for repairs to property includes ₹ 40,000 for his residential property.
- His daughter in law earned income of ₹ 10,000 from the amount received as gift.
- Fixed Assets values as on 01.04.2025 are as under :-
Nursing Home Equipment's ₹ 2,20,000, Medical Books (incl. annual publications ₹ 10,000) ₹ 35,000, Laptop ₹ 40,000.



(g) Television purchased for nursing home purpose on 21.09.2025 is put to use on 03.10.2025.

(h) He has donated ₹ 10,000 towards PM CARES Fund on 15.08.2025.

You are required to:

Compute the total income and tax payable by him for A.Y. 2026-27 as per the regular provisions of the Income-tax Act, 1961. Assume that he has not opted for section 115 BAC. What will be his total income and tax payable, if he opts for the provisions of section 44ADA Will it be more beneficial for him to adopt 44ADA ?

Solution

Computation of total income and tax payable by Dr. Rohan for A.Y. 2026-27 as per the regular provisions of the Act:

	Particulars	₹	₹	₹
I	Income from house property			
	Annual value [Assuming residential property self-occupied]		Nil	
	Less: Deduction under section 24(b)			
	Interest on loan for repairs to property, ₹ 40,000, restricted to		30,000	
	Loss from self-occupied property			(30,000)
	[Can be set-off against Profits and gains of business or profession or Income from other sources]			
II	Profits and gains from business and profession			
	Gross Receipts			
	Fees from visits to other hospitals [5,85,000/ 90%]	6,50,000		
	Fees for March 2025 received in April 2025 [Fees for March 2025 is chargeable to tax during P.Y. 2025-26, since Dr. Rohan is following cash system of accounting] [40,000 + 45,000]	85,000		
	Fees received during the year	10,25,000	17,60,000	
	Less: Permissible deductions			
	Salary to staff [Salary paid to his sister who is a qualified nurse in cash disallowed under section 40A(3), since such cash payment exceeds ₹ 10,000] [₹ 3,50,000 - ₹ 60,000]	2,90,000		
	Taxes and insurance	26,000		
	Entertainment expenses, including dinner to doctors [Assuming that the entire sum was	1,10,000		



	incurred wholly and exclusively for business purpose]			
	Interest on loan for repair to property [to the extent relating to business] = ₹ 65,000 - ₹ 40,000, relating to residential property	25,000		
	Nursing home expenses	3,75,000		
	Professional fees paid for consulting services	1,20,000	9,46,000	
			8,14,000	
	Less: Depreciation under section 32			
	Nursing home equipment's [2,20,000 x 15%]	33,000		
	Note: Nursing home equipment would be eligible for depreciation @15%, being the general rate for plant and machinery. The main solution has, accordingly, been worked out applying 15%. However, if such equipment are in the nature of life saving medical equipment, they would be eligible for higher depreciation @40%. If 40% rate is applied, depreciation would be ₹ 88,000			
	Medical books [35,000 x 40%]	14,000		
	Laptop [40,000 x 40%]	16,000		
	Television [48,000 x 15%, since the television is put to use for 180 days during the P.Y. 2025-26]	7,200	70,200	
	Note: Television would be eligible for depreciation @15%. However, television connected to laptop or other medical equipment and used by Doctor may be classified as plant and machinery eligible for depreciation @40%. If 40% rate is applied, depreciation for TV would be ₹ 19,200.			
	Also, it is possible to take a view that Television is furniture and fixtures qualifying for depreciation @10%. If 10% rate is applied, depreciation for TV would be ₹ 4,800.			7,43,800
III	Income from Other Sources			
	Dividend from shares [18,900/90%]		21,000	
	Honorarium for painting services in Jai Hind Art School [22,500/90%]		25,000	
	Honorarium (Alternative without TDS) - 22,500			



Note: In the question, it is mentioned that Dr. Rohan has received Honorarium for painting services in Jai Hind Art School (Net) of ₹ 22,500. Since the threshold limit for deducting tax at source under section 194J is ₹ 30,000, there is no requirement to deduct tax at source on such income. Accordingly, question can be answered without grossing up the amount of honorarium of ₹ 22,500. ,			
Interest on income-tax refund		1,500	
Gift received from relative of patients [exempt u/s 56(2) (x)]		Nil	
Income earned from gift to daughter in law [Income earned by daughter in law from asset gifted without consideration to her by Dr. Rohan is includible in the hands of Dr. Rohan]		10,000	57,500
Gross Total Income			7,71,300
Less: Deduction under Chapter VI-A			
Deduction under section 80C			
Deposits in PPF		55,000	
Deduction under section 80D			
Medical expenses to the extent of ₹ 50,000 since Dr. Rohan is a senior citizen (assuming he has not taken any medical insurance policy)		50,000	
Deduction under section 80G			
Donation towards PM CARES Fund		10,000	1,15,000
Total Income			6,56,300
Tax Payable			
Upto ₹ 5,00,000 [since Dr. Rohan is aged 80 years or above]		Nil	
₹ 5,00,001 to ₹ 6,56,300 [₹ 1,56,300 @20%]		31,260	31,260
Add: HEC@4%			1,250
Tax liability			32,510
Less: TDS on fees from visits to other hospitals		65,000	
TDS on dividend from shares		2,100	
TDS on honorarium for painting services in Jai Hind art School		2,500	69,600
Tax Refundable			37,090



Computation of total income and tax payable by Dr. Rohan for A.Y. 2025-26 if he opts for section 44ADA

	Particulars	₹	₹
I	Income from house property		
	Loss from self occupied property		(30,000)
II	Income from business or profession		
	Income from profession [17,60,000 x 50%]		
	[No other expenditure or depreciation is allowed]		8,80,000
III	Income from Other Sources		57,500
	Gross Total Income		9,07,500
	Less: Deduction under Chapter VI-A		1,15,000
	Total Income		7,92,500
	Tax Payable		
	Upto ₹ 5,00,000	Nil	
	₹ 5,00,001 to ₹ 7,92,500 [2,92,500@20%]	58,500	58,500
	Add: HEC@4%		2,340
	Tax liability		60,840
	Less: TDS		69,600
	Tax Refundable		8,760
	Since tax refundable in case Dr. Rohan opts for the provisions of section 44ADA is lower than the regular provisions of the Act, it would be beneficial for him not to opt for section 44ADA and get his books of account audited and declare income under the regular provisions.		

Illustration 07 [PYQ May 2023]

Mr. Bhasin, a resident individual, aged 52 years, provides management consultancy services to various corporate and non-corporate clients. His Income & Expenditure A/c for the year ended 31st March, 2026 is as under:

Expenditure	Amount (₹)	Income	Amount (₹)
To Employees' Remuneration	15,00,000	By Gross Receipts from Profession (last year ₹ 75,00,000) (No TDS was deducted from any of the receipts)	60,60,000
To Office & Administrative Expenses	5,00,000	By Interest on Savings Bank Account	25,000
To Rates and Taxes	15,000	By Winnings from Lottery (Net of cost of lottery tickets of ₹ 500/-)	99,500
To Interest Expenses	80,000	By Rent Received	2,40,000
To Office Rent	2,40,000		



To Insurance Premium	72,000		
To Professional Fees	2,00,000		
To Depreciation on Computers	1,20,000		
To Excess of Income over Expenditure	36,97,500		
	64,24,500		64,24,500

The following details relates to F.Y.2025-26:

- (i) Employees' Remuneration includes a sum of ₹ 3,00,000 paid to his wife, Mrs. Beena who is working as a manager in his office. She does not have any technical or professional qualification or experience required for the job. The payment of salary was as per market rates in comparison to similar work profile.
 - (ii) Mr. Bhasin owns a big house with 2 independent units. Unit -1 (with 50% floor area) has been let out for residential purposes at a monthly rent of ₹ 20,000 for the entire year. Unit -2 (with the balance 50% of the floor area) is used by Mr. Bhasin as his residence-cum-office. Other particulars of the house are:
Municipal Valuation- ₹ 3,60,000 p.a.
Fair Rent - ₹ 4,20,000 p.a.
Standard Rent under Rent Control Act - ₹ 4,00,000 p.a.
 - (iii) Rates and Taxes include a sum of ₹ 10,000 paid as municipal taxes of the house.
 - (iv) Interest expenses represent interest on capital borrowed from a nationalised bank for the construction of the house. The construction was completed in F.Y.2010-11. Neither the loan nor the interest was paid till the due date of filing the return of income.
 - (v) Based on the actual rent received for Unit-1, Mr. Bhasin has debited ₹ 2,40,000 as notional rent for Unit-2 which is used for his profession.
 - (vi) The expenses on insurance premium of ₹ 72,000 represents lump-sum health insurance premium paid by Mr. Bhasin for 3 years effective from 1st July, 2025 to 30th June, 2028 for himself, his spouse and two dependent children. The said insurance premium was paid through account payee cheque.
 - (vii) The expenses on professional fees paid includes a sum of ₹ 1,00,000 paid to a Mr. Raunak, an Indian resident on which no tax was deducted at source.
 - (viii) There was only one block containing computers which came into existence only on 2nd April, 2025 when new laptops (for ₹ 1,60,000), printers and scanners (for ₹ 40,000) were purchased. He charged depreciation @ 60% on the entire cost of ₹ 2,00,000 and debited the amount to Income & Expenditure A/c.
 - (ix) Mr. Bhasin has also taken a loan of ₹ 5,00,000 from a nationalised bank for higher education of his son. During F.Y.2025-26, he repaid principal of ₹ 75,000 along with interest of ₹ 40,000. This amount is not reflected in Income and Expenditure Account.
- You are required to compute the total income under proper heads of income of Mr. Bhasin for A.Y.2026-27 under regular provisions of Income-tax Act 1961, assuming that he has not opted to pay tax under Section 115BAC. Also calculate the total tax payable by him.

Solution

CA Jasmeet Singh



Computation of total income and tax payable by Mr. Bhasin for A.Y. 2026-27

	Particulars	₹	₹	₹
I	Income from Salaries			
	Salary of Mrs. Beena [Remuneration paid by Mr. Bhasin to his wife Mrs. Beena who is employed as a manager in his office would be included in his hands, since Mrs. Beena does not have any technical or professional qualification or experience required for the job]		3,00,000	
	Less: Standard deduction u/s 16(ia)		50,000	2,50,000
II	Income from house property			
	Let out portion (Unit 1 - 50% area)			
	Gross Annual Value [Higher of expected rent of ₹ 2,00,000 and actual rent of ₹ 2,40,000 (₹ 20,000 x 12)]	2,40,000		
	[Expected rent is higher of municipal value of ₹ 1,80,000 (3,60,000 x 50%) and fair rent of ₹ 2,10,000 (₹ 4,20,000 x 50%), restricted to standard rent of ₹ 2,00,000 (₹ 4,00,000 x 50%)]			
	Less: Municipal taxes paid for let out portion (₹ 10,000 x 50%)	5,000		
	Net Annual Value (NAV)	2,35,000		
	Less: Deduction under section 24			
	(a) 30% of NAV	70,500		
	(b) Interest on capital borrowed for construction of house relating to let out portion (80,000 x 50%), (allowed on accrual basis)	40,000		
	Income from let out portion		1,24,500	
	Self-occupied (Unit 2 - 25%)			
	[Since Unit 2 representing 50% of the floor area is used for residence as well as business purpose, it is assumed that it is equally used for residence and business purpose]			
	Gross Annual Value	Nil		



	Less: Municipal taxes [not allowed for self-occupied property]	Nil		
	Net Annual Value	Nil		
	Less: Deduction under section 24(b)			
	Interest on loan for construction of house, ₹80,000 x 50% x 1/2 (allowable on accrual basis)			
	Loss from self-occupied portion		(20,000)	
	[Loss from self-occupied portion can be set off against income from let out portion]			1,04,500
III	Profits and gains from business and profession			
	Excess of income over expenditure			
	Add: Expenses debited to Income & Expenditure A/c but not allowable as deduction		36,97,500	
	Remuneration paid to his wife Mrs. Beena [As per section 40A(2) remuneration paid to Mrs. Beena is allowed, since it is as per market rates]	—		
	Municipal taxes attributable to let out and self-occupied portions not allowable [₹ 10,000 x 75%]	7,500		-
	Interest on capital borrowed for construction of house attributable to let out and self-occupied portion not allowable [₹ 80,000 x 75%]	60,000		
	Interest on capital borrowed from bank for construction of house attributable to business portion i.e., 25% of ₹80,000 [not allowable, since it is not paid on or before due date of filing return of income by virtue of section 43B]	20,000		
	Notional rent for Unit 2 used for business or profession [not allowable under section 30, since Mr. Bhasin himself is the owner of the property]	2,40,000		
	Insurance premium [Personal expenditure not allowable]	72,000		



	Professional fees to Mr. Raunak without deducting TDS [₹ 1,00,000 x 30%] [Mr. Bhasin is required to deduct TDS on professional fees payment to Mr. Raunak since his gross receipts from profession exceeds ₹ 50 lakhs during the P.Y. 2024-25. 30% of the sum paid to Mr. Raunak, resident without deducting tax to be disallowed in P.Y. 2025-26]	30,000		
	Depreciation as per books	1,20,000	5,49,500	
			42,47,000	
	Less: Income credited to Income & Expenditure A/c but not taxable as business income			
	Interest on savings bank account [taxable under the head “Income from other sources”]	25,000		
	Winnings from lottery [taxable under the head “Income from other sources”]	99,500		
	Rent received [taxable under the head “Income from house property”]	2,40,000	3,64,500	
			38,82,500	
	Less: Depreciation allowable [2,00,000 (₹ 1,60,000, being new laptops + ₹ 40,000, being printers) x 40%, i.e., 64,000+16,000 as it was put to use for more than 180 days in the P.Y. 2025-26. Printers and scanners for ₹ 40,000 are eligible for higher depreciation of 40%]		80,000	
IV	Income from Other Sources			38,02,500
	Interest on savings bank account		25,000	
	Winnings from Lottery [No expenditure or allowance is allowed from lottery income]		1,00,000	
				1,25,000
	Gross Total Income			42,82,000
	Less: Deduction under Chapter VI-A Deduction under section 80D			
	Medical insurance premium [₹ 72,000 x 1/4, being the previous years in which		18,000	



	insurance would be in force] [allowable for self, spouse and dependent children]			
	Deduction under section 80E			
	Interest on loan taken from a nationalised bank for higher education of son		40,000	
	Deduction under section 80TTA			
	Interest on saving bank account to the extent of		10,000	68,000
	Total Income			42,14,000
	Tax Payable			
	On lottery income [30% of ₹ 1,00,000]		30,000	
	On other income of ₹ 41,14,000			
	Upto ₹ 2,50,000	Nil		
	₹ 2,50,000 @5% [₹ 2,50,000 - ₹ 5,00,000]	12,500		
	₹ 5,00,000 @20% [₹ 5,00,000 - ₹10,00,000]	1,00,000		
	₹ 31,14,000 @30% [₹ 10,00,000 - ₹41,14,000]	9,34,200	10,46,700	10,76,700
	Less: HEC@4%			43,068
	Tax liability			11,19,768
	Less: TDS on lottery winnings @30% u/s 194B			30,000
	Tax payable			10,89,768
	Tax payable (rounded off)			10,89,770

Illustration 08 [RTP Sep 2024]

Mr. Anand, a resident Indian aged 45 years, has provided you the following information for the previous year ended on 31.03.2026

(i) He owns an industrial undertaking established in a SEZ and which had commenced operation during the financial year 2019-20. Total turnover of the undertaking was ₹ 200 lakhs. Export turnover received in India in convertible foreign exchange on or before 30.9.2026 is ₹ 120 lakhs. This industrial undertaking fulfills all the conditions of section 10AA of the Income-tax Act, 1961. Profit from this industry is ₹ 35 lakhs.

(ii) Mr. Anand sold equity shares of different Indian companies on 14th March, 2026:

Name	Sale value (per share)	Purchase price (per share)	Acquired on	No. of shares	FMV as on 31.1.2018
Sam Ltd.	₹ 150	₹ 120 (STT paid at acquisition)	2 nd Feb, 2026	2000	-
Jam Ltd.	₹ 100	₹ 72 (STT	16 th April, 2017	1250	50



		paid at acquisition)			
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Sale proceeds were subject to brokerage of 0.1% and securities transaction tax of 0.125% on the gross consideration.

- (iii) He made payment of ₹ 90,000 on 1.9.2025 vide cheque towards medical insurance as lumpsum premium for himself and his wife till 31.8.2029. He also made cash payment of ₹ 7,500 towards preventive health checkup for himself and his wife.
- (iv) He received royalty of ₹ 2,88,000 from abroad for a book authored by him in the nature of artistic. The rate of royalty as 16% of value of books and expenditure made for earning this royalty was ₹ 40,000. The amount remitted to India till 30th September, 2026 is ₹ 2,50,000.
- (v) He received income-tax refund of ₹15,750 (including interest ₹ 1,750) relating to the assessment year 2025-26.
- (vi) He occupies ground floor of his residential building and has let out first floor for residential use for a monthly rent of ₹ 15,000. He has paid municipal taxes of ₹ 30,000 for the current financial year. Both floors are of equal size. He has taken a loan from bank of ₹ 50 lakhs for the construction of this property in 2020 and has repaid ₹ 2,05,000 (including interest ₹1,00,000) during the year 2025-26.
- (vii) Mr. Anand deposited ₹ 1,30,000 in Public Provident Fund and ₹ 80,000 in 5 years term deposit in the name of his minor son, Aman.

You are required to compute the total income and tax liability of Mr. Anand under section 115BAC as well as under normal provisions for the A.Y. 2026-27. Ignore AMT provisions.

Solution

Computation of total income of Mr. Anand for A.Y. 2026-27 under section 115BAC

	Particulars	₹	₹	₹
I.	Income from house property			
	Let out portion [First floor]			
	Gross Annual Value [Rent received is taken as GAV, in the absence of other information]		1,80,000	
	Less: Municipal taxes paid by him in the P.Y. 2025-26 pertaining to let out portion [₹ 30,000/2]		15,000	
	Net Annual Value (NAV)		1,65,000	
	Less: Deduction u/s 24			
	(a) 30% of ₹ 1,65,000	49,500		
	(b) Interest on loan [₹ 1,00,000/2]	50,000	99,500	
	Self-occupied portion [Ground Floor]		65,500	
	Annual Value		Nil	



	[No deduction is allowable in respect of municipal taxes paid]			
	Net Annual Value (NAV)		Nil	
	Less: Interest on loan [Not allowable under section 115BAC]		Nil	65,500
II.	PGBP			
	Income from SEZ unit			35,00,000
III.	Capital Gains			
	Short-term capital gains on sale of equity shares of Sam Ltd. (since held for not more than 12 months)			
	Full Value of Consideration [2000 x ₹ 150]	3,00,000		
	Less: Brokerage @ 0.1%	300		
	Net sale consideration	2,99,700		
	Less: Cost of acquisition [₹ 2000 x 120]	2,40,000	59,700	
	Long-term capital gains on sale of equity shares of Jam Ltd. (since held for more than 12 months)			
	Full Value of Consideration [1250 x ₹ 100]	1,25,000		
	Less: Brokerage @ 0.1%	125		
	Net sale consideration	1,24,875		
	Less: Cost of acquisition [No indexation benefit would be available]	90,000	34,875	94,575
	Higher of cost of acquisition of ₹ 90,000 (72 x 1250) and ₹ 62,500, being lower of FMV of ₹ 62,500 and full value of consideration of ₹ 1,25,000			
IV.	Income from Other Sources			
	Royalty from artistic book		2,88,000	
	Less: Expenses incurred for earning royalty		40,000	
			2,48,000	
	Interest on income-tax refund		1,750	
				2,49,750
	Gross Total Income			39,09,825



Less: Deduction under Chapter VI-A [Not allowable under section 115BAC]			-
Total Income			39,09,825
Total Income (Rounded off)			39,09,830

**Computation of Tax liability of Mr. Anand for
A.Y. 2026-27 under section 115BAC**

Tax on total income of ₹ 39,09,830		
Tax on LTCG exceeding ₹ 1.25 lakhs @12.5% u/s 112A		-
Tax on STCG of ₹ 59,700 @20% u/s 111A		11,940
Tax on remaining total income of ₹ 38,15,255		
Upto ₹ 24,00,000	3,00,000	
₹ 24,00,001 - ₹ 38,15,255[@30% of ₹ 14,15,255]	4,24,576.5	7,24,576.5
		7,36,516.5
Add: Health and education cess@4%		29,460.66
Tax liability		7,65,977.16
Tax liability (Rounded off)		7,65,980

**Computation of total income and tax liability of Mr. Anand for
A.Y. 2026-27 under normal provisions of the Act**

Particulars	₹	₹	₹
Gross Total Income as per section 115BAC			39,09,825
Less: Interest on loan for self occupied property [₹ 1,00,000/2]			50,000
Gross Total Income as per normal provisions of the Act			38,59,825
Less: Deduction u/s 10AA [Since the industrial undertaking is established in SEZ, it is entitled to deduction u/s 10AA @50% of export profits, since P.Y.2025-26, being the 7 th year of operations]			10,50,000
[Profits of the SEZ x Export Turnover received in India in convertible foreign exchange on or before 30.9.2026/Total Turnover] x 100%			
[₹ 35 lakhs x ₹ 120 lakhs/ ₹ 200 lakhs x 50%]			
Less: Deduction under Chapter VI-A			
Deduction under section 80C			
Repayment of housing loan	1,05,000		



Public Provident Fund	1,30,000		
5 years Term deposit (not allowed as deduction in the name of minor son)	-		
Restricted to	2,35,000	1,50,000	
Deduction under section 80D			
Medical insurance premium [90,000 x 1/5]	18,000		
Preventive health check up of ₹ 7,500, subject to maximum of ₹ 5,000	5,000	23,000	
Deduction under section 80QCB		2,10,000	
Royalty [₹ 2,88,000 x 15/16 = ₹ 2,70,000, restricted to amount brought into India in convertible foreign exchange ₹ 2,50,000 - ₹ 40,000 expenses already allowed as deduction while computing royalty income]			3,83,000
Total Income			24,26,825
Total Income (Rounded off)			24,26,830
Tax on total income of ₹ 24,26,830			
Tax on LTCG exceeding ₹ 1.25 lakhs @12.5% u/s 112A			-
Tax on STCG of ₹ 59,700 @20% u/s 111A			11,940
Tax on remaining amount of ₹ 23,32,255			
Upto Rs. 10,00,000		1,12,500	
₹ 10,00,001 - ₹ 23,32,255[@30% of ₹ 13,32,255]		3,99,676.5	5,12,176.5
			5,24,116.5
Add: Health and education cess@4%			20,964.66
Tax liability			5,45,081.16
Tax liability (rounded off)			5,45,080

Illustration 09 [RTP May 2024]

Mr. Rajesh is a working partner in M/s Sunflower Associates, a partnership firm. Mr. Rajesh has contributed ₹ 15 lakhs as capital in the firm.

Partnership deed authorises payment of interest to partners @ 13% and also payment of remuneration to partners @20,000 per month. Whole of the remuneration is allowable as deduction to M/s Sunflower Associates.

Mr. Rajesh has set up a unit in SEZ in May, 2019. The total turnover, export turnover and net profit for the year ended 31.3.2026 were ₹ 120 lakhs, ₹ 45 lakhs and ₹ 7.5 lakhs respectively. Out of the export turnover of ₹ 45 lakhs, only ₹ 40 lakhs has been received in convertible foreign exchange by 30.9.2026.



During the P.Y. 2025-26, Mr. Rajesh has commenced a business of warehousing facility for storage of edible oil. The net profit of this business as per profit & loss account is ₹ 7,50,000. The following items are debited to Profit & Loss Account:

- (i) Personal drawings ₹ 70,000
- (ii) Advance income-tax paid ₹ 1,00,000
- (iii) Purchase of warehouse building of ₹ 10 lakhs on 10.6.2025 for the purpose of storage of edible oil.

The following items are credited to Profit & Loss account:

- (i) Interest on saving bank account with post office ₹ 15,000
- (ii) Interest on fixed deposit with SBI ₹ 20,000
- (iii) Dividend from Indian companies (Gross) ₹ 32,000

He has paid the premium of ₹ 60,000 on life insurance policy in the name of her married daughter. The policy was taken on 1.10.2019 and the sum assured being ₹ 5,00,000.

Compute the total income and tax payable by Mr. Rajesh for the A.Y. 2026-27 under default tax regime and normal provisions of the Act.

Solution

Computation of total income of Mr. Rajesh for the A.Y. 2026-27 under default tax regime under section 115BAC

	Particulars	Amount (in ₹)	
I	Profits and gains of business and profession		
	Income from firm M/s Sunflower Associates		
	Interest on capital @13% p.a. on ₹ 15 lakhs, restricted to 12%, which is the maximum deduction allowable in the hands of the firm	1,80,000	
	Salary to Mr. Rajesh as a working partner, which is allowable as deduction in the hands of firm (₹ 20,000 x 12)	2,40,000	4,20,000
	Profit from SEZ unit		
	Net profit from SEZ unit		7,50,000
	Income from warehousing facility for storage of edible oil		
	Net profit as per profit and loss account	7,50,000	
	Less: Income credited to profit and loss account but taxable under the head 'Income from Other Sources'		
	Interest on savings bank A/c with post office	15,000	
	Interest on fixed deposit with SBI	20,000	
	Dividend from Indian companies (Gross)	32,000	
		6,83,000	
	Add: Payments not allowable as deduction		



II	Advance income-tax paid disallowed u/s 40(a)(ii)	1,00,000	
	Personal drawings disallowed u/s 37	70,000	
	Purchase of building		10,00,000
		18,53,000	
	Less: Depreciation on building [10,00,000 x 10%]	1,00,000	17,53,000
	Income from Other Sources		
	Interest on savings bank A/c	15,000	
	Less: Exempt under section 10(15)	3,500	11,500
	Interest on fixed deposit with SBI	20,000	
	Dividend from Indian companies (Gross)	32,000	63,500
	Gross Total Income/ Total Income		29,86,500
	[No deduction under section 80C, 80TTA and 10AA would be allowable]		

Computation of tax payable under default tax regime for A.Y. 2026-27

	₹	₹
Tax on total income of ₹ 29,86,500		
On first ₹ 24,00,000	3,00,000	
₹ 24,00,001 - ₹ 29,86,500 [@30% of ₹ 5,86,500]	1,75,950	4,75,950
Add: Health and Education cess @4%		19,038
		4,94,988
Less: Advance income-tax paid		1,00,000
Tax payable		3,94,988
Tax Payable (Rounded off)		3,94,990

Computation of total income of Mr. Rajesh for the A.Y. 2026-27 under normal provisions of the Act

Particulars	Amount (in ₹)	
Gross Total Income as per section 115BAC	29,86,500	
Less: Deduction under section 10AA [₹ 7,50,000 x 40,00,000/ ₹ 1,20,00,000 x 50%, being seventh year of operation]	1,25,000	28,61,500
Less: Deduction under Chapter VI-A		
Deduction under section 80C		
Life insurance premium [maximum 10% of sum assured]	50,000	
Deduction under section 80TTA		
Interest on saving bank account with post office, restricted to	10,000	60,000



Total Income		28,01,500
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**Computation of tax payable by Mr. Rajesh for A.Y. 2026-27
under the regular provisions of the Act**

Particulars	₹	₹
Tax on total income of ₹ 28,01,500		
upto Rs. 10,00,000	1,12,500	
₹ 10,00,001 - ₹ 28,01,500 [@30% of ₹ 18,01,500]	5,40,450	6,52,950
Add: Health and education cess@4%		26,118
Total tax liability		6,79,068
Less: Advance income-tax paid		1,00,000
Tax payable		5,79,068
Tax payable (rounded off)		5,79,070

**Computation of adjusted total income and AMT of Mr. Rajesh for
A.Y. 2026-27**

Particulars	₹
Total Income	28,01,500
Add: Deduction under section 10AA	1,25,000
Adjusted Total Income	29,26,500
Alternative Minimum Tax@18.5%	5,41,403
Add: Health and education cess@4%	21,656
Total tax liability	5,63,059
Less: Advance income-tax paid	1,00,000
Tax payable	4,63,059
Tax payable (rounded off)	4,63,060

Since alternate minimum tax payable is less than the regular income-tax payable, tax payable under normal provisions of the Act is ₹ 5,79,070.

Illustration 10 [PYQ May 2024]

Mr. Sahil, resident Indian aged 40 years, a Manufacturer at Chennai, gives the following Manufacturing, Trading and Profit & Loss Account for the year ended 31.03.2026.

**Manufacturing, Trading and Profit & Loss Account
for the year ended 31.03.2026**

Particulars	₹	Particulars	₹
To Opening Stock	71,000	By Sales	43,50,000
To Purchase of Raw		By Closing Stock	2,00,000
Materials	17,20,500		
To Manufacturing			
Wages & Expenses	5,80,500		



To Gross Profit	21,78,000		
Total	45,50,000	Total	45,50,000
To Administrative		By Gross Profit	21,78,000
Charges	2,90,000	By Dividend From	
To SGST Penalty Paid		Domestic Companies	15,000
(It is not compensatory nature)	7,000	By Winning from	

To GST Paid	1,10,000	Lotteries (Net of TDS) (TDS 4,500)	10,500
To General Expenses	55,000	By Profit on Sale of	
To Miscellaneous Expenses	1,50,500	Shares	45,000
To Loss on Sale of Shares	20,000		
To Interest to Bank (on Machinery term loan)	60,000		
To Depreciation	2,00,000		
To Net Profit	13,56,000		
Total	22,48,500	Total	22,48,500

Following are the further information relating to Financial Year 2025-26:

- (i) Administrative Charges include ₹ 46,000 paid as commission to brother of Assessee. The Commission amount at the market rate in ₹ 36,000.
- (ii) The assessee paid ₹ 33,000 in cash to a Transport Carrier on 26.12.2025. This amount is included in Manufacturing Expenses. (Assume that the provisions relating to TDS are not applicable on this payment.)
- (iii) A Sum of ₹ 4,000 per month was paid as salary to a staff throughout the year and this has not been recorded in books of account.
- (iv) Bank Term Loan Interest actually paid upto 31.03.2025 was ₹ 20,000 and the balance was paid in October 2026.
- (v) Miscellaneous Expenses include ₹ 10,000 contributed to Prime Minister's Relief Fund.
- (vi) Loss on Sale of Shares represents shares sold within a period of 6 months from the date of purchase.
- (vii) Profit on Sale of Shares represents shares held for 2 years & Securities Transaction Tax was paid on it.
- (viii) Housing Loan Principal repaid during the year was ₹ 50,000 and it relates to residential property occupied by him. Interest on Housing Loan was ₹ 2,60,000. Housing Loan was taken from Canara Bank. (Value of house property is ₹ 45 Lakhs, loan value ₹ 25 Lakhs and sanction date 31.03.2017).
These amounts were not dealt with in the Profit and Loss Account given above. (Assume this housing loan is eligible for 80EE deduction).



(ix) Depreciation allowable under the Act to be computed on the basis of following information:

Plant & Machinery (Depreciation Rate @15%)	₹
Opening WDV (as on 01.04.2025)	12,00,000
Additions During the year (Used for more than 180 Days)	2,00,000
Total Additions during the year	4,00,000
Note: Ignore Additional Depreciation u/s 32(1)(iia)	

Compute the total income and tax liability of Mr. Sahil for the A.Y. 2026-27 if he has exercised the option of shifting out of the default tax regime provided under Section 115BAC(1A).

Solution

Computation of total income and tax liability of Mr. Sahil for A.Y. 2026-27

Particulars	₹
Income from house property	
Annual value of self-occupied property	Nil
Less: Deduction under section 24(b)	
Interest on housing loan of ₹ 2,60,000 restricted to ₹ 2,00,000	2,00,000
	(2,00,000)
Profits and gains of business or profession	
Net Profit	13,56,000
Add: Disallowed Expenditure debited to Profit and Loss A/c	
- Commission paid to brother [Commission paid to a related person/relative to the extent it is excessive to market rate is disallowed under section 40A(2)]	10,000
- Cash payment to a Transport Carrier [Not disallowed under section 40A(3) since the limit for one time cash payment is ₹ 35,000 in respect of payment to transport operators]	Nil
- Interest to bank on term loan [Interest paid to bank after the due date of filing of return under section 139(1) is disallowed as per section 43B]	40,000
- Contribution to Prime Minister's Relief Fund [Not allowable since the same is not incurred wholly and exclusively for business purpose]	10,000
- SGST Penalty paid [SGST penalty paid is not compensatory in nature and therefore, not allowable]	7,000
- Loss on sale of shares	20,000
- Depreciation as per books of account	2,00,000
	16,43,000



Less: Incomes credited to profit and loss account but not taxable as business income	
- Dividend from Domestic Companies	15,000
- Winnings from lotteries	10,500
- Profit on sale of shares	45,000
	15,72,500
Less: Depreciation allowable as per Income- tax Rules,1962	
On P&M [@15% on ₹ 14,00,000, being opening WDV of ₹ 12 lakhs and additions put to use for more than 180 days of ₹ 2 lakhs + @7.5% on ₹ 2,00,000, being additions put to use for less than 180 days]	2,25,000
	13,47,500
[8% of sales i.e. ₹ 43,50,000 x 8% ¹ assuming entire amount of sales are not received by A/c payee cheque or A/c payee draft or ECS or other electronic prescribed modes]	3,48,000
Business Income	13,47,500
[As per section 44AD, in case of Mr. Sahil, being an eligible assessee, a sum equal to ₹ 3,48,000 (8% ¹ of total turnover i.e., ₹ 43,50,000) or as the case may be, a sum higher than the aforesaid sum claimed to have been earned by him would be deemed to be the business income. In this case, since Mr. Sahil has maintained books of account, he can claim the higher sum actually earned ₹ 13,47,500 as his income from business.] (See Note below the solution for alternate answer)	
Less: Set off of loss from house property as per section 71(3A)	2,00,000
	11,47,500
Add: Salary paid to staff not recorded in the books [Assuming the expenditure is in the nature of unexplained expenditure, the same is deemed to be income as per section 69C of Mr. Sahil. No deduction would be allowed in respect of such expenditure.] Alternatively, it is possible to assume that the salary not recorded in the books of account was an erroneous omission and the assessee has offered satisfactory explanation about the source of such expenditure. In such a case, it would not be considered as deemed income and the same would be allowed as deduction while computing business income on the basis of books of accounts. In such a case, business income, total income and tax liability (rounded off) would be ₹ 10,99,500, ₹ 10,44,500 and ₹ 1,23,080.	48,000
	11,95,500



III	Capital Gains		
	Long term capital gains taxable u/s 112A [Since shares are held for 2 years and STT has been paid]	45,000	
	Less: Set off of short term capital loss as per section 70(2)	20,000	25,000
IV	Income from Other Sources		
	Dividend from Domestic Companies	15,000	
	Winning from lotteries (₹ 10,500 + ₹ 4,500)	15,000	
			30,000
	Gross Total Income		12,50,500
	Less: Deduction under Chapter VI-A		
	Deduction under section 80C		
	Principal repayment of housing loan	50,000	
	Deduction under section 80EE		
	Interest on housing loan of ₹ 60,000 [₹ 2,60,000 – ₹ 2,00,000, allowed u/s 24(b)] allowable under section 80EE upto ₹ 50,000	50,000	
	Deduction under section 80G		
	Contribution to Prime Minister's Relief Fund ²	10,000	1,10,000
	Total Income		11,40,500
	Tax Liability		
	Tax on LTCG of ₹ 25,000 u/s 112A [Exempt upto ₹ 1.25 lakh]		Nil
	Tax on winning from lotteries of ₹ 15,000 @30%		4,500

	Tax on unexplained expenditure of ₹ 48,000 @60%		28,800
	Tax on balance income of ₹ 10,52,500 at slab rate		
	Upto ₹ 2,50,000	Nil	
	From ₹ 2,50,001 to ₹ 5,00,000 @5%	12,500	
	From ₹ 5,00,001 to ₹ 10,00,000 @20%	1,00,000	
	From ₹ 10,00,001 to ₹ 10,52,500 @30%	15,750	1,28,250
	Add: Surcharge @25% on tax on unexplained expenditure of ₹ 28,800		1,61,550
			7,200
			1,68,750
	Add: Health and education cess @4%		6,750
	Tax Liability		1,75,500

Illustration 11 [PYQ Sep 2024]

Mr. Suraj, (39 years), his wife Megha (35 years) and minor son Dev (12 years), provide the following details of their income/losses for the previous year 2025-26:



Mr. Suraj

(i) Salary received as a partner from a partnership firm - ₹ 6,15,000

He is a working partner in the firm and the salary is as per the limits prescribed under section 40(b)

(ii) Income (loss) from house property:

Brought forward loss from House -A (let out) - ₹ 96,000 Current year loss from House B (let out) - ₹ 2,30,000

(iii) Interest received on enhanced compensation - ₹ 2,00,000

It relates to transfer of a piece of land in the financial year 2020-21.

Out of the above ₹ 35,000 relates to previous year 2025-26 and the balance relate to preceding previous year.

(iv) Gift from grandfather's younger sister by cheque - ₹ 1,25,000

(v) Dividend on listed equity shares of domestic companies (Gross) - ₹ 50,000

(vi) On 1st December 2025, Mr. Suraj received ₹ 75 lakhs as maturity proceeds from his life insurance policy which was taken on 1st May 2012. He paid ₹ 6,00,000 as annual premium and the sum assured was ₹ 65 lakhs.

Mrs. Megha

(i) Current year loss from business. (She carried on this business with funds which Mr. Suraj gifted to her) - ₹ 8,10,000.

(ii) Mrs. Megha purchased a house property from her "Stridhan" and gifted the same to her minor son, Dev on 1st April, 2025 out of love and affection. The FMV of the house on the date of transfer was ₹ 51 lakhs.

Master Dev

Rent received from house property received from Mrs. Megha - ₹ 35,000 p.m.

Compute total income of Mr. Suraj, Mrs. Megha and Dev for the assessment year 2026-27 assuming Mr. Suraj has decided to pay tax under default tax regime provided under section 115BAC, whereas Mrs. Megha and Dev have opted out of the default tax regime. Briefly explain the reasons for the treatment of each item.

Solution

Computation of total income of Mr. Suraj, Mrs. Megha and minor son Dev for A.Y. 2026-27

Particulars	Mr. Suraj [Under default tax regime] ₹	Mrs. Megha [Under normal provisions] ₹	Dev [Under normal provisions] ₹
Income from house property			
Annual Value [As per section 27, Mrs. Megha is the deemed owner of the house property		4,20,000	



transferred to minor son, Dev without consideration though such property is acquired from her “Stridhan”] [₹ 35,000 x12]			
Less: Deduction @30% of NAV		1,26,000	
Brought forward loss from House A [Not allowed to be set-off against income from other heads]	-	2,94,000	
Current year loss of Mr. Suraj from House – B [Not allowed to be set-off against income from other heads since Mr. Suraj is paying tax under default tax regime]	-		
PGBP			
Salary from partnership firm	6,15,000		
Less: As per section 70, set off of current year loss from business of ₹ 8,10,000 to the extent of [Current year loss from business of his wife is allowed to be set off in the hands of Mr. Suraj since funds for business is gifted by him]	6,15,000		
Income from Other Sources	-		
Interest on enhanced compensation [Taxable in the year it is received]	2,00,000		
Less: Deduction @50%	1,00,000		
	1,00,000		
Gift from grandfather's sister [Taxable under section 56(2)(x), since grandfather's sister is not a relative and the amount of gift exceeds ₹ 50,000]	1,25,000		
Dividend on shares (gross)	50,000		
Maturity proceeds from LIC [Exempt under section 10(10D)]	-		



since the annual premium payable does not exceed 10% of sum assured]			
Less: Set off of remaining business loss of ₹ 1,95,000	2,75,000		
	1,95,000		
Gift of house property from Mrs. Megha to Dev [Exempt since the gift is from a relative i.e., from his mother]	80,000		Nil
Taxable Income	80,000	2,94,000	-

Illustration 12 [RTP Nov 2023]

Mr. Jain, a resident individual, aged 40 years, suffers from severe disability as certified by medical authority. He gives the following information for the previous year 2025-26:

- (i) He has paid life insurance premium by cheque ₹ 27,000 to insure his life. The insurance policy was taken on 27.8.2018 and the sum assured is ₹ 2,20,000.
- (ii) He had written a literary book for Rochak Publication. A lump sum amount of royalty income earned in the previous year 2025-26 amounted to ₹ 9,00,000. Expenses incurred for writing the book amounted to ₹ 40,000.
- (iii) His friends gifted a statue of Goddess Saraswati to his daughter Ms. Diya (aged 14 years) on the successful completion of her secondary school. Fair market value of the statue is ₹ 65,000.
- (iv) He received a gold chain worth ₹ 68,000 from his in-laws on the occasion of his marriage anniversary
- (v) He had deposited ₹ 70,000 in fixed deposit with SBI in the name of his minor son in September 2025. Interest earned on such deposit ₹ 5,500.
- (vi) He donated ₹ 5,000 in cash to a NGO (the NGO was registered under section 80G of the Income-tax Act, 1961).
- (vii) He had taken a loan of ₹ 38,00,000 for the purchase of a house property valuing ₹ 45,00,000 for self-occupation from a financial institution on 1st May 2023. He repaid ₹ 1,80,000 during the P.Y. 2025-26 out of which ₹ 1,05,000 is towards principal payment and the balance is for interest on loan.

Compute the total income of Mr. Jain for the A.Y. 2026-27 if he does not opt for the provisions of section 115BAC.

Solution**Computation of total income of Mr. Jain for the A.Y.2026-27**

Particulars	₹	₹
Income from house property		
NAV	Nil	
Less: Interest on loan	75,000	(75,000)



Income from Other Sources		(75,000)
Royalty	9,00,000	
Less: Expenses incurred for writing book	40,000	8,60,000
Value of statue of Goddess Saraswati	65,000	
[The fair market value of the statue (sculpture) received by his minor daughter as gift (not on account of her skill) from his friends would be taxable, since its value exceeds ₹ 50,000. It would be included in the hands of Mr. Jain, assuming his income before considering clubbing provisions is higher than his wife].		
Less: Exemption under section 10(32)	1,500	63,500
Value of Gold Chain [The Fair market value of ₹ 68,000 of gold chain received on occasion of his marriage anniversary would be exempt, since it is received from a relative.]		-
Interest on fixed deposit in the name of his son [It would be included in the hands of Mr. Jain, assuming his income before considering clubbing provisions is higher than his wife]	5,500	
Less: Exemption under section 10(32)	1,500	4,000
Gross Total Income		8,52,500
Less: Deduction under Chapter VI-A		
Deduction under section 80C		
Life insurance premium [Since Mr. Jain suffers from severe disability, premium upto 15% of the sum assured ₹ 2,20,000 would be allowed, as the policy is taken after 31.3.2012]	27,000	
Repayment of principal amount for housing loan	1,05,000	1,32,000
Deduction under section 80G		
Donation to an NGO registered under section 80G [Not allowable since the donation is made in cash of a sum exceeding ₹ 2,000]		-
Deduction under section 80QQB		
Royalty income of a resident from literary book		3,00,000
Deduction under section 80U [Since Mr. Jain suffers from severe disability]		1,25,000
Total income		2,95,500

Illustration 13 [RTP May 2021]

Mr. Dhruv, a person of Indian origin and citizen of Country X, got married to Ms. Deepa, an Indian citizen residing in Country X, on 4th February, 2025 and came to India for the first



time on 20-02-2025. He left for Country X on 12th August, 2025. He returned to India again on 20-01-2026 with his wife to spend some time with his parents-in law for 30 days and thereafter returned to Country X on 18.02.2026.

He received the following gifts from his relatives and friends of her wife during 01-04-2025 to 31-03-2026 in India:

- From parents of wife	₹ 1,01,000
- From married sister of wife	₹ 11,000
- From very close friends of his wife	₹ 2,82,000

- (i) Determine his residential status and compute the total income chargeable to tax along with the amount of tax payable on such income for the Assessment Year 2026-27.
- (ii) Will your answer change if he has received ₹ 16,00,000 instead of ₹ 2,82,000 from very close friends of his wife during the previous year 2025-26 and he stayed in India for 400 days during the 4 years preceding the previous year 2025-26?

Solution

- (i) Determination of residential status and computation of total income and tax payable of Mr. Dhruv

Under section 6(1), an individual, being a person of Indian origin and who comes on a visit to India during the previous year and his total income other than the income from foreign source exceeds ₹ 15,00,000, is said to be resident in India, if he stayed in India for a total period of 120 days or more during that previous year and for 365 days or more during the 4 years immediately preceding the relevant previous year.

However, in case, the total income other than the income from foreign source does not exceed ₹ 15,00,000, the said individual is said to be resident in India, only if he stayed in India for a total period of 182 days or more during that previous year.

Since in the present case, total income other than from foreign source, of Mr. Dhruv, a person of Indian origin does not exceed ₹ 15,00,000, he would be said to be resident in India, only if he stayed in India for 182 days or more during the previous year 2025-26 relevant to A.Y. 2026-27.

His stay in India during the previous year 2025-26 is as under:

P.Y. 2025-26

01.04.2025 to 12.08.2025	-	134 days
20.01.2026 to 18.02.2026	-	30 days
Total		164 days

Since Mr. Dhruv has stayed in India during the previous year for less than 182 days, he is said to be non-resident. Accordingly, his total income and tax payable would be computed in the following manner:

Computation of total income and tax payable of Mr. Dhruv for the A.Y. 2026-27

Particulars	₹
Income from other sources	



Cash gifts received from non-relatives is chargeable to tax as per section 56(2)(x) if the aggregate value of such gifts exceeds ₹ 50,000.	
- ₹ 1,01,000 received from parents of wife would be exempt, since parents of wife fall within the definition of 'relatives' and gifts from a relative are not chargeable to tax.	Nil
- ₹ 11,000 received from married sister-in-law is exempt, since sister of wife falls within the definition of relative and gifts from a relative are not chargeable to tax.	Nil
- Gift received from close friends of his wife of ₹ 2,82,000 is taxable under section 56(2)(x) since the said sum exceeds ₹ 50,000.	2,82,000
Total Income	2,82,000
Tax on total income of ₹ 2,82,000 [5% of ₹ 32,000 in excess of ₹ 2,50,000, being the basic exemption limit]	1,600
Add: Health and Education cess@4%	64
Total tax payable	1,664
Total tax payable (rounded off)	1,660

(ii) Determination of residential status and computation of total income and tax payable of Mr. Dhruv (if he has received cash gifts from non-relative for ₹ 16,00,000):

Where an individual, being a person of Indian origin comes on visit to India and he is having total income other than income from foreign sources exceeding ₹ 15 lakhs during the previous year, such individual is said to be resident in India, if he stays in India during the previous year for 120 days or more and for 365 days or more during the 4 years immediately preceding the relevant previous year. As per section 6(6), such individual whose stay in India is for 120 days or more but less than 182 days in the P.Y. 2025-26 would be resident but not ordinarily resident irrespective of his residential status or no. of days of stay in India in the immediately preceding PYs.

Mr. Dhruv, is a person of India origin who has come on a visit to India during the previous year. Since his total income other than income from foreign sources exceeds ₹ 15,00,000; and his stay in India is for 164 days during the P.Y. 2025-26 and for 400 days during the 4 years immediately preceding the P.Y. 2025-26, he is resident but not ordinarily resident in India for the P.Y. 2025-26.

In such case, his total income and tax payable would be computed in the following manner:

Computation of total income and tax payable of Mr. Dhruv for the A.Y. 2026-27

Particulars	₹
Income from other sources	
Cash gifts received from non-relatives is chargeable to tax as per section 56(2)(x) if the aggregate value of such gifts exceeds ₹ 50,000.	
- ₹ 1,01,000 received from parents of wife would be exempt, since parents of wife fall within the definition of 'relatives' and gifts from a relative are not chargeable to tax.	Nil



- ₹ 11,000 received from married sister-in-law is exempt, since sister of wife falls within the definition of relative and gifts from a relative are not chargeable to tax.	Nil
- Gift received from close friends of his wife of ₹ 16,00,000 is taxable under section 56(2)(x) since the amount of cash gifts exceeds ₹ 50,000.	16,00,000
Total Income	16,00,000
Tax on total income of ₹ 16,00,000	1,20,000
Upto ₹ 4,00,000 Nil	
₹ 4,00,001 – ₹ 8,00,000 [₹ 4,00,000 @ 5%] 20,000	
₹ 8,00,001 – ₹ 12,00,000 [₹ 4,00,000 @ 10%] 40,000	
₹ 12,00,001 – ₹ 16,00,000 [₹ 4,00,000 @ 15%] 60,000	
Add: Health and Education cess@4%	4,800
Total tax payable	1,24,800

Illustration 14 [MTP May 2022]

From the given information, you are required to compute the tax payable by Mr. Akash, a manufacturer and distributor of fertilizers and other agricultural products, aged 61 years, for the A.Y. 2026-27.

Trading and Profit and Loss Account of Mr. Akash

Particulars	Amount (in ₹)	Particulars	Amount (in ₹)
To Opening Stock	24,21,000	By sales	3,12,50,100
To Purchases	2,28,00,500	By Closing stock	26,00,100
To Direct expenses	4,12,040		
To Freight inward	2,92,000		
To Gross Profit c/d	79,24,660		
	3,38,50,200		3,38,50,200
To Salaries and wages	17,12,000	By Gross Profit b/d	79,24,660
To General expenses	3,65,000	By Dividend income from Indian companies (Gross)	17,20,000
To Rates and taxes	2,20,000	By Interest received on FDs (Net of tax)	1,08,000
To Interest paid On late payment of GST	2,845	By Rent received	7,20,000
To Income-tax paid for F.Y. 2024-25	3,45,000	By Income-tax refund	18,000
To Interest paid to NBFC	1,20,000		
To Depreciation	1,82,000		



To Net Profit	75,43,815		
	1,04,90,660		1,04,90,660

Additional information:

- (i) Closing stock of P.Y. 2025-26 was undervalued by ₹ 25,000.
 - (ii) Rates and taxes include ₹ 1,000 paid towards late filing of his Income-tax return for Assessment Year 2025-26 under section 234F of Income-tax Act.
 - (iii) Salaries include ₹ 15,000 paid on single day by way of cash to his accountant.
 - (iv) Interest paid on loan of ₹ 10,00,000 taken from a Non-Banking Finance company. Out of the loan, amount of ₹ 2 lakhs was used for personal purpose and the balance was used for business purpose. No TDS was deducted while payment of interest.
 - (v) An amount of ₹ 45,000 was paid by cheque during the year towards health insurance policy covering himself, his spouse and his children.
 - (vi) General expenses include advertisement expense of ₹ 20,000 paid by cheque towards an advertisement in a souvenir published by local political party.
 - (vii) Income-tax refund includes ₹ 2,000 towards interest.
 - (viii) Depreciation charged is as per Income-tax Rules, however, it does not include depreciation on a new Maruti Van purchased and put to use on 23rd September, 2025 for his business use. The cost of the vehicle is ₹ 2,10,000.
 - (ix) Advance Tax paid during the year is ₹ 15 lakhs.
 - (x) Turnover for the year ending 31.03.2025 was ₹ 3.08 crores.
 - (xi) Tax has been deducted at source on income, wherever required.
- Mr. Akash does not want to opt for the provisions of section 115BAC.

Solution**Computation of Total Income of Mr. Akash for the A.Y.2026-27**

Particulars	₹	₹	₹
Income from house property			5,04,000
Annual value (rent received has been taken as annual value, due to absence of information relating to expected rent in the question)		7,20,000	
Less: Deduction u/s 24(a)			
30% of Annual Value		2,16,000	
Profits and gains of business or profession			
Net profit as per profit and loss account		75,43,815	
Add: Expenses/Payments debited to profit and loss account but not allowed			
- Fee for late filing of income-tax return for A.Y. 2025-26 – disallowed	1,000		
- Salary paid to an accountant in cash exceeding ₹ 10,000 – disallowed under section 40A(3)	15,000		



- Interest paid to NBFC on loan which is used for personal purposes ($\text{₹ } 1,20,000 \times 2,00,000 / 10,00,000$) – not allowed as per section 37	24,000		
- Interest paid to NBFC on which tax is not deducted attracts disallowance @30% of ₹ 96,000 [Since Mr. Akash's turnover for the immediately preceding previous year i.e., P.Y. 2024-25 exceeds ₹ 1 crore, he is required to deduct tax at source. Disallowance@30% of interest is attracted for non- deduction of tax at source]	28,800		
- Income-tax paid for F.Y. 2024-25	3,45,000		

- Interest paid on late payment of GST, allowed, since it is not for infraction of law but is compensatory in nature.	-		
- Advertisement expenses towards an advertisement in a souvenir published by local political party [disallowed under section 37(2B)]	20,000	4,33,800	
Add: Undervaluation of Closing stock		25,000	
Less: Income chargeable under other heads and income not chargeable to tax but credited to profit and loss account		80,02,615	
- Dividend income from Indian companies	17,20,000		
- Interest on FDs (Net of taxes) (Gross income taxable under the head "Income from other sources")	1,08,000		
- Rent received (taxable under the head "Income from house property")	7,20,000		
- Income-tax refund	18,000	25,66,000 54,36,615	
Less: Depreciation on Motor car purchased and put to use on 23.9.2025 [$\text{₹ } 2,10,000 \times 15\%$]		31,500	54,05,115
Income from Other Sources			
Dividend income		17,20,000	
Interest on fixed deposits ($\text{₹ } 1,08,000 \times 100/90$)		1,20,000	
Interest on income-tax refund		2,000	18,42,000
Gross Total Income			77,51,115
Less: Deduction under Chapter VI-A			
Section 80D			



Health insurance premium of ₹45,000 paid for self, spouse and his children allowable as deduction since Mr. Akash is a senior citizen		45,000	
Section 80GGC			
Expenditure towards advertisement in a souvenir published by local political party not allowable as deduction			45,000
Total Income			77,06,115
Total Income (rounded off)			77,06,120

Computation of tax payable by Mr. Akash for the A.Y.2026-27

Particulars		₹
Upto ₹3,00,000	Nil	
₹ 3,00,001 – ₹ 5,00,000 [i.e., ₹2,00,000@5%]	10,000	
₹ 5,00,001 – ₹10,00,000 [i.e., ₹5,00,000@20%]	1,00,000	
₹ 10,00,001 above [i.e., 67,06,120 @30%]	20,11,836	21,21,836

Add: Surcharge @10%, since total income exceeds ₹ 50,00,000	2,12,184
	23,34,020
Add: Health and Education cess@4%	93,361
Tax Liability	24,27,381
Less: Advance tax paid	15,00,000
Tax deducted at source on interest on FDs under section 194A	12,000
Tax deducted at source on dividend income under section 194	1,72,000
Tax payable	7,43,381
Tax payable (Rounded off)	7,43,380

Illustration 15 [MTP May 2023]

Mr. Sonu, General Manager of Akon Ltd., Delhi, furnishes the following particulars for the financial year 2025-26:

- (i) Salary ₹ 46,000 per month
- (ii) Value of medical facility in a hospital maintained by the company ₹ 7,000
- (iii) Rent free accommodation owned by the company
- (iv) Housing loan of ₹ 6,00,000 given on 01.04.2021 at the interest rate of 6% p.a. (No repayment made during the year). The rate of interest charged by State Bank of India (SBI) as on 01.04.2025 in respect of housing loan is 10%.
- (v) Gifts in kind made by the company on the occasion of wedding anniversary of Mr. Sonu ₹ 4,750.
- (vi) A four seater dining table was provided to Mr. Sonu at his residence. This was purchased by the company on 1.5.2022 for ₹ 60,000 and sold to Mr. Sonu on 1.8.2025 for ₹ 30,000.



- (vii) Personal purchases through credit card provided by the company amounting to ₹ 10,000 was paid by the company. No part of the amount was recovered from Mr. Sonu.
- (viii) A Maruti Suzuki car which was purchased by the company on 16.7.2022 for ₹ 2,50,000 was sold to Mr. Sonu on 14.7.2025 for ₹ 80,000.

Other income received by the assessee during the previous year 2025-26:

	Particulars	₹
(a)	Interest on Fixed Deposits with a company	5,000
(b)	Income from specified mutual fund	3,000
(c)	Interest on bank fixed deposits of a minor married daughter	3,000

(ix) Contribution to LIC towards premium under section 80CCC ₹ 1,00,000

(x) Deposit in PPF Account made during the year 2025-26 ₹ 40,000

Compute the taxable income of Mr. Sonu for the Assessment year 2026-27 assuming he is not opting for section 115BAC.

Solution

Computation of taxable income of Mr. Sonu for the A.Y. 2026-27

	Particulars	₹	₹
(a)	Income from Salaries (See Working Note below)		6,85,200
(b)	Income from Other Sources		
	(i) Interest on fixed deposit with a company	5,000	
	(ii) Income from specified mutual fund	3,000	
	(iii) Interest on Fixed Deposit received by minor daughter (₹ 3,000 - ₹ 1500)	1,500	9,500
	Gross total income		6,94,700
	Less: Deductions under Chapter VI-A		
	Section 80C – PPF	40,000	
	Section 80CCC	1,00,000	1,40,000
	Total Income		5,54,700

Working Note:

Computation of salary income of Mr. Sonu for the A.Y. 2026-27

Particulars	₹
Salary [₹ 46,000 x 12]	5,52,000
Medical facility [in the hospital maintained by the company is exempt]	–
Rent free accommodation	
10% of salary is taxable (i.e. ₹ 5,52,000 × 10% as per Rule 3(1))	55,200
Valuation of perquisite of interest on loan	



[Rule 3(7)(i)] – Perquisite value would be 10% as reduced by actual rate of interest charged i.e. $[10\% - 6\% = 4\% \times ₹ 6,00,000]$		24,000
Gift given on the occasion of wedding anniversary ₹ 4,750 is exempt, since its value is less than ₹ 5,000		-
Use of dining table for 4 months		
$[₹ 60,000 \times 10 / 100 \times 4 / 12]$		2,000
Perquisite on sale of dining table		
Cost	60,000	
Less: Depreciation on straight line method @ 10% for 3 years	18,000	
Written Down Value	42,000	
Less: Amount paid by the assessee	30,000	12,000
Purchase through credit card – not being a privilege but covered by section 17(2)(iv)		10,000
Perquisite on sale of car		
Original cost of car	2,50,000	
Less: Depreciation from 16.7.2022 to 15.7.2023 @ 20%	50,000	
	2,00,000	
Less: Depreciation from 16.7.2023 to 15.7.2024 @ 20%	40,000	
Value as on 14.07.2025- being the date of sale to employee	1,60,000	
Less: Amount received from the assessee on 14.07.2025	80,000	80,000
Gross Salary		7,35,200
Less: Standard deduction under section 16(ia)		50,000
Taxable Salary		6,85,200

Note: Under Rule 3(7)(viii), while calculating the perquisite value of benefit to the employee arising from the transfer of any movable asset, the normal wear and tear is to be calculated in respect of each completed year during which the asset was put to use by the employer. In the given case the third year of use of car is completed on 15.7.2025 whereas the car was sold to the employee on 14.7.2025. The solution worked out above provides for wear and tear for only two years.

Illustration 16 [MTP Nov 2023]

Mr. Raj, aged 52 years a resident Indian, has furnished the following particulars for the year ended 31.03.2026:

- (i) He occupies ground floor of his residential building and has let out first floor for residential use at an annual rent of ₹ 3,34,000. He has paid municipal taxes of ₹ 30,000 for the current financial year. Both these floors are of equal size.
- (ii) As per interest certificate from ICICI bank, he paid ₹ 1,80,000 as interest and ₹ 95,000 towards principal repayment of housing loan borrowed for the above residential building.
- (iii) He owns an industrial undertaking established in a SEZ and which had commenced operation during the financial year 2019-20. Total turnover of the undertaking was ₹



400 lakhs, which includes ₹ 120 lakhs from export turnover. This industrial undertaking fulfills all the conditions of section 10AA of the Income-tax Act, 1961. Profit from this industry is ₹ 45 lakhs.

He employed 20 new employees for the said industrial undertaking during the previous year 2025-26. Out of 20 employees, 12 were employed on 1st May 2025 for monthly emoluments of ₹ 18,000 and remaining were employed on 1st August 2025 on monthly emoluments of ₹ 12,000. All these employees participate in recognised provident fund and they are paid their emoluments directly to their bank accounts.

(iv) He earned ₹ 30,000 and ₹ 45,000 as interest on saving bank deposits and fixed deposits respectively.

(v) He also sold his vacant land on 01.12.2025 for ₹ 15 lakhs. The stamp duty value of land at the time of transfer was ₹ 16 lakhs. The FMV of the land as on 1st April, 2001 was ₹ 4.8 lakhs and Stamp duty value on the said date was ₹ 4 lakhs. This land was acquired by him on 15.09.1997 for ₹ 2.80 lakhs. He had incurred registration expenses of ₹ 12,000 at that time.

(vi) He paid insurance premium of ₹ 49,000 towards life insurance policy of his son, who is not dependent on him.

You are requested to compute his total income and tax liability of Mr. Raj for the Assessment Year 2026-27, Assume Mr. Raj does not opt for the provisions of section 115BAC.

Solution

Computation of total income of Mr. Raj for A.Y. 2026-27

	Particulars	₹	₹	₹
I	Income from house property			
	Let out portion [First floor]			
	Gross Annual Value [Rent received is taken as GAV, in the absence of other information]		3,34,000	
	Less: Municipal taxes paid by him in the P.Y. 2025-26 pertaining to let out portion [₹ 30,000/2]		15,000	
	Net Annual Value (NAV)		3,19,000	
	Less: Deduction u/s 24			
	(i) 30% of ₹ 3,19,000	95,700		
	(ii) Interest on housing loan [₹ 1,80,000/2]	90,000	1,85,700	
	Self-occupied portion [Ground Floor]		1,33,300	
	Annual Value		Nil	
	[No deduction is allowable in respect of municipal taxes paid]			
	Less: Interest on housing loan		90,000	
			(90,000)	
	Income from house property [1,33,300 – 90,000]			43,300
II	Profits and gains of business or profession			



	Income from SEZ unit			45,00,000
III	Capital Gains			
	Long-term capital gains on sale of land (since held for more than 24 months)			
	Full Value of Consideration [Actual consideration of ₹ 15 lakhs, since stamp duty value of ₹ 16 lakhs does not exceed actual consideration by more than 10%]		15,00,000	
	Less: Cost of acquisition		4,00,000	11,00,000
	Cost of acquisition			
	Higher of -			
	- Actual cost ₹ 2.80 lakhs + ₹ 0.12 lakhs = ₹ 2.92 lakhs and			
	- Fair Market Value (FMV) as on 1.4.2001 = ₹ 4.8 lakhs but cannot exceed stamp duty value of ₹ 4 lakhs.			
IV	Income from Other Sources			
	Interest on savings bank deposits		30,000	
	Interest on fixed deposits		45,000	75,000
	Gross Total Income			57,18,300
	Less: Deduction u/s 10AA [Since the industrial undertaking is established in SEZ, it is entitled to deduction u/s 10AA@50% of export profits, since P.Y.2025-26 being the 7th year of operations]			6,75,000
	[Profits of the SEZ x Export Turnover/Total Turnover] x 100%			
	[₹ 45 lakhs x ₹ 120 lakhs / ₹ 400 lakhs x 100%]			
	Less: Deduction under Chapter VI-A			
	Deduction under section 80C			
	Repayment of principal amount of housing loan	95,000		
	Insurance premium paid on life insurance policy of son allowable, even though not dependent on Mr. Raj	49,000	1,44,000	
	Deduction under section 80JJAA		9,43,200	
	30% of the employee cost of the new employees employed during the P.Y. 2025-26 allowable as deduction [30% of ₹ 31,44,000 [₹ 23,76,000 (12 x 18,000 x 11) + ₹ 7,68,000 (8 x 12,000 x 8)]]			
	Deduction under section 80TTA		10,000	
				10,97,200



Total income			39,46,100
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**Computation of tax liability of Mr. Raj for A.Y.2026-27
under the normal provisions of the Act**

Particulars	₹	₹
Tax on total income of ₹ 39,46,100		
Tax on LTCG of ₹ 11,00,000@12.5%		1,37,500
Tax on remaining total income of 28,46,100		
Upto ₹ 2,50,000	Nil	
₹ 2,50,001 – ₹ 5,00,000[@5% of ₹ 2.50 lakh]	12,500	
₹ 5,00,001 – ₹ 10,00,000[@20% of ₹ 5,00,000]	1,00,000	
₹ 10,00,001 – ₹ 28,46,100[@30% of ₹ 18,46,100]	5,53,830	6,66,330
		8,03,830
Add: Health and education cess@4%		32,153.2
Total tax liability		8,35,983.2
Tax liability (rounded off)		8,35,980

**Computation of tax liability of Mr. Raj for A.Y.2026-27 under the special provisions of the
Act (Alternate Minimum Tax)**

Particulars	₹
Computation of adjusted total income	
Total income as per the normal provisions of the Act	32,71,100
Add: Deduction u/s 10AA	6,75,000
Deduction u/s 80JJAA	9,43,200
	48,89,300
AMT@18.5%	9,04,520.5
Add: HEC@4%	36,180.82
AMT liability	9,40,701.32
AMT liability (rounded off)	9,40,700

Since the regular income tax payable is less than the AMT, the total tax liability would be ₹ 9,40,700. In this case, AMT credit of ₹ 1,04,720 (₹ 9,40,700 – ₹ 8,35,980) can be carried forward.

Illustration 17 [PYQ Jan 2025]

Mr. X, age 83 years, a resident individual, gives the following particulars of his receipts for A.Y. 2026-27:

Installment received from the bank under reverse mortgage arrangement	1,50,000
Interest on bank term deposits	2,00,000
Interest on bank saving a/c	45,000



Pension from Central Govt.	4,50,000
STCG on sale of dining table and chairs	1,00,000
Income from dairy farming on his rural agricultural land	50,000

Compute his total income and Income Tax thereon for A.Y. 2026-27 considering that assessee has opted out of Default tax regime.

Solution

Computation of total income and tax liability of Mr. X for A.Y. 2026-27

		₹	₹
I	Income from Salaries		
	Pension from Central Government	4,50,000	
	Less: Standard deduction u/s 16 [Actual salary or ₹ 50,000, whichever is less]	50,000	4,00,000
II	Capital Gains		
	STCG on sale of dining table and chairs [Not a capital asset since it is personal effects]		Nil
III	Income from Other Sources		
	Installment received under reverse mortgage [Exempt u/s 10(43)]	Nil	
	Interest on bank term deposits	2,00,000	
	Interest on bank saving a/c	45,000	
	Income from dairy farming on agricultural land	50,000	2,95,000
	Gross Total Income		6,95,000
	Less: Deduction under section 80TTB		50,000
	Total Income		6,45,000
	Tax liability		
	Up to ₹ 5,00,000	Nil	
	₹ 5,00,001 – ₹ 6,45,000 [@20% of ₹ 1,45,000]	29,000	29,000
	Add: Health and education cess @4%		1,160
	Tax liability		30,160

Illustration 18 [PYQ Jan 2025]

Mr. Rohit, a resident individual, aged 65 years, is a qualified medical practitioner. He runs his own clinic. Income & Expenditure A/c of Mr. Rohit for the year ending March 31st 2026 is as under:

Expenditure	₹	Income	₹
To Salary to Staff	8,20,000	By Consultation Fees	22,00,000
To Administrative Expenses	5,90,000	By Salary received from Care Hospital Pvt. Ltd.	1,80,000
To Conveyance Expenses	24,000	By Rental Income from HP	78,000



To Power & Fuel	24,000	By Dividend from Foreign Companies	10,000
To Interest on Housing Loan	1,00,000		
To interest on Education Loan for son	26,000		
To Amount paid to scientific research association approved & notified u/s 35	25,000		
To Net Profit	8,59,000		
Total	24,68,000	Total	24,68,000

Following is the further information relating to Financial Year 2025-26:

- 1) He is working part-time with Care Hospital Pvt. Ltd. His Salary details are as under :

Basic Pay	₹ 13,000 p.m.
Transport Allowance	₹ 2,000 p.m.
Total	₹ 15,000 p.m.

Further, during P.Y. 2025-26 his son had undergone a medical treatment in Care Hospital Pvt. Ltd. free of cost. The hospital would have charged a sum of ₹ 1,00,000 for a similar treatment to unrelated patients.

- 2) He owns a residential house. The ground floor of the house (50% portion) is self-occupied by him while first floor of the house (50% portion) has been rented out since 01/10/2025. The reconstruction of the entire house was started on 01.04.2025 and was completed on 30.09.2025. The monthly rent is ₹ 10,000. The tenant also pays ₹ 3,000 p.m. as power back-up charges. He took a housing loan of ₹ 12 lakhs on 01.04.2025. Interest on housing loan for the period 01.04.2025 to 30.09.2025 was ₹ 60,000 and for the period 01.10.2025 to 31.03.2026 was ₹ 40,000.

During the year, he also paid municipal taxes for the F.Y. 2024-25 ₹ 4,000 and F.Y. 2025-26 ₹ 6,000.

- 3) Other Information:

- Payment of salary of ₹ 25,000 per month to sister-in-law of Mr. Rohit, who was in-charge of the Accounts & Receivables department. However, in comparison to similar work profile, the reasonable salary at market rate is ₹ 20,000 per month.
- Conveyance expenses include a sum of ₹ 12,000 incurred for conveyance from house to Care Hospital Pvt. Ltd. and vice-versa in relation to his employment.
- Power and fuel expenses include a sum of ₹ 6,000 incurred for generator fuel for providing power back up to the tenant.
- Administrative expenses include a sum of ₹ 10,000 paid as Municipal Taxes for his house.
- Clinic Equipment details are :
Opening W.D.V. of Clinic Equipment as on 01.04.2025 was ₹ 1,00,000 and fresh purchase made on 28.08.2025 for ₹ 25,000 which was paid in cash.



- f) He also paid tuition fees of ₹ 40,000 for his Grand Daughter, which is debited to his capital a/c.
- g) He availed a loan of ₹ 8,00,000 from bank for higher education of his son. He repaid principal of ₹ 50,000 and interest of ₹ 26,000 during P.Y. 2025-26.

You are required to compute his net taxable income and net tax liability for the A.Y. 2026-27 if he has exercised the option of shifting out of the default tax regime provided under section 115BAC(1A).

Solution

Computation of net taxable income and net tax liability of Mr. Rohit for A.Y. 2026-27 under the normal provisions of the Act

	Particulars		₹	₹
I	Income from Salaries			
	Basic Pay (₹ 13,000 x 12)		1,56,000	
	Transport Allowance (₹ 2,000 x 12)		24,000	
	Cost of treatment for son in Care Hospitals Pvt. Ltd. [Exempt, since value of medical treatment provided to an employee's family member in any hospital maintained by the employer is excluded from the definition of perquisite]		Nil	
	Gross Salary		1,80,000	
	Less: Standard deduction u/s 16		50,000	
	Net Salary		1,30,000	
	Less: Set off of loss from house property		41,500	88,500
II	Income from house property			
	Let out portion [First floor]			
	Gross Annual Value [Rent received is taken as GAV = ₹ 10,000 p.m. x 6 months]		60,000	
	Less: Municipal taxes paid in the P.Y. 2025-26 pertaining to let out portion [(₹ 4,000 + ₹ 6,000)/2], allowable since it is paid during the year, even if it relates to earlier years		5,000	
	Net Annual Value (NAV)		55,000	
	Less: Deduction u/s 24			
	a) 30% of ₹ 55,000	16,500		
	b) Interest on housing loan [(₹ 60,000 (+) ₹ 40,000)/2]	50,000	66,500	
			(11,500)	



	Self-occupied portion [Ground Floor]			
	Annual Value	Nil		
	Less: Deduction u/s 24			
	Interest on housing loan for reconstruction			
	1,00,000 $[(40,000 + 60,000)/2]$ restricted to	30,000	(30,000)	
	Loss from house property		(41,500)	
III	Profits and gains of business or profession			
	Net profit as per Income and Expenditure account		8,59,000	
	Add: Items of expenditure not allowable while computing business income			
	Excessive salary paid to sister-in law [allowed, since sister-in law does not fall within the definition of relative]	Nil		
	Conveyance expenses in relation to her employment with Care Hospital Pvt. Ltd. debited to Income and Expenditure A/c, not allowed	12,000		
	Power and fuel expenses incurred for providing power back up to tenant not deductible	6,000		
	Municipal tax paid relating to residential house included in administrative expenses, not deductible	10,000		
	Interest on housing loan for reconstruction of residential house	1,00,000		
	Interest on education loan for son	26,000	1,54,000	
			10,13,000	
	Less: Allowable expenditure			
	Depreciation on Clinic equipments			
	On Opening WDV ₹ 1,00,000 @15%	15,000		
	On additions during the year ₹ 25,000, no depreciation is allowable, since payment was made in cash and hence, it will not form part of actual cost.	Nil	15,000	
			9,98,000	
	Less: Items of income to be treated separately under the respective head of income			
	Salary received from Care Hospitals Pvt. Ltd.	1,80,000		



	Rental income from house property	78,000		
	Dividend from foreign companies	10,000	2,68,000	
	Note – Mr. Rohit, is a medical professional and if he claims that his profits and gains from profession are lower than ₹ 11,00,000 (50% of gross receipts i.e., ₹ 22,00,000) and his total income exceeds the maximum amount not chargeable to tax, he would be required to maintain books of accounts and get them audited from an accountant by virtue of section 44ADA(4).			7,30,000
IV	Income from Other Sources			
	Power back up charges from tenant (₹ 3,000 p.m. x 6 months)	18,000		
	Less: Actual expenditure incurred for providing power back up	6,000	12,000	
	Dividend from foreign companies		10,000	
				22,000
	Gross Total Income			
	Less:			
	Deduction under section 80C – Tuition fee paid for grand child is not allowable		Nil	
	Deduction under section 80E - Interest on loan taken for higher education of her son is deductible		26,000	
	Principal repayment of loan taken for education is not deductible		Nil	
				26,000
	Total Income			8,14,500
	Tax on total income of ₹ 8,14,500			
	Up to ₹3,00,000		Nil	
	₹ 3,00,001 – ₹ 5,00,000 [@5% of 2,00,000]		10,000	
	₹ 5,00,000 – ₹ 8,14,500 [@20% of 3,14,500]		62,900	
				72,900
	Add: HEC @ 4%			2,916
				75,816
	Net tax liability (rounded off)			75,820

Illustration 19 [RTP Jan 2025]



Mr. Ramesh is an authorized wholesale distributor of fertilizers and other agricultural products. An analysis of his trading and profit & loss account for the previous year 31.3.2026 revealed the following information:

- 1) Net Profit ₹ 75,43,000.
- 2) The following incomes were credited in the profit and loss account
 - a) Rent received ₹ 5,40,000
 - b) Income-tax refund ₹ 15,000
 - c) Dividend from Indian companies ₹ 2,50,000 (Gross)
- 3) Rates and taxes debited to profit and loss account include ₹ 1,000 paid towards late filing of his IT return for A.Y. 2025-26 under section 234F of Income-tax Act.
- 4) Salaries debited to profit and loss account include ₹ 35,000 paid on single day by way of cash to his accountant.
- 5) Interest of ₹ 1,20,000 paid on loan of ₹ 10,00,000 taken from NBFC. Out of the loan, amount of ₹ 2 lakhs was used for personal purposes and the balance was used for business purposes. No TDS was deducted while paying interest. Interest of ₹ 1,20,000 is debited to profit and loss account
- 6) Municipal Taxes of ₹ 10,000 paid for the building was debited to profit and loss account.

Additional Information

- 1) Closing stock was undervalued by ₹ 40,000
- 2) Income-tax refund includes ₹ 2,000 towards interest.
- 3) An amount of ₹ 45,000 was paid by cheque during the year towards health insurance policy covering himself, his spouse and his children.
- 4) Advance Tax paid during the year is ₹ 15 lakhs.
- 5) Half of the building is used for business purpose and remaining half let out to Mr. Anshul for residential purpose.
- 6) He also sold his vacant land on 10.11.2025 for ₹ 10 lakhs. SDV of land at the time of transfer was ₹ 14 lakhs. The FMV and stamp duty value of the land as on 1st April, 2001 was ₹ 4 lakhs and ₹ 3 lakhs, respectively. This land was acquired by him on 05.08.1995 for ₹ 1.80 lakhs. He had incurred registration expenses of ₹ 10,000 at that time.
- 7) Mr. Ramesh's turnover for the P.Y. 2024-25 was ₹ 3 crores

You are required to compute the total income and tax payable by Mr. Ramesh for the A.Y. 2026-27 under regular provisions of the Act.

Solution

Computation of total income of Mr. Ramesh for A.Y. 2026-27 under normal provisions of the Act

Particulars	Amount (₹)	Amount (₹)
Income from house property		
Rent received (Rent received has been taken as gross annual value, due to absence of information relating to expected rent)	5,40,000	



Less: Municipal tax paid by Ramesh ($\text{₹ } 10,000 \times \frac{1}{2}$)	5,000	3,74,500
Net Annual Value	5,35,000	
Less: Deduction u/s 24(a) – 30% of NAV	1,60,500	
PGBP		
Net profit as per profit and loss account	75,43,000	
Add: Expenses/Payments debited to profit and loss account but not allowed		
✓ Fee for late filing of income-tax return for A.Y. 2025-26 – disallowed	1,000	
✓ Salary paid to an accountant in cash exceeding ₹ 10,000 – disallowed under section 40A(3)	35,000	
✓ Interest paid to NBFC on loan which is used for personal purposes ($\text{₹ } 1,20,000 \times 2,00,000/10,00,000$) – not allowed as per section 37	24,000	
✓ Interest paid to NBFC on which tax is not deducted attracts disallowance @30% of ₹ 96,000 under section 40(a)(ia) [Since Mr. Ramesh's turnover for the immediately preceding previous year i.e., P.Y. 2024-25 exceeds ₹ 1 crore, he is required to deduct tax at source. Disallowance @30% of interest is attracted for non-deduction of tax at source]	28,800	
✓ Municipal taxes paid for let out portion [$\text{₹ } 10,000 \times \frac{1}{2}$]	5,000	
✓ Undervaluation of Closing Stock	40,000	
	76,76,800	
Less: Income chargeable under other heads and income not chargeable to tax but credited to profit and loss account		
✓ Rent received (Taxable under the head “Income from house property”)	5,40,000	
✓ Income-tax refund	15,000	
✓ Dividend received from Indian companies (Taxable under the head “Income from other sources”)	2,50,000	68,71,800
Capital Gains		
Long-term capital gains on sale of land (since held for more than 24 months)		
Full Value of Consideration [Higher of stamp duty value of ₹ 14 lakhs and Actual consideration of ₹ 10 lakhs, since stamp duty value exceeds actual consideration by more than 10%]	14,00,000	
Less: Cost of acquisition	3,00,000	11,00,000



Cost of acquisition Higher of –		
a) Actual cost ₹ 1.80 lakhs + ₹ 0.10 lakhs = ₹ 1.90 lakhs and		
b) FMV ₹ 4 lakhs as on 1.4.2001 restricted to stamp duty value of ₹ 3 lakhs as on 1.4.2001 = ₹ 3 lakhs		
Income from Other Sources		
Interest on income-tax refund	2,000	
Dividend from Indian companies	2,50,000	2,52,000
Gross Total Income		85,98,300
Less: Deduction under Chapter VI-A		
Section 80D - Health insurance premium paid for self, spouse and his children allowable as deduction to the extent ₹ 25000		25,000
Total Income		85,73,300

Computation of tax payable by Mr. Ramesh for the A.Y.2026-27

Particulars	Amount (₹)
Tax on LTCG u/s 112 shall be lower of following	
1. 12.5% without indexation i.e. $12.5\% \times 11,00,000 = 1,37,500$	
2. 20% after Indexation i.e. $20\% \times [14L FVC - 11.28L COA] = 54,400$	54,400
Tax on balance income of ₹ 74,73,300	
Upto ₹ 2,50,000	Nil
₹ 2,50,001 - ₹ 5,00,000 [i.e., ₹ 2,50,000 @5%]	12,500
₹ 5,00,001 - ₹ 10,00,000 [i.e., ₹ 5,00,000 @20%]	1,00,000
Above ₹ 10,00,000 [i.e., ₹ 64,73,300 @30%]	19,41,990
	21,08,890
Add: Surcharge @10%	2,10,889
	23,19,779
Add: Health and Education cess@4%	92,791
Tax liability	24,12,570
Less: Advance Tax	15,00,000
Less: TDS [2,50,000 x 10%]	25,000
Tax Payable	8,87,570
Tax Payable (Rounded off)	8,87,570

Illustration 20 [RTP Sep 2025]

Mr. Aryan, a resident individual, is working in Nishchay Ltd. and earns salary of ₹ 90,000 per month during P.Y. 2025-26. He holds 20,000 equity shares of Alpha Ltd., an Indian listed



company, purchased on 1st January 2016 at ₹ 200 per share. These were acquired through a recognized stock exchange and STT was paid on both acquisition and sale.

In August, 2025, Mr. Aryan transferred a plot in Chandigarh for ₹ 70 lakhs which was acquired by him in May 2016 for ₹ 22 lakhs. He paid brokerage of 1% on transfer.

In November, 2025, Alpha Ltd. decided to buy back 50% of its shares at ₹ 250 per share.

Alpha Ltd. bought back proportionate shares of Mr. Aryan. In May 2026, Mr. Aryan acquired a residential house property in Kanpur for ₹ 40 lakhs. Fair Market value of equity shares of Alpha Ltd. as on 31.1.2018 was ₹ 190 per share.

You are required to compute the total income of Mr. Aryan if he is paying tax under default tax regime.

Solution

Computation of total income of Mr. Aryan for A.Y. 2026-27

Particulars		₹	₹
I	Salaries		10,05,000
	Salary from Nishchay Ltd. [₹ 90,000 x 12]	10,80,000	
	Less: Standard deduction	75,000	
II	Capital Gains		
	On buy back of equity shares of Alpha Ltd.		
	Consideration received	Nil	
	Less: Cost of acquisition	20,00,000	
	Higher of		
	1. Actual COA of ₹ 20 lakhs [10,000 shares @ ₹ 200 per share]		
	2. Lower of FMV as on 31.1.2018 i.e., ₹ 19 lakhs and FVC i.e., Nil		
	LTCL on buy back of shares	(20,00,000)	
	On sale of plot		
	Sale consideration	70,00,000	
	Less: Brokerage @1%	70,000	
	Net sale consideration	69,30,000	
	Less: COA	22,00,000	
		47,30,000	
	Less: Exemption under section 54F	27,30,159	
	Amount invested in residential house within 2 years would qualify for exemption against long term capital gain arising from transfer of plot. Since the amount invested is less than the net consideration, proportionate capital gains is exempt		



	[₹ 47,30,000 x ₹ 40,00,000/₹ 69,30,000]		
	Long term capital gain on transfer of plot	19,99,841	
	Less: Set off of LTCL on buy back of original shares against long term capital gain on transfer of plot to the extent of Balance LTCL of ₹ 159 on buy back of original shares is to be CF to A.Y. 2027-28	19,99,841	Nil
III	Income from Other Sources		
	Dividend on buy back of shares [10,000 x 250]		25,00,000
	Total Income		35,05,000

Illustration 21 [RTP Sep 2025]

Mr. Suraj, aged 40 years, submits the following information for the financial year ending 31.3.2025:

1. He is employed in ABC Ltd. and earned salary income of ₹ 10,50,000 (computed).
2. He is engaged in a speculation and a non-speculation business. He earned profit from speculation business of ₹ 60,000 and suffered loss from non-speculation business of ₹ 40,000.
3. He reported short-term capital gain of ₹ 80,000. He also received lottery winnings of ₹ 20,000 (Gross).
4. He has a brought forward long-term capital loss of ₹ 30,000 from A.Y. 2023-24.
5. Mr. Suraj has two children: one married daughter Riya aged 17 years, and a son Raj aged 16 years. The interest income of Riya and Raj is ₹ 1,200 p.a. and ₹ 2,000 p.a., respectively.
6. He transferred a flat to Riya on 1st April 2024, on account of natural love and affection. This flat was let out from that date and generated rental income of ₹ 5,000 per month.
7. Mr. Suraj paid a medical insurance premium of ₹ 22,000 during the financial year to insure his health, his spouse and dependent children. Additionally, he paid ₹ 33,000 to insure the health of his mother, aged 67 years, who is not dependent on him. He also incurred ₹ 20,000 as medical expenditure for his father, aged 71 years, who is not dependent and is not covered under any insurance policy. He contributed ₹ 6,000 during the year to the Central Government Health Scheme (CGHS).

Compute the total income of Mr. Suraj assuming that Mr. Suraj's total income is higher than Mrs. Suraj's total income, before including the income of minor children. Mr. Suraj exercises the option of shifting out of the default tax regime provided under section 115BAC(1A).

Solution**Computation of total income of Mr. Suraj for the A.Y.2026-27**

Particulars	₹	₹
I Salaries		
Income from Salary (computed)		10,50,000
II Income from business		



	Income from speculation business	60,000	
	Less: Loss from non-speculation business	(40,000)	20,000
	As per section 73(1), loss from speculation business cannot be set off against profit from non-speculation business. However, there is no restriction under section 72 to set off loss from non-speculation business against profit from speculation business.		
III	Capital Gains		
	Short-term capital gain		80,000
	As per section 74(1), long term capital loss can be set off only against LTCG. Therefore, long term capital loss of ₹ 30,000 has to be carried forward to A.Y. 2027-28		
IV	Income from Other Sources		
	Winnings from lotteries		20,000
	GTI before including income of minor children		11,70,000
	Income of minor married daughter Riya		
	1. Interest income	1,200	
	2. GAV less 30% standard deduction	42,000	
		43,200	
	Less: Exempt under section 10(32)	1,500	41,700
	Income of Minor Son Raj		
	Interest income	2,000	
	Less: Exempt under section 10(32)	1,500	500
	Grand Total Income		12,12,200
	Less: Deduction under section 80D		75,000
	Total Income		11,37,200

Working Note

Deduction allowable under section 80D for the A.Y.2026-27

	Particulars	₹	₹
(i)	Medical insurance premium paid for self, spouse and dependent children	22,000	
(ii)	Contribution to CGHS	6,000	
		28,000	
	restricted to		25,000
(iii)	Mediclinam premium paid for mother, who is over 60 years of age	33,000	



(iv)	Medical expenditure incurred for father, who is over 60 years of age and not covered by any insurance	20,000	
		53,000	
	restricted to		50,000
			75,000

Illustration 22 [RTP Sep 2025]

Mr. Shobhit, a resident individual aged 54 years, engaged in the manufacture of spare parts of cars. He follows the mercantile system of accounting and regularly files his return of income. The profit and loss account for the year ended 31.3.2026 shows a net profit of ₹ 57,25,000 after debiting/ crediting the following:

1. During the year, Mr. Shobhit purchased plant and machinery for ₹ 55 lakhs for which he took loan from a scheduled bank. (Date of loan 1.5.2025 and rate of interest 11% p.a.). The asset was acquired on 1.7.2025 and put to use on 1.9.2025. The entire interest amount is debited to the profit and loss account.
2. On 1.4.2025, the production manager working in the factory of Mr. Shobhit took voluntary retirement from the services. Mr. Shobhit paid him ₹ 8,00,000 as compensation for his services under the Voluntary Retirement Scheme.
3. Mr. Shobhit purchased raw material from M/s Kamal & Sons, a micro enterprise, and M/s Hitesh & Sons, a medium enterprise, for ₹ 51,000 and ₹ 75,000, respectively on 15.3.2026. As per the written agreement with them, both the payment has to be made by 10.4.2026. Mr. Shobhit made the payment to M/s Kamal & Sons on 9.4.2026 and to M/s Hitesh & Sons on 15.11.2026.
4. He contributed 20% of basic salary to the account of each employee under a pension scheme referred to in section 80CCD which is debited to the profit and loss account. Basic salary of the employees aggregate to ₹ 10 lakhs and dearness allowance is 40% of basic salary and it forms part of retirement benefit.
5. Depreciation debited to profit and loss account is ₹ 27,50,000.
6. He received ₹ 13,850 as income-tax refund out of which ₹ 3,850 is interest on refund. The entire amount is credited to profit and loss account.

Additional Information:

- a) Mr. Shobhit purchased a new computer on 31st August, 2025 and was put to use on the same day in his office. The payment was made as under:
 - ₹ 28,000 paid in cash at the time of purchase of new computer on 31/08/2025
 - ₹ 25,000 paid by account payee cheque on 05/09/2025 as balance cost of new computer
- b) WDV (as per the Income-tax Act, 1961) of different assets as on 1.4.2025:
 - Plant and machinery ₹ 8,00,000;
 - Factory Building ₹ 6,45,000
- c) He paid ₹ 50,000 as life insurance premium taken on the life of his father who is dependent on him. The sum assured is ₹ 8,00,000 and the policy was taken on 1.4.2015.



- d) He also paid ₹ 45,000 as life insurance premium taken on the life of his married daughter who is not dependent on him. The sum assured is ₹ 5,00,000 and the policy was taken on 1.4.2017.
- e) On 1.10.2025, he withdrew ₹ 1.50 crores in cash from two current accounts maintained by him with PNB Bank of India. There are no other withdrawals during the year.
- f) Mr. Shobhit had sold a house on 30th March, 2023 and deposited the long term capital gains of ₹ 25,00,000 in capital gain account scheme by the due date of filing return of income for that year. On 1st July, 2025, he sold another house property in which he resided for ₹ 1 crore. He earned a long-term capital gain (without indexation benefit) of ₹ 50,00,000 on sale of this property. On 5th January, 2026, he withdrew the whole money out of his capital gain account and invested ₹ 60 lakhs on construction of a house in Mumbai. The construction of the house completed on 23rd March 2026. cost of acquisition of the house property is ₹ 60 lakhs.

You are required to compute the total income of Mr. Shobhit and also the tax payable by him after TDS/TCS credit, if any, for the A.Y. 2026-27 if he is opting out of the default tax regime.

Solution

Computation of total income of Mr. Shobhit for A.Y. 2026-27

Particulars		₹	₹	₹
I	PGBP Income			
	Net profit as per P&L		57,25,000	
	Add: Items of expenditure not allowable			
	1. Depreciation as per books of accounts	27,50,000		
	2. Interest on loan taken for purchase of plant & machinery [Interest from the date on which capital was borrowed till the date on which asset as first put to use not allowable as deduction.	2,01,667		
	3. Compensation on voluntary retirement [Only 1/5 th of the compensation paid is allowable in the current year. The remaining are allowable in the four succeeding years in equal installments.	6,40,000		
	4. Payment to M/s Kamal &	Nil		



	Sons, a micro enterprise, for purchase of raw material [Allowable as per section 43B(h) since payment was made to a micro enterprise and the same was within the time specified in the written agreement which is within 45 days from 15.3.2026]			
	5. Payment to M/s Hitesh & Sons, a medium enterprise, for purchase of raw material [Allowable, as section 43B which mandates allowability of expenditure on actual payment basis is not applicable on medium enterprise and Mr. Shobhit follows mercantile system of accounting]	Nil		
	6. Excess Contribution towards employees' pension scheme [Contribution to the extent of 14% of salary (basic salary + dearness allowance, if it forms part of pay for retirement benefits) is allowable as deduction under section 36(1)(iva).	4,000	35,95,667	
			93,20,667	
	Less: Items of income to be treated separately under the respective head of income			
	Income-tax refund including interest on refund of ₹ 3,850		13,850	
			93,06,817	
	Less: Allowable expenditure Normal depreciation on			
	1. Opening WDV			
	Factory Building ₹6,45,000 @10% P&M ₹ 8,00,000 @15%	64,500 1,20,000		
	2. Computer acquired on			



	31.8.2024 for ₹ 25,000 @40% [Since payment of ₹ 28,000 made in cash in a day to a person exceeds ₹ 10,000, the same would not be included in the actual cost of computer. Hence, only actual cost of ₹ 25,000 is eligible for depreciation]	10,000		
	3. On Plant & Machinery acquired on 1.5.2024 for ₹ 57,01,667 @15% [₹ 55,00,000 plus ₹ 2,01,667, being the amount of interest on loan taken for purchase of this plant and machinery from the date on which capital was borrowed till the date on which asset as first put to use shall be capitalized]	8,55,250	10,49,750	
	Additional depreciation on Plant & Machinery acquired on 1.5.2024 for ₹ 57,01,667 @20%		11,40,333	
				71,16,734
II	Capital Gains			
	Sales consideration		1,00,00,000	
	Less: COA		60,00,00	
	LTCG		40,00,000	
	Less: Exemption under section 54 [Since ₹ 35 lakhs is invested in construction of house within the stipulated time limit.]		35,00,000	
	Capital gain of ₹ 25 lakhs in capital gain account scheme is not taxable in P.Y. 2025-26, since the same is withdrawn and invested in construction of house within the stipulated time limit. The remaining amount of ₹ 35 lakhs invested in construction of house is eligible for exemption u/s 54 against the			5,00,000



	long-term capital gain on sale of house property during the P.Y.2025-26]			
III	Income from Other Sources Interest on income-tax refund			3,850
Gross Total Income				76,20,584
Less: Deduction u/s 80C				
1.	Life insurance premium of his father [Not allowable as deduction, since not covered within the meaning of term "person" in case of an individual, though he is dependent on him]		Nil	
2.	Life insurance premium for Married daughter [Allowable as deduction though she is not dependent, since child of an individual whether Dependent or not falls within the meaning of term "Person" and the premium does not exceed 10% of the ₹ 5,00,000, being the sum assured]		45,000	45,000
Total Income				75,75,580

Computation of tax payable by Mr. Shobhit for A.Y. 2026-27

Particulars	₹	₹
Tax @12.5% on LTCG of ₹ 5 lakhs		62,500
Tax at slab rate on balance income of ₹ 70,75,580		
Upto ₹ 2,50,000	Nil	
₹ 2,50,001 – ₹ 5,00,000 [@5% of ₹ 2.50 lakh]	12,500	
₹ 5,00,001 – ₹ 10,00,000 [@20% of ₹ 5,00,000]	1,00,000	
₹ 10,00,001 - ₹ 70,85,580 [@ 30% of ₹ 60,75,580]	18,22,674	
		19,35,174
		19,97,764
Add: Surcharge @10%		1,99,776
		21,97,540
Add: Health and education cess@4%		87,902
Tax liability		22,85,442
Less: TDS u/s 194N @ 2% on ₹ 50 lakhs, being the cash withdrawals exceeding ₹ 1 crore		1,00,000
Tax payable		21,85,442



Tax payable (Rounded off)		21,85,440
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Illustration 23 [PYQ May 2025]

Mr. Sanju, an individual assessee, aged 32 years, furnishes the following details for the year ended on 31st March, 2026:

- Loss from Future & Option: ₹ 75,000
- Profit from restaurant business (computed): ₹ 2,21,000
- Share of profit in partnership firm M/s XL & Co. (19% share): ₹ 38,000
- Income from salary (computed): ₹ 3,15,000
- Interest on loan paid for self-occupied house property: ₹ 1,75,000 (Principal amount paid: ₹ 1,20,000)
- Short-term capital gain: ₹ 82,000
- Long-term capital gain u/s 112A: ₹ 1,10,000
- Long-term capital loss u/s 112: ₹ 68,000
- His wife received salary of ₹ 2,40,000 from a partnership firm XL & Co., where she is an accountant. She does not have any professional qualification related to accounting.
- He paid ₹ 21,000 for medical insurance premium and ₹ 9,000 for preventive health check-up.

Brought forward speculative business loss: ₹ 26,000 (this being 3rd year from the year of loss) and brought forward short-term capital loss: ₹ 52,000 (this being the 4th year from the year of loss).

Compute total income of Mr. Sanju for the A.Y. 2026-27 if he exercises the option to shift out of default tax regime u/s 115BAC(1A). Also state the losses eligible to carry-forward.

Solution

**Computation of Total Income of Mr. Sanju for the A.Y. 2026-27
as per the optional tax regime under the Income-tax Act, 1961**

Particulars	₹	₹
Income from Salary Salary (computed)	3,15,000	1,40,000
Add: Salary received by his wife from M/s XL & Co., partnership firm of ₹ 2,40,000 shall not to be clubbed in the income of Mr. Sanju even if his wife does not have any professional qualification since he does not have substantial interest in the firm as his share of profit in such firm is less than 20%	Nil	
	3,15,000	
Less: Loss from self-occupied house property	(1,75,000)	
Income from House Property (Self-occupied Property)		
Annual Value	(1,75,000)	
Less: Deductions under section 24	(1,75,000)	
Interest on loan paid for self-occupied property		



Profit and gains of business or profession		
Profit from restaurant business	2,21,000	
Less: Loss from Future & Option	(75,000)	
	1,46,000	
Share of profit from M/s XL & Co., partnership firm [Exempt under section 10(2A)]	Nil	1,46,000
Capital Gain		
Short term capital gain	82,000	
Less: Brought forward short-term capital loss	(52,000)	30,000
Long-term capital gain u/s 112A	1,10,000	
Less: Long term capital loss u/s 112	(68,000)	42,000
Gross Total Income		3,58,000
Less: Deduction under Chapter VI-A		
Under section 80C – Repayment of housing loan	1,20,000	
Under section 80D – Medical premium for self of ₹ 21,000 and preventive health checkup fees of ₹ 9,000 restricted to ₹ 5,000 subject to overall limit of ₹ 25,000	25,000	1,45,000
Total Income		2,13,000
Losses to be carried forward to A.Y. 2027-28		
Loss from speculative business As per section 73(4), brought forward loss from speculation business cannot be set-off against any income other than profit and gains of another speculation business. Such loss can, however, be carried forward to A.Y. 2027-28 for set-off against income from speculation business of that year.		26,000

Illustration 24 [PYQ May 2025]

Mrs. S.C. Bose (aged 62 years) is a widow of a public sector employee who died during his service in 2012. She earns income from business of running a flower bouquet shop at Kolkata and income from royalty from writing books of science and sells in India and abroad. Profit & Loss account for the year ended 31st March, 2026 furnished by her is given below:

Particulars	₹	Particulars	₹
To Opening stock	1,00,000	By Sales of flower bouquet	36,75,000
To Purchases	15,66,000	By Family pension from PSU through bank	3,60,000
To Salaries and wages	4,90,000	By Royalty form California University for books sold (Foreign exchange brought into India)	4,25,000



To Expenses relating to books authored by her	75,000	By Dividend (Net of TDS)	4,50,000
To Expenses in connection with dividends	12,000	By Interest on FDR (No TDS deducted)	76,000
To Repairs & Maintenance	3,25,000	By Closing stock	1,36,000
To Amount paid to IIT Chennai for scientific research projects	35,000		
To Computers and other electronic items (purchased on 01-12-2025)	4,50,000		
To Net Profit	20,69,000		
	51,22,000		51,22,000

Additional Information:

1. Purchases include ₹ 2 lakhs relate to flowers and creepers directly purchased from a farmer in cash on 26.09.2025.
 2. Repairs & Maintenance includes one-time deposit of ₹ 2,00,000 paid to electricity and water department.
 3. Computers and other electronic items includes ₹ 1,00,000 paid for television and washing machine for her household use.
 4. Salary & wages includes salary paid ₹ 2,40,000 to her illiterate brother (reasonable salary as per market rate is ₹ 1,80,000)
 5. She purchased a residential house for ₹ 110 lakhs for which loan of ₹ 75 lakhs was taken from State Bank of India. Accrued interest was ₹ 3,37,500 till 31-03-2026 which was paid on 10-04-2026. No principal amount and interest was paid by Mrs. S.C. Bose till 31-03-2026. Ground floor of the house was used for shop and first floor was occupied for her residence.
 6. She purchased an electric vehicle on 30-09-2025 for ₹ 25 lakhs for business purposes.
 7. She sold 10,000 listed shares of SBCL Ltd. for ₹ 11,66,000 on 11-12-2025 which were purchased for ₹ 2,65,000 on 16.08.2025. STT was paid on purchase and sale both.
- Compute total income of Mrs. S.C. Bose under default tax regime u/s 115BAC and optional tax regime of the Income-tax Act, 1961

Solution

**Computation of total income of Mrs. S.C. Bose for A.Y. 2026-27
under default tax regime under section 115BAC(1A)**

Particulars	₹
Income from house property	Nil
Self-occupied portion [First Floor]	
Annual Value	



Less: Deduction u/s 24	
Interest on housing loan [Not allowed under default tax regime]	Nil
	Nil
Profits and gains from business or profession	
Net profit	20,69,000
Add: Items of expenditure not allowable while computing business income	
- Expenses relating to books authored by her [Allowed as deduction considering royalty income is taxable under the head "Profits and gains from business or profession"]	Nil
[Note - Royalty income may be taxed under the head "Income from other Sources". In such case, expenses relating to books would not be allowed as deduction while computing business income and allowed from royalty income while computing "Income from Other Sources".]	
- Expenses in connection with dividends [Not allowed since expense is in respect of dividend taxable under the head "Income from Other Sources"]	12,000
- Amount paid to IIT Chennai from scientific research projects, not allowable under default tax regime	35,000
- Computers and other electronic items [Capital expenditure not allowed as deduction]	4,50,000
- Payment to a farmer exceeding ₹ 10,000 in cash for purchase of flower and creepers [Not disallowed under section 40A(3), since payment to farmer comes under exclusion]	Nil
- One-time deposit to electricity and water department, not allowed as deduction	2,00,000
- Excessive salary paid to brother [Disallowed under section 40A(2), since brother falls under the definition of relative and salary paid is in excess of market rate] [₹ 2,40,000 – ₹ 1,80,000]	60,000
	28,26,000
Less: Items of income to be treated separately under the respective head of income	
- Family pension from PSU [Taxable under the head "Income from Other Sources"]	3,60,000
- Royalty from California University [No adjustment is required since royalty is taxable under the head "Profits and gains from business or profession"]	Nil



[Note - Royalty income may be taxed under the head “Income from Other Sources”. In such case, the income has to be reduced while computing business income.]	
- Dividend [Taxable under the head “Income from Other Sources”]	4,50,000
- Interest on FDRs [Taxable under the head “Income from Other Sources”]	76,000
	19,40,000
Less: Allowable expenditure	
1. Interest on residential house used for shop [₹ 3,37,500/2] [Since the interest is paid on or before due date of filing return of income, disallowance under section 43B would not be attracted.]	1,68,750
2. Depreciation	
On Computer and other electronic items other than television and washing machine [₹ 3,50,000 x 40% x 50%, since it is purchased and put to use for less than 180 days]	70,000
On residential house used for shop [₹ 1,10,00,000 x 10% x 50% for ground floor]	5,50,000
On electric vehicle [₹ 25,00,000 x 40%]	10,00,000
	1,51,250
Capital Gains	
Sale consideration on sale of listed shares of SBCL Ltd.	11,66,000
Less: Cost of acquisition	2,65,000
Short term capital gains taxable under section 111A [Since shares are held for less than 12 months and STT has been paid]	9,01,000
Income from Other Sources	
Family pension from PSU 3,60,000	
Less: Lower of 33-1/3% of ₹ 3,60,000 or ₹ 25,000 allowed as deduction i.e. 25,000	3,35,000
Dividend [₹ 4,50,000/90%] 5,00,000	
Less: Expenditure to the extent of 20% of dividend i.e. 12,000	4,88,000
[Note - If it is assumed that expenditure are in the nature of expenses other than interest expenses, no deduction would be allowed from dividend income.]	
Interest on FDRs 76,000	8,99,000
Gross Total Income	19,51,250
Less: Deduction under section 80QQB and 80TTB [Not allowable under default tax regime]	Nil
Total Income	19,51,250



**Computation of total income of Mrs. S.C. Bose for A.Y. 2026-27
under the optional tax regime of the Income-tax Act, 1961**

Particulars	₹	₹
Gross Total Income as per default tax regime u/s 115BAC		19,51,250
Less: Interest on borrowings for self-occupied property [₹ 3,37,500 / 2]	1,68,750	
100% deduction under section 35(2AA) for amount paid to IIT Chennai from scientific research projects	35,000	2,03,750
		17,47,500
Add: Excess deduction from family pension [₹ 25,000 - ₹ 15,000] [Lower of 33-1/3% of ₹ 3,60,000 or ₹ 15,000 as deduction is allowed from family pension under optional tax regime]		10,000
Gross Total Income as per optional tax regime		17,57,500
Less: Deduction under Chapter VI-A		
Deduction under section 80QQB		
Deduction for royalty income of ₹ 3,50,000 [₹ 4,25,000 - ₹ 75,000], restricted to ₹ 3,00,000	3,00,000	
Deduction under section 80TTB		
Interest on FDRs assuming FDRs are with banks, restricted to	50,000	
[Note - If it is assumed that FDRs are not with banks, co-operative society engaged in banking business or post office, deduction under section 80TTB would not be available.]		3,50,000
Total Income		14,07,500

Illustration 25 [RTP Jan 2026]

Mr. K is a 48-year-old resident individual. The details of income earned for the P.Y. 2025-26 from diversified businesses and investment portfolio are as under:

- He runs two businesses:
 - A manufacturing business with profit of ₹ 10,00,000.
 - A speculative business with loss of ₹ 7,00,000.
- He incurred a loss of ₹ 2,15,000 from a let-out property and also earned an income of ₹ 50,000 from the activity of owning and maintaining race horses. For earning this income, he incurred an expense of ₹ 5,000.
- He has earned short-term capital gains of ₹ 50,000 from equity shares sold on 10.05.2025 on which STT was paid, and long-term capital loss of ₹ 75,000 from other assets sold on 15.10.2025.
- Mr. K took divorce from his wife in April 2025 and the custody of their minor son is given to Mrs. K. Following the divorce, he transferred ownership of house



property to his wife. During the financial year, the property generated rental income of ₹ 5,00,000.

5. Mr. K deposits cash of ₹ 50,000 every month into the bank account of his minor son. During the P.Y. 2025-26, interest income of ₹ 25,000 is generated in his son's bank account.
6. He has also contributed a sum of ₹ 2 lakh to an electoral trust and incurred expenditure of ₹ 30,000 on advertisement in a brochure of a political party.
7. He authored an investment portfolio book and received royalty income of ₹ 4,10,000 during the P.Y. 2025-26 from a publisher in Germany. The royalty is calculated at 16% of book sales value. He incurred ₹ 60,000 as expenditure for earning this income. Out of the total royalty, ₹ 2,90,000 was remitted to India by 31st August 2026, and the balance remained in abroad till 30.9.2026.

Compute the total income of Mr. K assuming that he exercises the option of shifting out of the default tax regime. Assume Mr. K's total income, excluding the minor's income, is higher than that of his wife.

Solution

Computation of total income of Mr. K for the A.Y.2026-27 under normal provision of the Act

Particulars		₹	₹
I	House Property		
	Rental Income of ₹ 5 lakhs shall be taxable in the hands of Mrs. K since it is a case of transfer of house property to his spouse in connection with an agreement to live apart. In such case, the transferee shall be the owner of the house property and rental income will be taxed in the hands of transferee.		-
	Set off of loss from house property to be restricted to ₹ 2 lakhs by virtue of section 71(3A). Balance loss of ₹ 15,000 has to be carried forward to A.Y. 2027-28		
II	Income from business		
	Income from manufacturing business	10,00,000	
	Loss from speculation business	-	
	As per section 73(1), loss from speculation business can be set off only against profit from any other speculation business. Therefore, loss from speculation business of ₹ 7,00,000 has to be carried forward to A.Y. 2027-28		
	Less: Set off of loss from house property to the extent of ₹ 2 lakhs	2,00,000	8,00,000



III	Capital Gains Short-term capital gain u/s 111A Long term capital loss As per section 74(1), long term capital loss can be set off only against long term capital gain. Therefore, long term capital loss of ₹ 75,000 has to be carried forward to A.Y. 2027-28	50,000 -	50,000
IV	Income from Other Sources Royalty Income [₹ 4,10,000 - ₹ 60,000] Interest income from son's bank account [Income of the minor will be included in the income of Mrs. K as Mrs. K is maintaining the child.] Income from the activity of owning and maintaining race horses Less: Expenses incurred to earn this income	3,50,000 - 50,000 5,000	3,95,000
Gross Total Income			12,45,000
Less: Deduction under section 80GGC		2,00,000	
Deduction under section 80QQB		2,30,000	4,30,000
Total Income			8,15,000

Working Note**Deduction allowable under section 80QQB for the A.Y.2026-27**

Particulars	₹
Royalty ₹ 4,10,000 x 15/16 = ₹ 3,84,375	
Restricted to	
Amount brought into India in convertible foreign exchange within the prescribed time	2,90,000
Less: Expenses already allowed as deduction while computing royalty income	60,000
Deduction u/s 80QQB	2,30,000

Illustration 26 [RTP Jan 2026]

Mr. Vaibhav, a resident individual aged 46 years, engaged in the business of plywood and sculptures, maintains his books of account under section 44AB. He follows the mercantile system of accounting and regularly files his return of income. The profit and loss account for the year ended on 31.3.2026 shows a net profit of ₹ 51,42,000 after debiting/ crediting the following:

- During the year, Mr. Vaibhav had taken professional services from a lawyer in relation to a business dispute. The legal fees was amounted to ₹ 1,00,000. Tax has been



deducted on time but did not deposit it with the government within the due date. The TDS was later on deposited on 15th November 2026.

2. Vaibhav had renovated his office by engaging in the services of his brother, as the existing office premises had become very old and required refurbishment. The total payment made for the renovation amounted to ₹ 2,50,000 which is reasonable to the extent of ₹ 1,50,000
3. He purchased goods worth ₹ 30,000 from Vishnu & Co., a micro enterprise, on March 01, 2026. According to the written agreement between them, the payment was to be made by 05th April 2026. However, he made payment to Vishnu & Co on 15th April 2026.
4. Depreciation as per profit and loss account is ₹ 13,66,000.

Additional Information:

- a) As per restructuring agreement with the bank, the bank has converted unpaid interest of ₹ 6,00,000 into a new loan account repayable in 20 equal annual installments. The first installment was paid in March 2026. Vaibhav claimed the entire interest amount of ₹ 6,00,000 as an expense while computing his business income.
- b) Depreciation as per Income-tax Rules, 1962 is ₹ 12,00,000.
- c) He contributed ₹ 50,000 towards Tier I account of NPS during the year. Further, he has invested in five-year term deposit of ₹ 1.5 lakhs.
- d) He employed 90 new employees during the P.Y. 2025-26, the details of whom are as follows:

No. of employees	Date of employment	Regular / Casual	Total monthly emoluments per employee (₹)
20	1.4.2025	Regular	24,000
25	1.5.2025	Casual	24,500
30	1.8.2025	Regular	26,000
15	1.9.2025	Casual	23,500

The regular employees participate in recognized provident fund while the casual employees do not.

- e) Mr. Vaibhav had sculptures in the form of capital assets acquired in January 2015, for ₹ 1,80,000. Later on, in F.Y. 2024-25, he started sculpture business and converted these capital assets into stock-in-trade for his business. Fair market value at the time of conversion was ₹ 3,50,000. Subsequently, he sold the stock-in-trade on June 10, 2025, for ₹ 5,00,000. No entry has been made in books for conversion and sale of converted sculptures.

You are required to compute the total income and tax liability of Mr. Vaibhav for the A.Y. 2026-27 if he opts out of the default tax regime.

CII for F.Y. 2014-15: 240; F.Y. 2024-25: 363; F.Y. 2025-26: 376

Solution

Computation of total income of Mr. Vaibhav for A.Y. 2026-27 under normal provisions of the Act

Particulars	₹	₹	₹
I PGBP			



	Net profit as per P&L		51,42,000	
	Add: Items of expenditure not allowable while computing business income			
	Depreciation as per books of accounts	13,66,000		
	Payment for professional services [Since the tax was deducted on time, but such tax has not been paid on or before the due date specified in section 139(1), ₹ 30,000 [₹ 1,00,000 x 30%] has to be disallowed in F.Y. 2025-26 u/s 40(a)(ia) and has to be added back]	30,000		
	Payment for renovation of office [Unreasonable payment made to brother for renovating his office has to be added back as per section 40A(2)]	1,00,000		
	Payment to M/s Vishnu & Co, a micro enterprise, for purchase of raw material [Not Allowable as per Section 43B(h) since payment was made to a micro enterprise and the same was not within the time specified in the written agreement]	30,000		
	Conversion of interest into Loan [Conversion of unpaid interest into loan shall not be construed as payment of interest for the purpose of section 43B. The amount of unpaid interest so converted into loan shall be allowed as deduction only in the year in which the converted loan is actually paid.] Accordingly, only ₹ 30,000 shall be allowed as deduction in P.Y. 2025-26 [₹ 6 lakhs/ 20 installments]	5,70,000		
	- Payment received from sale of stock-in-trade converted from capital assets [Sale consideration - FMV as on date of conversion]	1,50,000	22,46,000	
			73,88,000	
	Less: Depreciation as income- tax Rules, 1962		12,00,000	61,88,000



II	Capital Gains Sale consideration Less Cost of acquisition Long term capital gains		3,50,000 1,80,000	1,70,000
Gross Total Income Less: Deduction under Chapter VI-A Deduction under section 80C - Investment in five-year deposit Deduction u/s 80CCD(1B) - Contribution in NPS - Deduction under section 80JJAA (See working note below) Total Income			1,50,000 50,000 17,28,000	63,58,000 19,28,000 44,30,000

**Computation of tax liability of Mr. Vaibhav for A.Y. 2026-27
under normal provisions of the Act**

Particulars	₹	₹
Tax @12.5% on LTCG of ₹ 1,70,000 on sale of Sculptures		21,250
Tax at slab rate on balance income of ₹ 42,60,000		
Upto ₹ 2,50,000	Nil	
₹ 2,50,001 – ₹ 5,00,000 [@5% of ₹ 2.50 lakh]	12,500	
₹ 5,00,001 – ₹ 10,00,000 [@20% of ₹ 5,00,000]	1,00,000	
₹ 10,00,001 – ₹ 42,60,000 [@ 30% of ₹ 32,60,000]	9,78,000	10,90,500
		11,11,750
Add: Health and education cess@4%		44,470
Tax liability		11,56,220

**Computation of adjusted total income and AMT of Mr. Vaibhav for
A.Y. 2026-27**

Particulars	₹	₹
Total Income		44,30,000
Add: Deduction under section 80JJAA		17,28,000
Adjusted Total Income		61,58,000
Alternate Minimum Tax @18.5%		11,39,230
Add: Surcharge @10% since adjusted total income exceeds ₹ 50 lakhs but does not exceed ₹ 1 crore		1,13,923
		12,53,153
Add: Health and education cess@4%		50,126
Tax liability		13,03,279
Tax liability (Rounded off)		13,03,280



Since the regular income-tax payable is less than the alternate minimum tax payable, the adjusted total income shall be deemed to be the total income and tax is leviable @18.5% thereof plus surcharge@10% and cess@4%.

AMT Credit to be carried forward under section 115JEE

	₹
Tax liability under section 115JC	13,03,280
Less: Tax liability under the regular provisions of the Income-tax Act, 1961	11,56,220
	1,47,060

Working Note

Computation of Deduction under section 80JJAA

Particulars	₹
Additional employee cost	17,28,000
= ₹ 24,000 × 12 × 20 = ₹ 57,60,000	
Deduction under section 80JAA = 30% of ₹ 57,60,000	
Since casual employees do not participate in recognized provident fund, they do not qualify as additional employees. Further, 30 regular employees employed on 1.8.2025 also do not qualify as additional employees since their monthly emoluments exceed ₹ 25,000.	
Therefore, only 20 employees employed on 1.4.2025 qualify as additional employees, and the total emoluments paid or payable to them during the P.Y.2025-26 is deemed to be the additional employee cost.	

Illustration 27 [PYQ Sep 2025]

Mr. Ram, a resident individual aged 58 years, is engaged in the manufacturing of textile items. Statement of Profit and Loss shows a net profit (after depreciation but before tax) of ₹ 52,00,000 for the financial year ended 31st March, 2026 after debiting/crediting the following items:

1. Depreciation as per Income-tax Rules: ₹ 28,00,000 including additional depreciation on new plant & machinery of ₹ 1,50,000.
2. Interest amounting to ₹ 2,10,000 for short payment of advance tax as per section 234B relating to the assessment year 2025-26.
3. ₹ 3,50,000 paid to a contractor for carrying out whitewash work at factory premises. Tax was not deducted at source on this payment and the contractor did not file his return of income for the relevant PY.
4. Contribution to Prime Minister National Relief Fund - ₹ 3,00,000 paid by way of cheque.
5. Expenditure towards advertising charges in a brochure of a political party registered under section 29A of Representation of the People Act, 1951- ₹ 40,000 paid by way of cheque.
6. Interest on term loans obtained from a co-operative bank not paid before the due date of filing of return of income - ₹ 2,60,000.



7. Contribution towards pension scheme of employees - ₹ 1,50,000. The eligible salary and dearness allowance for the pension scheme referred to under section 80CCD is ₹ 10,00,000.
8. Industrial power tariff concession of ₹ 2,50,000 received from the Central Government.
9. Interest from banks on fixed deposits (gross) - ₹ 1,50,000
10. Cash gift from father - ₹ 90,000

Additional Information:

1. Expenditure pertaining to previous financial year (F.Y. 2024-25) was allowed on due basis, but paid in current financial year in cash on 18.01.2026: ₹ 35,000
2. Audit fee for the previous year 2024-25: ₹ 75,000. TDS deducted but not deposited in the relevant previous year. However, TDS was deposited on 31.12.2025.

You are required to compute the total income and tax liability of Mr. Ram under both the taxation regimes (normal as well as under section 115BAC) and suggest the one which is more beneficial to him. Ram prepares his accounts on mercantile basis.

Solution

**Computation of total income and tax liability of Mr. Ram for
A.Y. 2026-27 under default tax regime under section 115BAC**

Particulars	₹	₹	₹
PGBP			
Net profit as per Statement of Profit and Loss		52,00,000	
Add: Items of expenditure not allowable while computing business income			
Additional depreciation [Not allowable under default tax regime]	1,50,000		
Interest u/s 234B on short payment of advance tax [Not allowed]	2,10,000		
Payment to contractor without deduction of TDS [30% of payment made to contractor is disallowed under section 40(a)(ia) since tax was not deducted at source and contractor did not file his return of income]	1,05,000		
Contribution to Prime Minister Relief Fund [Disallowed since it is not wholly and exclusively incurred for business purpose]	3,00,000		
Advertising charges in a brochure of a political party [Disallowed under section 37]	40,000		
Interest on term loan to co-operative bank [Disallowed under section 43B, since interest is not paid before due date of filing of return of income]	2,60,000		
Contribution towards pension scheme of employees [14% of salary and dearness allowance is allowed as deduction in respect of contribution]	10,000	10,75,000	



towards pension scheme. Accordingly, excess contribution of ₹ 10,000, being ₹ 1,50,000 – ₹ 1,40,000 (14% of ₹ 10 lakhs) is disallowed]			
		62,75,000	
Less: Items of income to be treated separately under the respective head of income			
Industrial power tariff concession received from Central Government [Any assistance in the form of concession received from the Central Government would be treated as income. Since it is already credited to profit and loss, no adjustment is required]	-		
Interest from banks on fixed deposits [Taxable or otherwise under the head “Income from Other Sources”]	1,50,000		
Cash gift from father [Taxable or otherwise under the head “Income from Other Sources”]	90,000	2,40,000	
		60,35,000	
Add: Disallowance under section 40A(3A) for aggregate cash payment exceeding ₹ 10,000 in a single day which was allowed in P.Y. 202-25 on due basis		35,000	
		60,70,000	
Less: 30% of ₹ 75,000, representing audit fees for the P.Y. 2024-25 for which tax was deducted but not deposited would have been disallowed while computing deduction for P.Y.2024-25. Since the tax is deposited in P.Y.2025-26, ₹ 22,500 would be allowable as deduction in the A.Y.2026-27		22,500	
			60,47,500
Income from Other Sources			
Interest from banks on fixed deposits		1,50,000	
Cash gift from father [Cash gift received from father, being a relative is not taxable]		-	1,50,000
Gross Total Income			61,97,500
Less: Deduction under section 80G [Not allowable under default tax regime]			Nil
Total Income			61,97,500
Tax on ₹ 61,97,500			14,39,250
Add: Surcharge @10% [Since total income exceeds ₹ 50 lakhs but does not exceed ₹ 1 crore]			1,43,925
			15,83,175



Add: HEC @4%			63,327
Tax Liability			16,46,502
Tax liability (Rounded off)			16,46,500

**Computation of total income and tax liability of Mr. Ram for
A.Y. 2026-27 under the optional tax regime of the Income-tax Act, 1961**

Particulars	₹	₹
Gross Total Income/ Total Income as per default tax regime u/s 115BAC		61,97,500
Less: Additional depreciation		1,50,000
Gross Total Income as per optional tax regime		60,47,500
Less: Deduction under Chapter VI-A		
Deduction under section 80G		
Contribution to Prime Minister Relief Fund		3,00,000
Deduction under section 80GGC – Expenditure towards advertising charges in a brochure of a political party incurred by an individual not allowed as deduction		Nil
Total Income		57,47,500
Tax on ₹ 57,47,500 Upto ₹ 2,50,000	Nil	
₹ 2,50,000 – ₹ 5,00,000 [₹ 2.50 lakhs @5%]	12,500	
₹ 5,00,000 – ₹ 10,00,000 [₹ 5 lakhs @20%]	1,00,000	
₹ 10,00,000 – ₹ 57,47,500 [₹ 47,47,500 @30%]	14,24,250	15,36,750
Add: Surcharge @10% [Since total income exceeds ₹ 50 lakhs but does not exceed ₹ 1 crore]		1,53,675
		16,90,425
Add: HEC@4%		67,617
Tax liability		17,58,042
Tax liability (Rounded off)		17,58,040
Since the tax liability of Mr. Ram under optional tax regime is more than the tax liability computed under section 115BAC, it would be beneficial for him to opt the default tax regime under section 115BAC for A.Y. 2026-27.		

Illustration 28 [RTP May 2026]

Mr. Yuvaan, a resident individual, aged 45 years, is engaged in manufacturing of textile business, as a proprietor. He follows mercantile system of accounting. The net profit as per profit and loss account after debiting/crediting the following items was ₹ 20,00,000:

1. ₹ 25,000 paid to creditor for goods in cash.
2. Gross interest received from saving bank account ₹ 15,000.
3. Contribution to notified approved research association for scientific research ₹ 1,10,000.
4. He paid a job charges for the value addition on the fabrics ₹ 1,10,000 without deduction of tax to job worker by an account payee cheque.



5. Normal depreciation of ₹ 4,50,000 as per Income-tax Rules, 1962 including depreciation on ₹ 15 lakhs, being the cost of new machinery purchased and put to use on 01-09-2025.
6. Subsidy of 20% on new machinery under technology upgradation fund Scheme from the Central Government which was credited to profit and loss account.
7. Insurance expenses include ₹ 50,000 deposited with life insurance Corporation of India for the maintenance of her mother aged 70 years depended upon him and suffering from severe disability.
8. General expenses include revenue expenditure incurred for promoting family planning amongst its employees of ₹ 75,000.
9. On 01-03-2026, Mr. Yuvaan purchased raw material for ₹ 30,000 from Kanha & Co., a medium enterprise as per MSMED Act, 2006, for which the payment was made on 18-04-2026. There was no agreement for payment period between them.

Additional Information:

- a) Mr. Yuvaan repaid housing loan principal and interest of ₹ 75,000 and ₹ 80,000 respectively, availed for purchase of let-out house property.
- b) He received rent of ₹ 3,50,000 from his let-out house property. The municipal taxes of ₹ 40,000 for this house was paid by him on 30-04-2026.
- c) He received ₹ 75,000 by pre-mature withdrawals from deposit including interest ₹ 5,000, in post office time deposit, eligible for deduction under Section 80C.
- d) He sold a gold bracelet on 01-05-2025 for ₹ 5,00,000, which was acquired for ₹ 40,000 on 01-03-2005. A diamond was embedded onto bracelet on 01-05-2007 of ₹ 50,000. (cost inflation index 2004-05:113, 2007-08:129 and 2025-26:376)

Required:

Compute the total income and tax liability of Mr. Yuvaan for the assessment year 2026-27 under default tax regime and optional tax regime.

The turnover of the business for the financial year 2024-25 is ₹ 250 lakhs and for F.Y. 2025-26 is ₹ 300 lakhs.

Solution

Computation of total income of Mr. Yuvaan for A.Y. 2026-27 under default tax regime

Particulars	₹	₹	₹
I Income from house property			
Rent received (GAV)		3,50,000	
Less: Municipal taxes [Will be allowed only in the year of actual payment. Since it was paid on 30.4.2026 i.e., after the end of the relevant previous year, it will be allowed only in P.Y. 2026-27.]		-	
NAV		3,50,000	
Less: Deduction under section 24			
- 30% of NAV	1,05,000		
- interest on housing loan	80,000	1,85,000	1,65,000



II	PGBP			
	Net profit as per profit and loss account		20,00,000	
	Add: Items of expenditure not allowable while computing business income			
	Payment to creditor in cash [Payment to creditor in cash is not allowable as business expenditure by virtue of section 40A(3), since such amount exceeds ₹ 10,000 and paid in cash]	25,000		
	Contribution to notified approved research association for scientific research [Not allowable under default tax regime]	1,10,000		
	Job charges without deduction of tax [30% of ₹ 1,10,000] [Mr. Yuvaan's turnover for the P.Y. 2024-25 exceeds ₹ 1 crore, hence, he is liable to deduct tax at source u/s 194C on Job charges of ₹ 1,10,000. Since he has not deducted tax at source on ₹ 1,10,000, 30% would be disallowed under section 40(a)(ia)]	33,000		
	Insurance deposited with LIC of India for the maintenance of her mother [Personal expenses not allowable under section 37]	50,000		
	Revenue expenditure incurred for promoting family planning [Allowable only in case of company and not allowable for non- corporate assessee]	75,000		
	Purchases made from Kanha & Co., a medium enterprise [Disallowance under section 43B(h) is not applicable on payment to a medium enterprise. Accordingly, allowable on due basis during the P.Y. 2025-26]	Nil		
			22,93,000	
	Less: Items credited but not taxable or taxable under other heads			



	Gross interest received from saving bank account	15,000		
	Subsidy on new machinery [Subsidy on new machinery has to be reduced from actual cost of machinery]	3,00,000	3,15,000	
			19,78,000	
	Add: Depreciation claimed on subsidy received for new machinery [₹ 15 lakhs x 20% x 15%]		45,000	
	Less: Additional depreciation on new machinery [Not allowable under default tax regime]		Nil	20,23,000
III	Capital Gains			
	Long term capital gain on sale of gold bracelet since it is held for more than 24 months			
	Sale consideration		5,00,000	
	Less: Cost of acquisition		40,000	
	Less: Cost of improvement		50,000	
	Long term capital gains			4,10,000
IV	Income from other sources			
	Gross interest received from saving bank account		15,000	
	Pre-mature withdrawal from post office time deposit [Amount including interest received on pre-mature withdrawal from post office time deposit, in respect of which deduction u/s 80C was claimed, would be deemed to be the income of Mr. Yuvaan]		75,000	90,000
	Gross Total Income			26,88,000
	Less: Deduction under Chapter VI-A			
	Deduction under section 80C			
	Housing loan repayment [Not allowed under default tax regime]		-	
	Deduction under section 80DD			
	Deposit with life insurance Corporation of India for the maintenance of her mother [Not allowed under default tax regime]		-	



Deduction under section 80TTA			
Interest on saving bank account [Not allowed under default tax regime]		-	-
Total Income			26,88,000

Computation of tax liability of Mr. Yuvaan for A.Y. 2026-27 under default tax regime

Particulars	₹	₹
Tax @12.5% on LTCG of ₹ 4,10,000 on sale of gold bracelet		51,250
Tax at slab rate on balance income of ₹ 22,78,000		
Upto ₹ 4,00,000	Nil	
₹ 4,00,001 – ₹ 8,00,000 [@5% of ₹ 4 lakhs]	20,000	
₹ 8,00,001 – ₹ 12,00,000 [@10% of ₹ 4 lakhs]	40,000	
₹ 12,00,001 – ₹ 16,00,000 [@15% of ₹ 4 lakhs]	60,000	
₹ 16,00,001 – ₹ 20,00,000 [@20% of ₹ 4 lakhs]	80,000	
₹ 20,00,001 - ₹ 22,78,000 [@ 25% of ₹ 2,78,000]	69,500	2,69,500
		3,20,750
Add: Health and education cess@4%		12,830
Tax liability		3,33,580

Computation of total income of Mr. Yuvaan for A.Y. 2026-27 under optional tax regime

Particulars	₹
Gross Total Income as per default tax regime	26,88,000
Less: Contribution to notified approved research association for scientific research [Allowable as deduction under section 35(1)(ii) under optional tax regime]	1,10,000
Less: Additional depreciation on new machinery [(₹ 15,00,000 - ₹ 3,00,000) x 20%]	2,40,000
Gross Total Income as per optional tax regime	23,38,000
Less: Deduction under Chapter VI-A	
Deduction under section 80C	
Housing loan repayment	75,000
Deduction under section 80DD	
Deposit with life insurance Corporation of India for the maintenance of her mother	1,25,000
Deduction under section 80TTA	
Interest on saving bank account	10,000
Total Income as per optional tax regime	21,28,000

Computation of tax liability of Mr. Yuvaan for A.Y. 2026-27 under optional tax regime



Particulars	₹	₹
Tax @12.5% on LTCG of ₹ 4,10,000 on sale of gold bracelet		51,250
Tax at slab rate on balance income of ₹ 17,18,000		
Upto ₹ 2,50,000	Nil	
₹ 2,50,001 – ₹ 5,00,000 [@5% of ₹ 2.50 lakh]	12,500	
₹ 5,00,001 – ₹ 10,00,000 [@20% of ₹ 5,00,000]	1,00,000	
₹ 10,00,001 - ₹ 17,18,000 [@ 30% of ₹ 7,18,000]	2,15,400	3,27,900
		3,79,150
Add: Health and education cess@4%		15,166
Tax liability		3,94,316
Tax liability (Rounded off)		3,94,320

Illustration 29 [RTP May 2025]

Mr. Ganesh, a resident and ordinarily resident aged 61 years, is engaged in the business of manufacturing furniture. He is subject to tax audit under section 44AB of Income-tax Act, 1961. He has provided following information:

Profit & Loss account for the year ended 31st March, 2026

Particulars	(₹)	Particulars	(₹)
To Administrative expenses	64,30,000	By Gross Profit	2,57,30,000
To Salaries & wages	80,00,000	By Winning from lottery (Net of TDS @30%)	31,500
To Interest on loans	7,50,000	Bad debt recovered	3,00,000
To Depreciation	6,17,000		
To Professional fees	12,70,000		
To Rent, rates & taxes	22,80,000		
To Travelling & Conveyance	11,40,000		
To Loss on sale of asset for scientific research	2,00,000		
To Net Profit	53,74,500		
	2,60,61,500		2,60,61,500

Other information:

- Opening and closing stock of finished goods were undervalued by 10%. Opening stock of ₹ 14,50,000 and Closing stock of ₹ 15,58,000 was shown.
- Salaries & wages include following items:
 - Contributed 20% of basic salary in National Pension Scheme referred in section 80CCD regarding salary paid to an employee Mr. Ramesh who has withdrawn basic salary of ₹ 5,00,000 and Dearness allowance is 40% of basic salary. 50% of Dearness allowance forms part of the salary.



- b) Some of the employees opted for retirement under the voluntary retirement scheme; a sum of ₹ 3,40,000 was paid to them on 1st January, 2026.
3. Interest on loan includes interest paid @ 15% per annum on loan of ₹ 12,00,000 which was taken from State Bank of India on 01.05.2023 for purchase of new electric car of ₹ 15,00,000. The car is used for personal purpose. No amount is repaid so far.
 4. Depreciation allowable as per Income-tax Rules, 1962 is ₹ 4,50,000 but during the calculation of such depreciation following addition was not considered: Motor car purchased for ₹ 3,00,000 for supply of finished goods to dealers on 25-08-2025.
 5. An asset was purchased for ₹ 6,00,000 on 23.7.2022 for conducting scientific research and the deduction was claimed under section 35 of the Income-tax Act, 1961. This asset was sold on 05-09-2025 for a consideration of ₹ 4,00,000.
 6. Administrative expenses includes expenditure of ₹ 1,75,000, paid to a scientific research association approved under section 35. Out of ₹ 1,75,000, ₹ 50,000 was utilised towards the purchase of land by the research association.
 7. He received ₹ 3,00,000 from a debtor which was written off as bad in the year 2019-20. Amount due from the debtor (which was written off as bad) was ₹ 5,00,000, out of which tax officer had only allowed ₹ 3,00,000 as deduction in computing the total income for assessment year 2019-20.

Compute the total income and tax liability of Mr. Ganesh for the assessment year 2026-27 assuming that he wants to pay tax under section 115BAC.

Solution

Computation of total income of Mr. Ganesh for A.Y. 2026-27

	Particulars	₹	₹	₹
I.	PGBP			
	Net Profit		53,74,500	
	Add: Items debited but not allowable/item not credited but taxable while computing business income			
	Undervaluation of stock [(₹ 15,58,000 - ₹ 14,50,000) x 10/90]	1,20,000		
	Employer's contribution to NPS in excess of 14% of salary - Employer's contribution to the extent of 14% of salary i.e., basic salary plus dearness allowance forming part of salary would be allowed as deduction. Thus, excess contribution i.e., 16,000 [₹ 1,00,000, being 20% of ₹ 5,00,000 less	16,000		



	₹ 84,000 being 14% of ₹ 6,00,000 (₹ 5,00,000 + 20% of ₹ 5,00,000] has to be added back.			
	VRS expenditure - 1/5th of expenditure on voluntary retirement scheme is allowable over a period of five years u/s 35DDA. Since whole amount of expenditure is debited to Profit and Loss A/c, 4/5th has to be added back [₹ 3,40,000 x 4/5].	2,72,000		
	Interest on loan taken for purchase of electric car used for personal purpose not allowable as deduction while computing business income as being expense of personal nature. Thus, ₹ 1,80,000 [₹ 12,00,000 x 15%] has to be added back, since the same forms part of interest on loan debited to profit and loss account.	1,80,000		
	Loss on sale of asset of scientific research debited in Profit & Loss account [Not allowed]	2,00,000		
	Sale proceeds of asset acquired for conducting scientific research taxable as business income under section 41(3) in the year of sale to the extent of lower of amount of sale proceeds i.e., ₹ 4,00,000 or the amount of deduction allowed u/s 35 i.e., ₹ 6,00,000	4,00,000		
	Contribution to scientific research association approved u/s 35 [Not allowable under section 35(1)(ii) as per default tax regime]	1,75,000		
	Depreciation as per books of A/c	6,17,000	19,80,000	
	Less: Depreciation as per Income-tax Rules	4,50,000	73,54,500	
	Depreciation on Motor car purchased for supply of finished goods			



	[₹ 3,00,000 x 15%]	45,000	4,95,000	
	Less: Items of income credited to profit and loss account but not taxable or taxable under any other head of income		68,59,500	
	Bad debt recovered [The excess of amount recovered i.e., ₹ 3,00,000 over the amount due after bad debt allowance i.e., ₹ 2,00,000 will be taxable as business income u/s 41(4). Since the entire ₹ 3 lakhs is credited to the profit and loss account, ₹ 2 lakhs has to be reduced]	2,00,000		
	Winning from lottery [Taxable under the head "Income from other sources"]	31,500	2,31,500	
				66,28,000
II	Income from Other sources			
	Winning from lottery [₹31,500 x 100/70]			45,000
	Gross Total Income			66,73,000
	Less: Deduction under section 80EEB [Not allowable under default tax regime]			Nil
	Total Income			66,73,000

Computation of tax liability of Mr. Ganesh for A.Y.2026-27

Particulars	₹	₹
Tax on winning from lottery @30% of ₹ 45,000		13,500
Tax on total income (excluding winning from lottery) of ₹ 66,28,000		
Upto ₹ 24,00,000	3,00,000	
Remaining 42,28,000 x 30%	12,68,400	
Add: Surcharge @10% [Since total income exceeds ₹ 50 lakhs but does not exceed ₹ 1 crore]		15,68,400
		1,56,840
		17,25,240
Add: Health and education cess@4%		69,010
Tax liability		17,94,250

Illustration 30 [PYQ Sep 2024]

CA Jasmeet Singh



Mr. Raman, a resident individual aged 62 years, is engaged in the business of manufacturing and sales of spare parts for motor bikes, as a proprietor. He prepares his accounts on mercantile basis. This business is carried out on the ground floor of a two storied commercial building owned by him, the written down value of which is ₹ 8 lakhs as on April 1, 2025. He prepares his accounts on accrual basis. The Statement of Profit and Loss for the previous year ended on March 31, 2026 shows a net profit of ₹ 9.25 lakhs (before taxation and depreciation) after debiting/crediting the following items:

1. Travelling expenses includes ₹ 2,40,000 being expenditure incurred on a foreign tour to Taiwan for attending a business exhibition and meeting with vendors, out of which ₹ 40,000 is incurred in Indian currency and ₹ 2,00,000 in foreign currency. Mr. Raman has spent 10 days in Taiwan, out of which 4 days were utilized by him for attending marriage ceremony of a vendor's son.
2. Administrative expenses include ₹ 9,525 paid towards interest on delay in deposit of GST.
3. General expenses include a sum of ₹ 3,88,000 paid to a non-resident as fee for technical services without deduction of tax at source.
4. Fire insurance premium of ₹ 66,000 for the entire building remained unpaid till 31st March, 2026.
5. Expenditure of ₹ 75,000, was paid to a scientific research association approved under section 35. Out of ₹ 75,000, ₹ 50,000 was utilised towards the purchase of land by the research association.
6. He let out first floor of his commercial building to Mr. Aman on April 1, 2025 and received rent of ₹ 35,000 per month. Municipal taxes ₹ 20,000 relating to the building were paid equally by both Mr. Raman and Mr. Aman. Rent received was credited and municipal taxes of ₹ 10,000 (relating to ground floor) was debited to the statement of profit and loss.
7. He sold a piece of commercial land for ₹ 44 lakhs on 12th April, 2025. He had acquired the land for 40 lakhs on 1st January, 2024. The gain of 4,00,000 is credited to the statement of profit and loss.

Additional Information:

1. Mr. Raman purchased raw material from M/s. Paul Industries, a micro enterprise, for ₹ 49,000 on March 10, 2026. However, the payment to M/s. Paul Industries was made on April 5, 2026 by cheque. No written agreement for payment existed between M/s. Paul Industries and Mr. Raman. Another supplier M/s. Kal Industries, a small enterprise, with whom also no written agreement existed for payment, was paid ₹ 1,34,000 in cash on April 5, 2026 for purchase of raw material on March 31, 2026. Both M/s. Paul Industries and M/s. Kal Industries follow mercantile system of accounting.
2. Mr. Raman acquired a registered trademark on July 15, 2025 for ₹ 2,00,000. Mr. Raman started using this trademark for his business from January 15, 2026. Mr. Raman omitted to enter any transaction relating to this trademark in his books of accounts.
3. Mr. Raman bought a car for personal use on 12th April, 2022 for ₹ 5,40,000. He started using this car for business purposes from 01.04.2025. As on that day, the market value of the car was ₹ 2,10,000. Assume the rate of depreciation to be 15%.



4. He incurred ₹ 2,50,000 on the purchase of a new machinery to be used in the production of spare parts for motor bikes on May 15, 2025.
 5. He has paid tuition fees of ₹ 25,000 for the education of his daughter to a college.
 6. During the year, Mr. Raman has incurred ₹ 9,500 in cash for preventive health check-up where ₹ 5,000 was for himself and ₹ 4,500 was for his parents who are super senior citizens.
 7. Donation paid to a registered political party by way of cheque ₹ 20,000.
- Compute the total income and tax payable for assessment year 2026-27 by Mr. Raman under default tax regime and optional tax regime as per normal provisions of the Act. Which option is advantageous to Mr. Raman?

Solution

Computation of total income and tax payable by Mr. Raman for A.Y. 2026-27 under default tax regime

	Particulars	₹	₹
I	Income from house property		2,94,000
	Gross Annual Value of first floor (Rent received has been taken as gross annual value in the absence of other information) [₹ 35,000 x 12]	4,20,000	
	Less: Municipal taxes (paid by tenant, Mr. Aman, hence not deductible)	Nil	
	Net Annual Value	4,20,000	
	Less: Deduction @30% of NAV	1,26,000	
II	Profits and gains of business or profession		
	Net Profit	9,25,000	
	Add: Expenses debited to Profit and loss A/c but not allowable as deduction or to be considered under other heads of income		
	- Travelling expenses [Allowable since the same is incurred wholly and exclusively for business purpose]	Nil	
	- Interest on delay in deposit of GST [Interest on delay in deposit in GST is compensatory in nature and hence, allowable as expenditure]	Nil	
	- Fee for technical services to non-resident [100% disallowed under section 40(a)(i) since the TDS was not deducted]	3,88,000	
	- Fire insurance premium [Fire insurance premium for ground floor which is occupied for business purpose is allowed since Mr. Raman is following mercantile	33,000	



	system of accounting. Remaining half for let out portion is disallowed] [₹ 66,000/2]		
	- Contribution to scientific research association approved u/s 35 [Not allowable under section 35(1)(ii) as per default tax regime]	75,000	
	- Municipal taxes for ground floor [Allowable since the ground floor is occupied for business purpose]	Nil	
	- Sum payable for purchase of raw material from M/s Paul Industries, a micro enterprise [Not allowable as per section 43B(h) since payment was made to a micro enterprise on 5.4.2026 which is beyond the time limit specified u/s 15 of the MSMED Act, 2006 i.e., within 15 days from 10.3.2026]	49,000	
	- Sum payable for purchase of raw material from M/s Kal Industries, a small enterprise [Allowable as per section 43B(h) since payment was made to a small enterprise on 5.4.2026 i.e., within 15 days from 31.3.2026. However, since the payment is made in cash on 5.4.2026, ₹ 1,34,000 for purchase of raw material would be the deemed income of P.Y. 2026-27 as per section 40A(3A)]	Nil	
		14,70,000	
	Less: Incomes credited to profit and loss account but not taxable as business income		
	Rent received for let out portion	4,20,000	
	Gain on sale of land	4,00,000	
		6,50,000	
	Less: Depreciation		
	On trademark [₹ 2,00,000 x 25% x 50%, since trademark is put to use for less than 180 days]	25,000	
	On Car [₹ 5,40,000 x 15%]	81,000	
	On new Plant & machinery [₹ 2,50,000 x 15%]	37,500	
	On Building [₹ 8,00,000 x 10%]	80,000	
	Additional depreciation		
	On new Plant & machinery [Not allowable under default tax regime]	Nil	
	Income from Business		4,26,500
III	Capital Gains		
	Full value of consideration	44,00,000	



	Less: Cost of acquisition	40,00,000	
	Short term capital gains on land [Since land is held for less than 24 months]		4,00,000
	Gross Total Income		11,20,500
	Less: Deduction under Chapter VI-A [Not allowable under default tax regime]		Nil
	Total Income		11,20,500
	Tax Payable		

